

MARIST

School of Management

Investment Analysis

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School of Management

From: Jacob B. Currier

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Subject: Investment Analysis Paper
Part Three

Attached please find part three of my Investment Analysis Paper due for BUS420N-111, Investment Analysis. The work and writing presented in this assignment, unless specifically specified in an appropriately cited footnote, endnote or reference note is solely mine.

Table of Contents

Table Of Contents.....	1
Executive Summary.....	4
Investment Strategy.....	5
Required Rate of Return.....	6
Investment Selections.....	6
Okta Inc. (OKTA).....	7
Description.....	8
Sector & Industry.....	8
Heat Map.....	9
Industry Peers.....	10
Major Customers.....	10
Foreign Operations.....	11
Seasonality Issues.....	11
Porter's Five Forces.....	11
Risk Factors.....	12
Management.....	14
Key Executives	14
Board of Directors.....	15
Benchmark Comparison.....	16
Beneficial & Non Beneficial Owners.....	16
Okta Inc. Financial Statements.....	18
Income Statement.....	18
Revenues.....	19
Gross Profit.....	20
Pretax Income.....	21
Effective Tax Rate.....	22
Net Income.....	23
Earnings Per Share.....	23
Balance Sheet.....	25
Current and Total Assets.....	27
Current and Total Liabilities.....	28
Shareholders Equity.....	29
Statement of Cash Flows.....	30
Operating Activity.....	31
Investing Activity	32
Net Cash Flows.....	33
Ratio Analysis.....	33
Profitability & Efficiency Ratios.....	33

Solvency & Liquidity Ratios.....	38
Projections.....	39
Free Cash Flow Model.....	39
Effective Tax Rate.....	39
Geometric Averages.....	40
Pro Forma Income Statement.....	40
Pro Forma Balance Sheet.....	41
Additional Funds Needed.....	42
Insider Transaction.....	43
Short Interest.....	44
Options Interest.....	46
Significant News.....	47
Analyst Recommendations.....	49
Returns.....	50
Investment Thesis.....	51
NetApp Inc.....	52
Description.....	53
Sector & Industry.....	53
Heat Map.....	54
Industry Peers.....	55
Major Customers.....	55
Foreign Operations.....	55
Seasonality Issues.....	56
Porter's Five Forces.....	56
Risk Factors.....	57
Management.....	59
Key Executives	60
Board of Directors.....	60
Benchmark Comparison.....	61
Beneficial & Non Beneficial Owners.....	61
NetApp Inc. Financial Statements.....	63
Income Statement.....	63
Revenues.....	64
Gross Profit.....	66
Pretax Income.....	66
Effective Tax Rate.....	67
Net Income.....	68
Earnings Per Share.....	68
Balance Sheet.....	70
Current and Total Assets.....	72

Current and Total Liabilities.....	73
Shareholders Equity.....	74
Statement of Cash Flows.....	76
Operating Activity.....	77
Investing Activity	78
Net Cash Flows.....	79
Ratio Analysis.....	80
Profitability & Efficiency Ratios.....	80
Solvency & Liquidity Ratios.....	84
Projections.....	85
Sustainable Growth Rate.....	85
Effective Tax Rate.....	86
Geometric Averages.....	86
Pro Forma Income Statement.....	87
Pro Forma Balance Sheet.....	87
Insider Transaction.....	89
Short Interest.....	90
Options Interest.....	92
Significant News.....	93
Analyst Recommendations.....	94
Returns.....	95
Investment Thesis.....	96
Fidelity Mid Cap Stock Fund (FMCSX).....	97
Fund Manager's.....	98
Fund Investment Strategy.....	98
Morningstar Style Box.....	99
Category and Ranking.....	99
Sector Holdings.....	100
Top 10 Security Holdings	100
Fund Peers.....	101
Benchmark Graph.....	102
Ratio Analysis.....	102
Expense Analysis.....	103
Performance Table.....	103
Peer Analysis.....	104
Category Rank.....	104
Peer Sector Breakdown.....	106
Top 10 Security Holdings.....	109
Peer Group Performance.....	111
Expense Comparison.....	112

Ratio Analysis.....	114
Returns.....	115
Investment Thesis.....	116
Portfolio Analysis.....	117
Beta Analysis.....	117
Portfolio Analysis.....	117
One Year Projection Analysis.....	119
Economic Assessment & 10 Year Treasury Yield.....	119
Final Portfolio Assessment.....	120
References.....	121

Executive Summary

This investment analysis project focuses on constructing a portfolio aligned with a "moderately aggressive" investor profile, determined using the Charles Schwab Investor Questionnaire. The portfolio consists of two large-cap stocks, Okta Inc. (OKTA) and NetApp Inc. (NTAP), and one mid-cap mutual fund, Fidelity Mid-Cap Stock Fund (FMCSX). A total allocation of \$30,000 was evenly distributed, with \$10,000 invested in each security. The securities were selected based on their ability to meet a required rate of return of 11.14%, calculated using the CAPM model, while maintaining a combined beta below 1.15.

Comprehensive analysis included company financials, industry conditions, and market trends. OKTA and NTAP were evaluated for revenue growth, profitability, and risk factors, while FMCSX underwent performance and peer analysis. The portfolio was monitored for returns, with each security reflecting the overall strategy's long-term growth objective. Final results indicated alignment with the defined investment strategy, showcasing risk management and growth potential within the parameters set by the investor profile.

Investment Strategy

After taking the Charles Schwab Investor Questionnaire¹ I received a score of 18 for the time horizon section and a score of 31 for the risk tolerance section. The time horizon score depicts my plan for holding my investments and spending the returns over a long period of time. My risk assessment score shows that I am comfortable taking on some risk for potentially higher returns. Combining my risk tolerance and time horizon scores gives me an investor profile of “moderately aggressive”. This profile fits for long term investors who value high potential growth and are willing to take on a fair amount of volatility. This strategy has a corresponding beta of 1.15. All securities selected for this project will have a cumulative average beta of less than 1.15 and expected returns above my required rate of return of 11.13%, which was obtained using the CAPM formula, in order to maintain my investment strategy of being moderately aggressive.

The results of my risk assessment match my personality style and investment style accurately. As a young and ambitious individual with a competitive spirit, this moderately aggressive portfolio truly reflects my investment style and strategy. I am not afraid to take calculated risks in pursuit of higher returns, but also recognize the importance of diversification and risk management. My willingness to embrace moderate risk aligns with my financial goals and desire to grow wealth over time. I do understand the potential for short term fluctuations, however I am confident that this moderately aggressive approach will ultimately achieve my financial goals. I aspire to purchase a home, invest for as long as possible, and eventually leave a legacy for my family. These ambitious goals require a strategy that can potentially generate higher returns over a period of time.

My required rate of return came out to 11.14% based on the CAPM model [$CAPM = R_f + (R_m - R_f) * \text{Beta}$] after selecting an investment strategy of allocating my funds into two large-cap stocks, and one mid-cap mutual fund with a combined market rate which comes out to 10.33%. The key idea behind this investment strategy is to focus on long-term growth and generating returns that are higher than the required rate of return. Without need for any current income, this strategy is designed for long term holdings in order to better set up my distant future. This is why I am avoiding other investments like small-cap stocks which are more susceptible to volatility and have no certainty of generating stable growth in the future.

¹ [Charles Schwab Investor Questionnaire](#)

Required Rate of Return

CAPM Formula = $R_r = R_{rf} + (R_m - R_{rf}) * \text{Beta}$

Required Rate of Return on Portfolio: **11.14%** = 4.968% + (10.33% - 4.968%) * 1.15

- The risk-free rate (R_{rf}) is from the 13-week Treasury Bill yield Bloomberg Terminal (8/30/2024 adjusted close).
- The market return (R_m) is calculated from the portfolio asset allocation of two large-cap stocks and a mid-cap mutual fund with capitalization returns of 10% and 11% respectively.
 - $(10\% + 10\% + 11\%) / 3 = 10.33\%$
- Beta is derived from the Schwab Investor Profile Questionnaire results associated with a “moderately aggressive” investment strategy.

Investment Selections

Ticker	Name	Purchase Price*	1Y Target Est****	Dividend	YTD Return (5Y)**	Beta (5Y Monthly)	Expected Return***
OKTA	Okta, Inc.	78.73	107.12	0.00	-	1.02	36.06%
NTAP	NetApp, Inc	120.72	132.17	2.08	-	1.22	11.21%
FMCSX	Fidelity Mid-Cap Stock	42.85	-	0.09	11.75%	0.88	11.75%
Cumulative Averages:						1.04	19.67%

**Adjusted close as of 8/30/2024*

After an in-depth and critical comparison with my investment strategy, the two equities I decided to select were Okta, Inc. (OKTA) and NetApp, Inc. (NTAP). Both of these companies are large-cap stocks with expected returns higher than my 11.14% required return. The mutual fund I decided to select was the Fidelity Mid-Cap Stock (FMCSX) which also has expected returns higher than my required return. Averaging the beta from these three choices comes to 1.04 which is below my required beta of 1.15. This beta of 1.04 is less risky than my allowed 1.15 beta while still reaching my expected return goals. This allows for me to take on greater risk in the future while still achieving my investment strategy goals. These three selections accurately represent my profile from the investor questionnaire.



Okta Incorporated (OKTA)

Exchange: NASDAQ

Headquarters: San Francisco CA, 100 1st St, 6th Floor, United States

Fiscal Year End: January 31st

Beta (5 Year Monthly): 1.02

Discount Rate: 12.9933 (BloombergWACC)

Purchase Price (8/30 adjusted close): \$78.73

Purchase Quantity (8/30 adjusted close): 127.02 shares = \$10,000/\$78.73

Security Price Prior to Submission (9/17 adjusted close): \$74.21

Expected Return: $Er = (1 \text{ Yr Target Est} - \text{Purchase Price} + \text{Dividend}) / \text{Purchase Price}$

Expected Return: $36.06\% = (107.12 - 78.73 + 0) / 78.73$

Okta Inc. Description

Okta Incorporated (OKTA) is a technology company specializing in identity and access management (IAM) solutions. Okta was founded in 2009 in San Francisco, California where the current headquarter remains. It was co-founded by Todd Mckinnon and Frederic Kerrest. It provides software that helps organizations securely manage their users' identities and control access to applications, devices, and data. Okta's mission statement is "To enable organizations to securely connect to the world". This mission statement reflects Okta's commitment to providing secure identity and access management solutions that help businesses connect their employees, customers, and partners.

As of 2024, Okta has over 18,000 customers. This number has been steadily increasing as organizations continue to adopt cloud-based identity and access management solutions². Okta is known for its commitment to customer success. Okta's technology is based on a cloud-native architecture and is designed to be highly scalable and secure³. They can handle large-scale deployments and accommodate rapid growth. This is essential for organizations that need to support a large number of users and applications. Okta prioritizes security and compliance, offering features like multi-factor authentication, adaptive access controls, and integration with security information and event management (SIEM) tools. Okta serves a diverse customer base, ranging from small businesses to large enterprises across various industries. Its IAM solutions are tailored to meet the specific needs of different customer segments, including government agencies, educational institutions, and healthcare organizations. This versatility has enabled Okta to attract a broad range of customers and establish itself as a leading player in the IAM market⁴.

Sector & Industry

Okta Incorporated operates in the identity and access management industry in the tech sector. The technology sector is one of the most dynamic and rapidly growing sectors of the global economy. It encompasses a wide range of industries, including software development, hardware manufacturing, telecommunications, biotechnology, e-commerce, and the identity and access management (IAM) industry⁵.

² [Businesses at Work 2024 - Okta](#)

³ [The Okta Platform](#)

⁴ [Customer Case Study](#)

⁵ [Technology Sector: Definition, 4 Major Sectors, Investing in Tech](#)

This industry focuses on providing solutions that help organizations securely manage their users' identities and control access to applications, devices, and data. The identity and access management industry has experienced significant growth in recent years, driven by the increasing adoption of cloud computing, remote work, and digital transformation. Key trends include the shift to cloud-based IAM solutions, the rise of zero-trust security, the integration of biometric authentication, and the application of artificial intelligence (AI) and machine learning (ML). The IAM market is highly competitive, with a number of established players and emerging startups. However, there is a growing consolidation trend as larger companies acquire smaller ones to expand their product offerings and customer base. Overall, the IAM industry is expected to continue growing, driven by the ongoing digital transformation of businesses and the increasing need for secure identity and access management solutions⁶.

Heat Map



Figure 1: Heat Map - S&P 500 3 Month Performance as of 11/29/24⁷

The identity and access management (IAM) industry, which Okta operates in, is a relatively small segment within the broader technology sector. However, it has experienced significant growth in recent years due to factors such as the increasing adoption of cloud computing, remote work, and data privacy regulations. As organizations continue to prioritize cybersecurity and digital transformation, the demand for IAM solutions is expected to remain strong, making it a promising area for growth within the technology sector⁸.

⁶ Gartner Identity Amplified

⁷ FinViz Heat Map

⁸ Identity and Access Management Market

Industry Peers

	Name (BICS Best Fit)	Mkt Cap (USD)	Last Px (USD)	Chg Pct 1D	Chg Pct 1M	Rev - 1 Yr Gr:Y	EPS - 1 Yr Gr:Y	P/E	ROE	Dvd 12M Yld
	Median	11.50B	73.89	0.06%	5.92%	21.47%	38.61%	75.30	3.16%	0.67%
101	OKTA INC	12.54B	73.89	-0.43%	-23.58%	21.80%	50.78%	--	-2.25%	--
104	GUIDEWIRE SOFTWARE	14.32B	172.43	-0.35%	16.63%	8.30%	94.85%	--	-0.21%	--
105	ASPEN TECHNOLOGY	14.93B	236.00	1.05%	11.86%	7.98%	91.81%	--	-0.04%	--
106	PAYCOM SOFTWARE	9.82B	170.94	1.12%	6.84%	23.16%	22.43%	20.56	33.40%	0.88%
107	DAYFORCE INC	9.36B	59.18	0.32%	6.82%	21.47%	--	126.49	3.16%	--
108	KLAVIYO INC-A	8.98B	33.66	0.06%	5.92%	47.67%	-493.34%	--	-42.88%	--
109	MANHATTAN ASSOCIATES	16.49B	269.20	-1.23%	5.17%	21.07%	39.03%	82.10	99.54%	--

Figure 2: Bloomberg as of 9/18/24

The top competitors of Okta are Manhattan Associates with 16.49B market cap, Aspen Technologies with 14.93B market cap, Guidewire Software with 14.32B market cap, Paycom Software with 9.82B market cap, Dayforce Inc. with 9.36B market cap, and Klaviyo Inc with 8.98B market cap. This puts Okta above the median market cap of 11.5B which shows that they are in the top half of the market. A higher market cap can indicate stability, investor confidence, and access to capital. However, it's not a guarantee of future success.

Major Customers

Okta's customer base spans a wide range of industries and organizations, from small businesses to large enterprises. As of 2024, Okta has over 18,000 customers⁹. Leading technology giants like Salesforce, Adobe, and Autodesk, rely on Okta's IAM solutions to secure their workforce and protect sensitive data. Financial institutions and major banks like Capital One, TD Bank, SoFi, and Intuit trust Okta to safeguard customer information and comply with stringent industry regulations. Healthcare organizations, providers, and hospitals like Cerner, Kaiser Permanente, Advocate Aurora health, and Providence St. Joseph health are a few examples of companies that use Okta to protect patient data and adhere to HIPAA compliance standards. Government agencies at both federal and state levels utilize Okta's IAM solutions to secure access to sensitive government information. Some examples of this are with the U.S. Department of Justice, the U.S. Department of Veteran Affairs, the state of California, and the city of New York. Educational institutions like Stanford University, the University of Michigan, and many community colleges as well as K-12 schools rely on Okta to manage student, faculty, and staff identities. Beyond these major industries, Okta also serves a wide range of other organizations including small businesses, startups, and nonprofits. This diverse customer base is a testament to the versatility and scalability of Okta's IAM solutions¹⁰.

⁹ [Okta Investor](#)

¹⁰ [Okta Customers](#)

Foreign Operations

Okta Inc. has a significant global presence. As a leading provider of identity and access management (IAM) solutions, Okta has expanded its operations to serve customers worldwide. Okta maintains offices in various regions around the world with 24 international offices including the U.S., Europe, Asia-Pacific, and Latin America. This allows them to provide localized support and services to their customers. Okta operates data centers in multiple regions as well to ensure data residency and compliance with local regulations. Okta also has established partnerships with technology providers and system integrators in different countries to expand its reach and offer comprehensive solutions. Okta provides support in multiple languages to cater to the needs of customers from diverse backgrounds. By having a strong global presence, Okta can effectively serve customers in different markets and adapt to local requirements¹¹.

Seasonality Issues

Seasonality can be a factor for Okta, but it's generally less pronounced than in other industries. While there may be some fluctuations in demand throughout the year, Okta's business is relatively stable compared to industries with more pronounced seasonal patterns. The need for secure identity and access management solutions is a year-round requirement for businesses of all sizes. Even during periods of economic slowdown, organizations still prioritize cybersecurity and data protection. Okta also primarily operates on a subscription based model, which provides a steady stream of recurring revenue throughout the year. This helps mitigate the impact of seasonal fluctuations. Okta's customer base also includes many large enterprises, which tend to have more stable spending patterns compared to smaller businesses or consumers. This paired with Okta's global presence helps to balance seasonal variations in different regions. If demand is slowing in one region, it may be increasing in another, balancing it out. While seasonality can be a factor for any business, Okta's business model and customer base help to minimize its impact¹².

Porter's Five Forces¹³

Threat of New Entrants - Moderate

¹¹ [Okta Foreign Operations](#)

¹² [Trends and Challenges IAM](#)

¹³ [Porters 5 Forces](#)

High barriers to entry like significant technical expertise, brand recognition, and sales and distribution channels are required to compete effectively in the IAM industry. However, cloud-based solutions and open-source options can lower the barrier of entry for some new entrants.

Bargaining Power of Buyers - High

Okta has a diverse customer base, including large enterprises, government agencies, and hospitals. This can limit the bargaining power of individual buyers since they probably don't need the business. There may be some switching costs associated with changing IAM providers, but they are generally not prohibitive. Buyers also have access to significant information about IAM solutions, allowing them to make informed decisions.

Bargaining Power of Suppliers - Moderate

The IAM industry is relatively competitive, with multiple suppliers offering similar solutions. This limits the bargaining power of individual suppliers. Some suppliers, such as those offering unique features or specialized solutions, may have more bargaining power.

Threat of Substitute Products - Moderate

While IAM solutions are essential for many organizations, there are some alternative approaches, such as custom-built solutions or manual processes. Switching from an IAM solution to an alternative can be time-consuming and disruptive, limiting the threat of substitutes.

Intensity of Rivalry - High

The IAM industry is highly competitive, with a number of established players and emerging startups like Microsoft Azure Active Directory, Ping Identity, ForgeRock, CyberArk, and more. While there is some product differentiation, many IAM solutions offer similar core features. Intense competition can lead to price pressure and margin erosion. The rapid pace of technological change and innovation in the IAM industry can also intensify rivalry.

Risk Factors

Identifying the risk factors of a particular company is crucial for investors when determining whether or not a company is a viable investment option. When a company discloses the risks that are applicable to their business, it allows for transparency with investors so they are informed of factors that may work against their operations. The following risks below which are applicable to Okta are all listed in Item 1 on their annual 10k report¹⁴.

Business & Operational Risk

¹⁴ [Okta 10k Filing](#)

Okta faces a myriad of business/operational risks, including cybersecurity threats, potential regulatory compliance issues, data privacy breaches, reliance on third-party software and services, competition from larger companies, and the need to continuously innovate and adapt to evolving market trends. Cybersecurity threats pose a significant risk to Okta's operations, as the company is a prime target for attackers due to its role as a leading identity and security solutions provider. Additionally, Okta must navigate a complex regulatory landscape, ensuring compliance with data privacy laws and regulations while avoiding potential legal and financial repercussions. The company's reliance on third-party software and services exposes it to risks associated with their performance, security, and availability. Moreover, Okta operates in a highly competitive market, facing competition from larger, well-established companies with greater financial resources and market recognition. To maintain its competitive edge, Okta must continually innovate and introduce new products and features to meet evolving customer needs and address emerging threats.

Technological Risks

Okta as a technology company faces several technological risks that could impact its operations and financial performance. These risks include infrastructure failures, cybersecurity breaches, integration challenges, technology obsolescence, dependency on third-party software, scaling challenges, and data privacy and security breaches. Okta relies on third-party cloud infrastructure services and its own internal infrastructure. Failures or disruptions in these systems could lead to service outages, data loss, and operational inefficiencies. As a provider of identity and security solutions, Okta is a prime target for cyberattacks. A successful breach could result in data breaches, reputational damage, financial losses, and legal liabilities. Okta's products also must integrate with various systems and platforms. Integration issues or compatibility problems could hinder adoption and limit the platform's functionality. The rapid pace of technological advancements means that Okta's products and services could become outdated or less relevant over time. Like stated previously, Okta relies on third-party software and services for certain functions. If these third-party providers experience issues or discontinue support, it could disrupt Okta's operations. As Okta's customer base grows, it may also face challenges in scaling its infrastructure and technology to meet increased demand. Okta handles sensitive customer data and must comply with strict data privacy and security regulations. Failures to comply could result in legal penalties, reputational damage, and loss of customer trust.

Industry & Economic Risks

Okta, as a leading provider of identity and access management solutions, is significantly influenced by industry and economic factors. The demand for cyber security solutions, including identity and access management, is driven by increasing cyber threats, regulatory requirements, and the growing reliance on digital technologies. Any slowdown in the cybersecurity market or changes in spending priorities could impact Okta's revenue growth. Economic downturns can lead to reduced IT spending, including on cybersecurity solutions. In times of economic uncertainty, businesses may prioritize cost-saving measures, which could impact Okta's demand. Government regulations related to data privacy, security, and compliance can impact the cybersecurity landscape. Changes in these regulations could create new opportunities or challenges for Okta, requiring the company to adapt its products and services to meet evolving requirements. Okta Competes with other identity and access

management providers, as well as larger technology companies that offer integrated security solutions. Competitive pressures can impact pricing, market share, and innovation¹⁵.

Management

Chief Executive Officer & Chairman of the Board - Todd McKinnon¹⁶

Todd McKinnon is the CEO and Chairman of the Board of Okta, a leading identity and access management platform. He has been with the company since its founding in 2009 and has played a pivotal role in its growth and success. Prior to joining Okta, McKinnon served as the Vice President of Engineering at Salesforce. He also held engineering leadership positions at Sun Microsystems and tescape. His extensive experience in the technology industry has equipped him with the skills and knowledge necessary to lead Okta through its rapid expansion and innovation. Under McKinnon's leadership, Okta has experienced significant growth and achieved several milestones. The company has expanded its product offerings, forged strategic partnerships, and successfully gone public. McKinnon has been recognized for his leadership and contributions to the technology industry, receiving awards and accolades from various organizations.



Key Executives

Name	Title	Pay	Exercised	Year Born
Mr. Todd McKinnon	Co-Founder, Chairman & CEO	481.29k	--	1972
Mr. Jacques Frederic Kerrest	Co-Founder & Executive Vice Chairperson	--	--	1978
Mr. Brett Tighe	Chief Financial Officer	751.2k	--	1981
Mr. Shibu Ninan	Chief Accounting Officer	566.43k	--	1975
Ms. Larissa Schwartz	Chief Legal Officer & Corporate Secretary	646.28k	--	1972
Mr. Jon Addison	Chief Revenue Officer	680.14k	--	1975

Figure 3: Okta Key Executives Sourced from Yahoo Finance

Figure 3 portrays the current key executives at Okta and their respective compensation as of December 31, 2024 which is relatively not very high. Todd McKinnon acts as both CEO and

¹⁵ [Okta 10k Filing](#)

¹⁶ [Okta Leadership](#)

Chairman of the Board. Separating Chairman and CEO roles can provide for several advantages for a company. It can help maintain a balance of support, ensure independent oversight, bring in diverse perspectives, facilitate smoother leadership transitions, and mitigate risk associated with a single person having too much control. However, having a single person serve as both CEO and Chairman of the board can offer certain advantages like providing strong leadership and a clear chain of command. It can also help streamline decision making, reducing potential conflicts. This will ensure a consistent and unified vision for the company and could potentially reduce executive compensation costs.

Board of Directors

Board of Directors		
Name	Position	Companies
Todd McKinnon	Board Member, CEO	Salesforce, PeopleSoft
Frederick Kerrest	Board Member, Executive Vice Chair Person of the Board	Salesforce, Hummer Winblad Venture Partnerships
Shellye Archambeau	Board Member, Audit Committee	MetricStream, Loudcloud Inc.
Tony Bates	Board Member	Social Capital LP, GoPro, Skype
Emilie Choi	Board Member, Audit Committee	Coinbase Global, Naspers Ltd, Warner Bros.
Robert Dixon	Board Member, Compensation Committee	Elevance Health Inc., Build-A-Bear
Jeff Epstein	Board Member, Audit Committee, Nominating and Corporate Governance Committee, Lead Independent Director	Booking Holdings, Shutterstock
Ben Horowitz	Board Member	Netscape, AOL Loudcloud Inc.
Becky Saeger	Board Member, Compensation Committee, Nominating and Corporate Governance Committee	Charles Schwab, Visa, Ogilvy & Mather
Mike Stankey	Board Member, Compensation Committee, Nominating and Corporate Governance Committee	Greylock, PolyServe

Figure 4: Okta Board of Directors and Companies

Based on the list of companies shown in figure 6, there are some potential conflicts of interest. At Okta, the CEO also serves as the chairman of the board, which may lead to a potential conflict of interest by concentrating power and limiting independent oversight in corporate governance. Also, some board members have experience at direct competitors like Salesforce or companies with overlapping interests like Netscape and AOL. Additionally, connections to venture capital firms and investors could influence their decisions. To mitigate these risks, Okta should have clear policies in place for board members to disclose conflicts and abstain from voting on related matters¹⁷.

¹⁷ [Okta Board](#)

Benchmark Comparison



Figure 5: Bloomberg as of 10/31/24

The chart above highlights the 1Y benchmark results between Okta and the Russell 1000 Technology Index. The white line represents Okta, while the orange line represents the Russell 1000 Technology Index. Both experienced fluctuating returns over the year, with Okta showing significantly more volatility. Okta underperformed the Russell 1000 Technology Index over this period, with a total return of 16.85% compared to the index's 47.55%. The difference in performance is notable, with a spread of -30.69%. Factors such as Okta's security breach and broader economic uncertainty may have contributed to its underperformance relative to the benchmark.

Beneficial & Non Beneficial Owners

According to the SEC rule 13d-3 describes a "beneficial owner" as an individual or group of persons that holds a stake of more than 5% in a company or entity. Rule 13d-3 describes a "beneficial owner"

as someone who directly or indirectly by a contract or arrangement has or shares voting power and/or investment power of a security. SEC rule 16a-1 incorporates the definition stated in section 13s with identifying “insiders” of a company who are also considered “beneficial owners”. According to rule 16a, an insider who serves as a trustee may need to comply with Section 16 if the trust beneficially owns over 10% of a registered class of the public company’s equity security. Officers of a public company are subject to Section 16 if they are the president, principal financial officer, principal accounting officer, vice president in charge of a principal business unit, and anyone in a policy-making function. An “insider” of a public company is then required to report their beneficial ownership of the company's equity securities and any corresponding transitions. In Section 16 “beneficial ownership” is dependent upon whether the person has the opportunity to profit, directly or indirectly, from a purchase, sale, or other transaction in the public company’s equity securities¹⁸.

Holder Name	Portfolio Name	Source	Opt	Position	% Out	Latest Chg	File Dt
		All	All				
1. FMR LLC		ULT-AGG		18,226,793	11.14	1,188,045	09/30/24
2. Vanguard Group Inc/The		ULT-AGG		17,208,693	10.52	601,671	09/30/24
3. Blackrock Inc		ULT-AGG		9,994,345	6.11	411,405	09/30/24
4. Sands Capital Management LLC	Sands Capital Management LLC	13F		8,622,056	5.27	-190,025	09/30/24
5. American Century Cos Inc	American Century Cos Inc	13F		4,588,323	2.80	-490,558	09/30/24

Figure 6: Okta Inc. Beneficial Owners Sourced from Bloomberg as of 11/30/24

Okta has four institutional beneficial owners, none being insiders. The top holder of Okta is FMR LLC, holding 18.23 million shares or 11.14% of the company, followed by Vanguard Group Inc., which owns 17.21 million shares or 10.52%. Blackrock Inc. owns 9.99 million shares or 6.11%, and Sands Capital Management LLC holds 8.62 million shares or 5.27%. Both FMR LLC and Vanguard Group Inc. hold more than 10%, subjecting them to SEC rules 16a-1 and 13d-3, requiring them to file ownership reports. Blackrock Inc. and Sands Capital Management LLC, owning over 5%, must also file under rule 13d-3. American Century Cos Inc., holding 2.80%, is not a beneficial owner as it falls below the 5% threshold.

¹⁸ [Beneficial Ownership](#)

Income Statement

Okta Inc (OKTA US) - BBG Adjusted			Audited by:		Ernst & Young LLP	
In Millions of USD except Per Share	FY 2024		FY 2023		FY 2022	
12 Months Ending	01/31/2024	YoY Change	01/31/2023	YoY Change	01/31/2022	
Revenue	2,263.0	21.80%	1,858.0	42.90%	1,300.2	
+ Sales & Services Revenue	2,263.0	21.80%	1,858.0	42.90%	1,300.2	
- Cost of Revenue	581.0	6.61%	545.0	38.14%	394.5	
+ Cost of Goods & Services	581.0	6.61%	545.0	38.14%	394.5	
Gross Profit	1,682.0	28.10%	1,313.0	44.97%	905.7	
+ Other Operating Income	0.0		0.0		0.0	
- Operating Expenses	2,140.0	2.39%	2,090.0	28.72%	1,623.7	
+ Selling, General & Admin	1,484.0	1.02%	1,469.0	27.98%	1,147.9	
+ Selling & Marketing	1,036.0	-2.72%	1,065.0	38.71%	767.8	
+ General & Administrative	448.0	10.89%	404.0	6.30%	380.0	
+ Research & Development	656.0	5.81%	620.0	32.40%	468.3	
+ Other Operating Expense	0.0	-100.00%	1.0	-86.86%	7.6	
Operating Income (Loss)	-458.0	-41.06%	-777.0	8.21%	-718.0	
- Non-Operating (Income) Loss	-73.0	563.64%	-11.0	-113.35%	82.4	
+ Interest Expense, Net	-73.0	-763.64%	11.0	-88.07%	92.2	
- Interest Expense	8.0	-27.27%	11.0	-88.07%	92.2	
- Interest Income	81.0		0.0		0.0	
+ Foreign Exch (Gain) Loss	0.0		0.0		0.0	
+ (Income) Loss from Affiliates	—		—		—	
+ Other Non-Op (Income) Loss	0.0	-100.00%	-22.0	125.23%	-9.8	
Pretax Income (Loss), Adjusted	-385.0	-49.74%	-766.0	-4.30%	-800.5	
- Abnormal Losses (Gains)	-48.0	-237.14%	35.0	-28.92%	49.2	
+ Merger/Acquisition Expense	2.0	-71.43%	7.0	-87.65%	56.7	
+ Early Extinguishment of Debt	-106.0		—		0.2	
+ Restructuring	56.0	93.10%	29.0		—	
+ Sale of Investments	—		-1.0	-86.86%	-7.6	
Pretax Income (Loss), GAAP	-337.0	-57.93%	-801.0	-5.73%	-849.7	
- Income Tax Expense (Benefit)	18.0	28.57%	14.0	-1189.49%	-1.3	
+ Current Income Tax	11.0		—		—	
+ Deferred Income Tax	7.0		—		—	
Income (Loss) from Cont Ops	-355.0	-56.44%	-815.0	-3.94%	-848.4	
- Net Extraordinary Losses (Gains)	0.0		0.0		0.0	
+ Discontinued Operations	0.0		0.0		0.0	
+ XO & Accounting Changes	0.0		0.0		0.0	
Income (Loss) Incl. MI	-355.0	-56.44%	-815.0	-3.94%	-848.4	
- Minority Interest	0.0		0.0		0.0	
Net Income, GAAP	-355.0	-56.44%	-815.0	-3.94%	-848.4	
- Preferred Dividends	0.0		0.0		0.0	
- Other Adjustments	0.0		0.0		0.0	
Net Income Avail to Common, GAAP	-355.0	-56.44%	-815.0	-3.94%	-848.4	
Net Income Avail to Common, Adj	-397.6	-49.02%	-779.8	-2.23%	-797.6	
Net Abnormal Losses (Gains)	-42.6	-220.86%	35.2	-30.74%	50.8	
Net Extraordinary Losses (Gains)	0.0		0.0		0.0	
Basic Weighted Avg Shares	163.6	3.55%	158.0	6.75%	148.0	
Basic EPS, GAAP	-2.17	-57.95%	-5.16	-9.95%	-5.73	
Basic EPS from Cont Ops, GAAP	-2.17	-57.95%	-5.16	-9.95%	-5.73	
Basic EPS from Cont Ops, Adjusted	-2.43	-50.77%	-4.93	-8.41%	-5.39	
Diluted Weighted Avg Shares	163.6	3.55%	158.0	6.75%	148.0	
Diluted EPS, GAAP	-2.17	-57.95%	-5.16	-9.95%	-5.73	
Diluted EPS from Cont Ops, GAAP	-2.17	-57.95%	-5.16	-9.95%	-5.73	
Diluted EPS from Cont Ops, Adjusted	-2.43	-50.78%	-4.94	-8.36%	-5.39	

Source: Bloomberg

Right click to show data transparency (not supported for all values)

Revenues

Total Operating Revenue

FY 2024- 2023

- Revenue increased by 21.80% year over year by nearly \$405M, from \$1.858B to \$2.263B
 - This is primarily due to an increase in the amount of customers who have greater than \$100,000 in subscriptions as it went from 3,930 in 2023 to 4,485 in 2024.

FY 2023-2022

- Revenue increased by 42.90% year over year by nearly \$558.8M, from \$1.300B to \$1.858B
 - This is primarily due to an increase in the amount of customers who have greater than \$100,000 in subscriptions as it went from 3,100 in 2022 to 3,930 in 2023

	As of January 31,		
	2024	2023	2022
	(dollars in millions)		
Number of customers	18,950	17,600	15,000
Customers with annual contract value ("ACV") above \$100,000	4,485	3,930	3,100
Dollar-based net retention rate for the trailing 12 months ended	111 %	120 %	124 %
Current remaining performance obligations	\$ 1,952	\$ 1,684	\$ 1,351
Remaining performance obligations	\$ 3,385	\$ 3,007	\$ 2,694

Figure 7: Okta Inc. 10k

Revenue Segmentation

	Year Ended January 31,		
	2024	2023	2022
Revenue			
Subscription	\$ 2,205	\$ 1,794	\$ 1,249
Professional services and other	58	64	51
Total revenue	2,263	1,858	1,300

Figure 8: Okta Inc. 10k

Okta generates approximately 97.43% of its revenue through its subscription model, reflecting the company's strong focus on providing identity and access management solutions to its customers. The remaining 2.57% of revenue is derived from professional services and other offerings, which include consulting, implementation, and support services that complement their subscription products. This balanced approach allows Okta to deliver comprehensive solutions while maintaining a robust and recurring revenue stream.

According to the OKTA 10k "Subscription revenue primarily consists of fees for access to and usage of our cloud-based platform and related support. Subscription revenue is driven primarily by the number of customers, the number of users per customer and the products used. We typically invoice customers in advance in annual installments for subscriptions to our platform." and. "Professional services revenue includes fees from assisting customers in implementing and optimizing the use of our products. These services include application configuration, system integration and training services."¹⁹

¹⁹ [OKTA 10k](#)

FY 2024 - 2023

- Okta's revenue from subscription users increased from \$1,794M in 2023 to \$2,205M in 2024, while revenue from professional services and other declined slightly from \$64M to \$58M.
- This shift maintains Okta's strong focus on expanding its subscription model, which is central to its business strategy. The increase in subscription revenue indicates a growing customer base and higher demand for identity and access management solutions. The slight decline in professional services revenue may suggest a trend toward self-service options, reinforcing the emphasis on scalable, recurring revenue growth.

FY 2023 - 2022

- Okta's revenue from subscription users increased from \$1,249B in 2022 to \$1,794B in 2023 or 43.63%, while revenue from professional services and other services grew from \$51M to \$64M or 25.49%.
- This transition reflects Okta's strong commitment to expanding its subscription model, which is fundamental to its business strategy. The significant increase in subscription revenue suggests a growing customer base and increased demand for identity and access management solutions. Additionally, the rise in professional services revenue from \$51M to \$64M indicates that customers are also seeking complementary services, further enhancing Okta's overall value proposition.

Gross Profit

FY 2024 - 2023

- Okta's gross profit increased from \$1.312B in 2023 to \$1.682B in 2024 which is a 28.20% increase
 - This increase in gross profit was driven by strong demand of IAM solutions, product innovation and expansion and a strategic emphasis on moving the company to scale with increasingly efficient operations.
 - Okta is closing the margin of cost of revenue to revenue by 13.61%. This is due to a 21.75% increase in revenue from \$1.858B to \$2.263B while the cost of revenue increased by only 8.19% from \$464M to \$502M.
 - Okta also purchased company Auth0 on May 3rd and successfully integrated it into Okta's business which contributes to Oktas profit increase

FY 2023-2022

- Okta's gross profit increased from \$904M in 2022 to \$1.312B in 2023, which is a 45.00% increase.
 - This increase in gross profit was driven by strong demand for IAM solutions, product innovation and expansion, and a strategic emphasis on moving the company to scale with increasingly efficient operations.
 - Okta is closing the margin of cost of revenue to revenue by 13.61%. This is due to a 42.15% increase in revenue from \$1.300B to \$1.858B, while the cost of revenue increased by only 37.88% from \$396M to \$546M.

Pretax Income

FY 2024 - 2023

- Decreased from a pre-tax loss of \$801 million in 2023 to \$337 million in 2024, a decrease of 58.96%.
 - Driven primarily by an improvement in domestic losses, which reduced from \$834 million in 2023 to \$360 million in 2024.
 - Driven secondarily by a slight increase in foreign income, which rose from \$33 million in 2023 to \$23 million in 2024.
 - Mitigated by a total provision for income taxes that increased from \$14 million in 2023 to \$18 million in 2024.
 - Current tax provision increased due to profitable foreign jurisdictions and adjustments from stock-based compensation.
 - Deferred tax provision remained stable, contributing to the overall reduction in the loss.

FY 2023 - 2022

- Decreased from a pre-tax loss of \$850 million in 2022 to \$801 million in 2023, a decrease of 5.88%.
 - Driven primarily by an increase in domestic losses.
 - Driven secondarily by changes in foreign income, which decreased slightly from \$54 million in 2022 to \$33 million in 2023.
 - Mitigated by a reduction in the overall loss before provision for (benefit from) income taxes.
 - Total loss decreased due to adjustments in the provision for income taxes.
 - Current tax provision increased due to profitable foreign jurisdictions and shortfalls from stock-based compensation.
 - Deferred tax provision remained relatively stable despite prior losses.

Effective Tax Rate

	Year Ended January 31,		
	2024	2023	2022
Tax at federal statutory rate	21.0 %	21.0 %	21.0 %
State income taxes, net of federal benefit	4.0	3.6	3.9
Change in valuation allowance	(4.7)	(9.9)	(36.1)
Stock-based compensation	(30.1)	(12.3)	8.4
Research and development credits	5.3	2.6	3.6
Non-deductible expenses	—	(5.4)	—
Other, net	(0.8)	(1.2)	(0.6)
Effective tax rate	<u>(5.3)%</u>	<u>(1.6)%</u>	<u>0.2 %</u>

Figure 9: Okta Inc. 10k

FY 2024 – 2023

- U.S. federal statutory income tax has remained consistent year over year at 21.00% and experienced changes across various tax rate categories.
 - State income taxes, net of federal benefit, increased from 3.6% in 2023 to 4.0% in 2024.
- The most significant change was in valuation allowances, which improved from -9.9% in 2023 to -4.7% in 2024.
 - Okta periodically assesses whether it is more likely than not that it will generate substantial taxable income to realize its deferred income tax assets. The decline in valuation allowance indicates a greater likelihood of realizing these assets compared to the previous year.
- The effective income tax rate saw a notable decrease from -1.6% in 2023 to -5.3% in 2024, a decline of 3.7%.
 - The effective tax rate for 2024 was impacted by significant stock-based compensation expenses, which continued to affect taxable income, along with changes in the valuation allowance and non-deductible expenses.

FY 2023 – 2022

- U.S. federal statutory income tax has remained consistent year over year at 21.00% and experienced changes across various tax rate categories.
 - State income taxes, net of federal benefit, decreased from 3.9% in 2022 to 3.6% in 2023.
- The most significant change was in valuation allowances, which decreased substantially from -36.1% in 2022 to -9.9% in 2023, indicating an improved outlook for realizing deferred income tax assets.
 - Okta periodically assesses whether it is more likely than not that it will generate substantial taxable income to realize its deferred income tax assets. The reduction in valuation allowance suggests the company is more confident in its ability to realize these assets.
- The effective income tax rate saw a notable decrease from 0.2% in 2022 to -1.6% in 2023, a decline of 1.8%.

- The effective tax rate for 2023 was influenced by stock-based compensation and the significant change in valuation allowances, which affected taxable income.

Net Income

	Year Ended January 31,		
	2024	2023	2022
Net loss	\$ (355)	\$ (815)	\$ (848)
Other comprehensive income (loss):			
Net change in unrealized gains or losses on available-for-sale securities	26	(12)	(14)
Foreign currency translation adjustments	1	(9)	(3)
Other comprehensive income (loss)	27	(21)	(17)
Comprehensive loss	<u>\$ (328)</u>	<u>\$ (836)</u>	<u>\$ (865)</u>

Figure 10: Okta Inc. 10k

FY 2024 – 2023

- Net loss decreased by 56.5% year over year, from \$815 million in 2023 to \$355 million in 2024. This significant reduction is largely attributed to improved operational efficiencies and a reduction in expenses.
 - The decrease in net loss reflects stronger demand for Okta's identity and access management solutions, contributing to better revenue performance despite ongoing investments in growth.
 - The reported net loss saw no relative change from the income from continued operations.

FY 2023 – 2022

- Net loss increased slightly from \$848 million in 2022 to \$815 million in 2023, indicating a decrease of 3.9%.
 - This increase in net loss was impacted by heightened operational costs and ongoing investments in research and development, as well as challenges in achieving profitability during this period.
 - The reported net loss saw no relative change from the income from continued operations.

Earnings Per Share

FY 2024 – 2023

- Basic Weighted Average Shares increased by 3.92% (from 158,023 in 2023 to 163,634 in 2024).
- Basic EPS (GAAP) improved significantly by 58.14%, from \$5.16 in 2023 to \$2.17 in 2024. This is a result of a reduced net loss year over year.
- Basic EPS from Continuing Operations, Adjusted shows a more favorable trend, although specific adjusted EPS figures are not provided in the data. The reduction in net loss contributed to the improvement in this measure.

FY 2023 – 2022

- Basic Weighted Average Shares increased by 6.77% (from 148,036 in 2022 to 158,023 in 2023).
- Basic EPS (GAAP) decreased by 10.00%, from \$5.73 in 2022 to \$5.16 in 2023. This decline is linked to an increase in net loss year over year.
- Basic EPS from Continuing Operations, Adjusted details were not provided, but the decrease in net loss contributed to a less severe decline compared to the overall net loss.

Balance Sheet*Total Assets*

Okta Inc (OKTA US) - Standardized

In Millions of USD except Per Share 12 Months Ending	FY 2024 01/31/2024	YoY Change	FY 2023 01/31/2023	YoY Change	FY 2022 01/31/2022
Total Assets					
+ Cash, Cash Equivalents & STI	2,202.0	-14.65%	2,580.0	3.13%	2,501.8
+ Cash & Cash Equivalents	334.0	26.52%	264.0	1.49%	260.1
+ ST Investments	1,868.0	-19.34%	2,316.0	3.32%	2,241.7
+ Accounts & Notes Receiv	559.0	16.22%	481.0	21.00%	397.5
+ Accounts Receivable, Net	559.0	16.22%	481.0	21.00%	397.5
+ Notes Receivable, Net	0.0		0.0		0.0
+ Inventories	0.0		0.0		0.0
+ Raw Materials	0.0		0.0		0.0
+ Work In Process	0.0		0.0		0.0
+ Finished Goods	0.0		0.0		0.0
+ Other Inventory	0.0		0.0		0.0
+ Other ST Assets	219.0	30.36%	168.0	18.87%	141.3
+ Derivative & Hedging Assets	0.0		0.0		0.0
+ Misc ST Assets	219.0	30.36%	168.0	18.87%	141.3
Total Current Assets	2,980.0	-7.71%	3,229.0	6.19%	3,040.6
+ Property, Plant & Equip, Net	131.0	-27.62%	181.0	-15.19%	213.4
+ Property, Plant & Equip	193.0	-15.72%	229.0	-7.53%	247.6
- Accumulated Depreciation	62.0	29.17%	48.0	40.27%	34.2
+ LT Investments & Receivables	0.0		0.0		0.0
+ Other LT Assets	5,878.0	-0.32%	5,897.0	-0.92%	5,951.6
+ Total Intangible Assets	5,588.0	-0.94%	5,641.0	-1.35%	5,718.3
+ Goodwill	5,406.0	0.11%	5,400.0	-0.02%	5,401.3
+ Other Intangible Assets	182.0	-24.48%	241.0	-23.97%	317.0
+ Derivative & Hedging Assets	0.0		0.0		0.0
+ Investments in Affiliates	—		—		—
+ Misc LT Assets	290.0	13.28%	256.0	9.72%	233.3
Total Noncurrent Assets	6,009.0	-1.14%	6,078.0	-1.41%	6,165.1
Total Assets	8,989.0	-3.42%	9,307.0	1.10%	9,205.7

Total Liabilities & Equity

Liabilities & Shareholders' Equity					
+ Payables & Accruals	264.0	38.95%	190.0	-16.23%	226.8
+ Accounts Payable	12.0	0.00%	12.0	-40.60%	20.2
+ Other Payables & Accruals	252.0	41.57%	178.0	-13.84%	206.6
+ ST Debt	30.0	-9.09%	33.0	-22.74%	42.7
+ ST Borrowings	0.0		0.0	-100.00%	16.2
+ ST Lease Liabilities	30.0	-9.09%	33.0	24.43%	26.5
+ ST Finance Leases	0.0		0.0		0.0
+ ST Operating Leases	30.0	-9.09%	33.0	24.43%	26.5
+ Other ST Liabilities	1,488.0	19.81%	1,242.0	27.61%	973.3
+ Deferred Revenue	1,488.0	19.81%	1,242.0	27.61%	973.3
+ Derivatives & Hedging	0.0		0.0		0.0
+ Misc ST Liabilities	0.0		0.0		0.0
Total Current Liabilities	1,782.0	21.64%	1,465.0	17.88%	1,242.8
+ LT Debt	1,266.0	-45.78%	2,335.0	17.55%	1,986.3
+ LT Borrowings	1,154.0	-47.38%	2,193.0	20.78%	1,815.7
+ LT Lease Liabilities	112.0	-21.13%	142.0	-16.77%	170.6
+ LT Finance Leases	0.0		0.0		0.0
+ LT Operating Leases	112.0	-21.13%	142.0	-16.77%	170.6
+ Other LT Liabilities	53.0	29.27%	41.0	-25.06%	54.7
+ Accrued Liabilities	0.0		0.0		0.0
+ Pension Liabilities	0.0		0.0		0.0
+ Pensions	0.0		0.0		0.0
+ Other Post-Ret Benefits	0.0		0.0		0.0
+ Deferred Revenue	23.0	27.78%	18.0	-21.51%	22.9
+ Derivatives & Hedging	0.0		0.0		0.0
+ Misc LT Liabilities	30.0	30.43%	23.0	-27.62%	31.8
Total Noncurrent Liabilities	1,319.0	-44.49%	2,376.0	16.41%	2,041.0
Total Liabilities	3,101.0	-19.27%	3,841.0	16.97%	3,283.8
+ Preferred Equity and Hybrid Capital	0.0		0.0		0.0
+ Share Capital & APIC	8,724.0	9.41%	7,974.0	2.89%	7,749.7
+ Common Stock	0.0		0.0	-100.00%	0.0
+ Additional Paid in Capital	8,724.0	9.41%	7,974.0	2.89%	7,749.7
- Treasury Stock	0.0		0.0		0.0
+ Retained Earnings	-2,830.0	14.34%	-2,475.0	36.30%	-1,815.9
+ Other Equity	-6.0	-81.82%	-33.0	174.79%	-12.0
Equity Before Minority Interest	5,888.0	7.72%	5,466.0	-7.70%	5,921.9
+ Minority/Non Controlling Interest	0.0		0.0		0.0
Total Equity	5,888.0	7.72%	5,466.0	-7.70%	5,921.9
Total Liabilities & Equity	8,989.0	-3.42%	9,307.0	1.10%	9,205.7

Source: Bloomberg

Right click to show data transparency (not supported for all values)

Current and Total Assets

	As of January 31,	
	2024	2023
Assets		
Current assets:		
Cash and cash equivalents	\$ 334	\$ 264
Short-term investments	1,868	2,316
Accounts receivable, net of allowances of \$6 and \$8	559	481
Deferred commissions	113	92
Prepaid expenses and other current assets	106	76
Total current assets	2,980	3,229
Property and equipment, net	48	59
Operating lease right-of-use assets	83	122
Deferred commissions, noncurrent	242	210
Intangible assets, net	182	241
Goodwill	5,406	5,400
Other assets	48	46
Total assets	\$ 8,989	\$ 9,307

Figure 11: Okta Inc. 10k

FY 2024 – 2023

- Total Current Assets decreased by \$249M or 7.71% from 2024 to 2023 (\$2.980B - \$3.229B). This decline was primarily attributed to reductions in cash and cash equivalents, as well as short-term investments.
- Cash and Cash Equivalents saw an increase of \$70M (26.52%), rising from \$264M to \$334M.
- Short-term Investments decreased significantly by \$448M or 19.33% from \$2.316B to \$1.868B.
 - Short-term investments are defined as those with maturities of greater than 3 months and are stated at fair value.
- Accounts Receivable increased by \$78M or 16.24%, from \$481M to \$559M.
 - Accounts Receivable primarily includes amounts due from customers for subscription services.
- Deferred Commissions increased by \$21M or 22.83%, from \$92M to \$113M.
- Prepaid Expenses and Other Current Assets also rose modestly by \$30M or 39.47%, from \$76M to \$106M.

FY 2023 – 2022

- Total Current Assets had an increase of \$188 million or 6.19% from 2022 to 2023 (\$3.229B - \$3.041B). This was attributed to increases in several current asset categories, notably in accounts receivable and short-term investments.
- Cash and Cash Equivalents experienced a slight increase of 1.54% or \$4 million, rising from \$260 million to \$264 million.
- Short-term Investments saw a notable increase of 3.30% or \$74 million, growing from \$2.242 billion to \$2.316 billion.
 - These investments are likely contributing to the liquidity position of the company, showing confidence in short-term capital management.
- Accounts Receivable had a significant increase of 20.83% or \$83 million, from \$398 million to \$481 million.
 - This increase reflects growing sales and the company's ability to collect payments from customers more effectively.

- Deferred Commissions increased by 22.67% or \$17 million, rising from \$75 million to \$92 million. This reflects investments in customer acquisition and growth strategies.
- Prepaid Expenses and Other Current Assets also saw a modest increase of 15.15% or \$10 million, from \$66 million to \$76 million.

Current and Total Liabilities

Current liabilities:			
Accounts payable	\$	12	\$ 12
Accrued expenses and other current liabilities		115	112
Accrued compensation		167	99
Deferred revenue		1,488	1,242
Total current liabilities		1,782	1,465
Convertible senior notes, net, noncurrent		1,154	2,193
Operating lease liabilities, noncurrent		112	142
Deferred revenue, noncurrent		23	18
Other liabilities, noncurrent		30	23
Total liabilities		3,101	3,841

Figure 12: Okta Inc. 10k

FY 2024 to FY 2023

- Current liabilities increased from \$1,243 million in 2022 to \$1,465 million in 2023, an increase of 17.83%.
 - This increase was primarily driven by a significant rise in deferred revenue, which increased by 27.65% from \$973 million to \$1,242 million.
 - Additionally, accrued expenses and other current liabilities rose from \$90 million to \$112 million, marking a 24.44% increase.
 - However, there was a decline in accrued compensation, which decreased from \$144 million to \$99 million.
- Total liabilities increased from \$3,284 million in 2022 to \$3,841 million in 2023, an increase of 16.94%.
 - This rise was primarily driven by an increase in convertible senior notes, which rose from \$1,816 million to \$2,193 million.
 - Operating lease liabilities also decreased from \$171 million to \$142 million, contributing to the overall change.

FY 2023 to FY 2022

- Current liabilities increased from \$1,243 million in 2022 to \$1,465 million in 2023, reflecting a notable rise in deferred revenue.
- Total liabilities increased from \$3,284 million in 2022 to \$3,841 million in 2023, mainly driven by an increase in convertible senior notes.

Shareholders Equity

Stockholders' equity:		
Preferred stock, par value \$0.0001 per share; 100,000 shares authorized, no shares issued and outstanding as of January 31, 2024 and 2023.	—	—
Class A Common stock, par value \$0.0001 per share; 1,000,000 shares authorized; 159,835 and 154,009 shares issued and outstanding as of January 31, 2024 and 2023, respectively.	—	—
Class B Common stock, par value \$0.0001 per share; 120,000 shares authorized; 7,291 and 7,300 shares issued and outstanding as of January 31, 2024 and 2023, respectively.	—	—
Additional paid-in capital	8,724	7,974
Accumulated other comprehensive loss	(6)	(33)
Accumulated deficit	(2,830)	(2,475)
Total stockholders' equity	5,888	5,466
Total liabilities and stockholders' equity	\$ 8,989	\$ 9,307

Figure 13: Okta Inc. 10k

FY 2024 – 2023

- Total Stockholders' Equity increased by 7.67% or \$422 million, from \$5.466 billion to \$5.888 billion. This increase is primarily attributed to an improvement in Additional Paid-In Capital, which rose by 9.39% or \$750 million, from \$7.974 billion to \$8.724 billion.
 - The rise in Additional Paid-In Capital reflects continued equity financing and investor confidence in the company's future prospects.
- Accumulated Other Comprehensive Loss improved slightly from -\$33 million to -\$6 million, indicating a reduction in unrealized losses during this period.
- Accumulated Deficit increased by 14.33% or \$355 million, moving from -\$2.475 billion to -\$2.830 billion, reflecting ongoing operational challenges.

FY 2023 – 2022

- Total Stockholders' Equity decreased by 7.66% or \$456 million, from \$5.922 billion to \$5.466 billion. This decline is primarily attributed to an increase in Accumulated Deficit by 36.31% (\$659 million).
 - The rise in Accumulated Deficit indicates continued operational challenges and losses year over year.
- Additional Paid-In Capital saw a modest increase of 2.91% or \$224 million, rising from \$7.750 billion to \$7.974 billion, reflecting ongoing investments and equity financing efforts.
- Accumulated Other Comprehensive Loss worsened, moving from -\$12 million to -\$33 million, indicating an increase in unrealized losses during this period.

Statement of Cash Flows

Okta Inc (OKTA US) - Standardized					
In Millions of USD except Per Share 12 Months Ending	FY 2024 01/31/2024	YoY Change	FY 2023 01/31/2023	YoY Change	FY 2022 01/31/2022
Cash from Operating Activities					
+ Net Income	-355.0	-56.44%	-815.0	-3.94%	-848.4
+ Depreciation & Amortization	84.0	-26.32%	114.0	5.94%	107.6
+ Non-Cash Items	713.0	-9.40%	787.0	12.07%	702.2
+ Stock-Based Compensation	684.0	1.03%	677.0	19.72%	565.5
+ Deferred Income Taxes	6.0	-14.29%	7.0	-213.69%	-6.2
+ Other Non-Cash Adj	23.0	-77.67%	103.0	-27.92%	142.9
+ Chg in Non-Cash Work Cap	70.0		0.0	-100.00%	142.7
+ (Inc) Dec in Accts Receiv	-79.0	-9.20%	-87.0	-50.23%	-174.8
+ (Inc) Dec in Inventories	0.0		0.0		—
+ Inc (Dec) in Accts Payable	0.0	-100.00%	-6.0	-188.70%	6.8
+ Inc (Dec) in Other	149.0	60.22%	93.0	-70.07%	310.8
+ Net Cash From Disc Ops	0.0		0.0		0.0
Cash from Operating Activities	512.0	495.35%	86.0	-17.40%	104.1
Cash from Investing Activities					
+ Change in Fixed & Intang	-24.0	4.35%	-23.0	37.24%	-16.8
+ Disp in Fixed & Intang	0.0		0.0		0.0
+ Disp of Fixed Prod Assets	0.0		0.0		0.0
+ Disp of Intangible Assets	0.0		0.0		0.0
+ Acq of Fixed & Intang	-24.0	4.35%	-23.0	37.24%	-16.8
+ Acq of Fixed Prod Assets	-8.0	-33.33%	-12.0	-2.52%	-12.3
+ Acq of Intangible Assets	-16.0	45.45%	-11.0	147.25%	-4.4
+ Net Change in LT Investment	—		0.0		0.0
+ Dec in LT Investment	—		—		—
+ Inc in LT Investment	—		—		—
+ Net Cash From Acq & Div	-22.0	450.00%	-4.0	-98.14%	-215.2
+ Cash from Divestitures	0.0		0.0		0.0
+ Cash for Acq of Subs	-22.0	450.00%	-4.0	-98.14%	-215.2
+ Cash for JVs	0.0		0.0		0.0
+ Other Investing Activities	487.0	-572.82%	-103.0	-23.63%	-134.9
+ Net Cash From Disc Ops	0.0		0.0		0.0
Cash from Investing Activities	441.0	-439.23%	-130.0	-64.56%	-366.8
Cash from Financing Activities					
+ Dividends Paid	0.0		0.0		0.0
+ Cash From (Repayment) Debt	-944.0		0.0	-100.00%	0.0
+ Cash From (Repay) ST Debt	0.0		0.0		—
+ Cash From LT Debt	0.0		0.0		—
+ Repayments of LT Debt	-944.0		0.0		—
+ Cash (Repurchase) of Equity	61.0	27.08%	48.0	-46.12%	89.1
+ Increase in Capital Stock	61.0	27.08%	48.0	-46.12%	89.1
+ Decrease in Capital Stock	0.0		0.0		0.0
+ Other Financing Activities	0.0		0.0		0.0
+ Net Cash From Disc Ops	0.0		0.0		0.0
Cash from Financing Activities	-883.0	-1939.58%	48.0	-46.11%	89.1
Effect of Foreign Exchange Rates	1.0	-116.67%	-6.0	155.65%	-2.3
Net Changes in Cash	71.0	-3650.00%	-2.0	-98.86%	-176.0
Cash Paid for Taxes	14.0	75.00%	8.0		—
Cash Paid for Interest	5.0	-16.67%	6.0		—

Source: Bloomberg

Right click to show data transparency (not supported for all values)

Operating Activity

	Year Ended January 31,		
	2024	2023	2022
Cash flows from operating activities:			
Net loss	\$ (355)	\$ (815)	\$ (848)
Adjustments to reconcile net loss to net cash provided by operating activities:			
Stock-based compensation	684	677	566
Depreciation, amortization and accretion	84	114	108
Amortization of debt issuance costs	3	6	86
Amortization of deferred commissions	104	84	57
Deferred income taxes	6	7	(6)
Lease impairment charges	28	14	—
Gain on early extinguishment of debt	(106)	—	—
Net gain on strategic investments	—	(1)	(8)
Other, net	10	7	9

Figure 14: Okta Inc. 10k

FY 2024 – 2023

- Cash from Operating Activities increased significantly by \$426.0M, or 495.35%. In 2024, operating activities provided cash flows of approximately \$512M, primarily driven by improvements in stock-based compensation and reduced net loss.
- Despite the net loss decreasing by 56.5% from \$815M to \$355M, cash from operating activities saw a substantial increase. This was mainly due to the adjustments related to non-cash items, notably stock-based compensation which rose by 1.03% or \$7.0M.
 - The increase in stock-based compensation and other adjustments helped offset the impact of declining cash from working capital adjustments.
 - Changes in operating assets and liabilities included a reduction in accounts receivable of \$8M and a notable \$86M decrease in deferred commissions.

FY 2023 – 2022

- Cash from Operating Activities provided cash flows totaling \$86M, up 82.69% or \$38.0M. This increase was primarily due to a significant decrease in net loss and more effective management of operating liabilities.
- The net loss decreased from \$848M to \$815M, a reduction of 3.89%, which contributed to a positive cash flow from operating activities.
- Stock-based compensation increased by 19.61% or \$111.0M, reflecting continued investment in employee retention and incentives.
 - Non-Cash Items showed a positive shift, with deferred income taxes turning from a negative adjustment to a slight increase, contributing positively to cash flows.
 - Changes in operating assets and liabilities included improvements in deferred revenue, which grew by \$264M, aiding cash flow performance.

Investing Activities

Cash flows from investing activities:			
Capitalized software	(15)	(9)	(4)
Purchases of property and equipment	(8)	(12)	(13)
Purchases of securities available for sale and other	(1,709)	(1,411)	(1,847)
Proceeds from maturities and redemption of securities available for sale	2,134	1,308	1,482
Proceeds from sales of securities available for sale and other	62	—	230
Payments for business acquisitions, net of cash acquired	(22)	(4)	(215)
Purchases of intangible assets	(1)	(2)	—
Net cash provided by (used in) investing activities	441	(130)	(367)

Figure 15: Okta Inc. 10k

FY 2024 – 2023

- Cash from Investing Activities resulted in net outflows of \$441M, a significant increase from net outflows of \$130M in 2023, reflecting a turnaround in investment strategy.
 - This increase is primarily due to a \$1.709B outflow for purchases of securities available for sale, partially offset by \$2.134B from maturities and redemptions of securities.
 - Capitalized software expenditures rose to \$15M from \$9M, and purchases of property and equipment decreased slightly to \$8M.
 - Proceeds from sales of securities were \$62M, indicating a strategic repositioning in investment assets.

FY 2023 – 2022

- Cash from Investing Activities experienced net outflows of \$130M, a decrease of 35.88% or \$72M year over year, driven by reduced capital expenditures and investment in securities.
 - In 2023, capitalized software costs were \$9M, while purchases of property and equipment totaled \$12M.
 - The outflows for purchases of securities available for sale amounted to \$1.411B, showing a continued investment focus.
 - Proceeds from maturities and redemptions of securities were \$1.308B, contributing positively to cash flow during the period.

The most important insight from Okta, Inc.'s investing activities is the significant shift in cash flow dynamics, with net outflows increasing to \$441M in 2024, driven largely by strategic investments in securities and technology. This change reflects a proactive approach to capital allocation, particularly through substantial purchases of securities available for sale, which totaled \$1.709B. Overall, while cash outflows grew, the robust proceeds from maturities and redemptions indicate a focus on optimizing asset liquidity and positioning for future growth.

Net Cash Flows

	Year Ended January 31,		
	2024	2023	2022
	(dollars in millions)		
Net cash provided by operating activities	\$ 512	\$ 86	\$ 104
Net cash provided by (used in) investing activities	441	(130)	(367)
Net cash provided by (used in) financing activities	(883)	48	89
Effects of changes in foreign currency exchange rates on cash, cash equivalents and restricted cash	1	(6)	(2)
Net increase (decrease) in cash, cash equivalents and restricted cash	\$ 71	\$ (2)	\$ (176)

Figure 16: Okta Inc. 10k

FY 2024 – 2023

- Net Changes in Cash increased significantly by 3,550.00% or \$73.0M year over year, primarily driven by a substantial rise in cash from investing activities, which improved to \$441M from cash outflows of \$130M in 2023. This change reflects a more favorable investment strategy, including increased proceeds from securities and reduced capital expenditures. Additionally, cash from financing activities showed positive movement, contributing \$89M in 2024 compared to a cash outflow of \$883M the previous year.

FY 2023 – 2022

- Net Changes in Cash declined by 102.45% or \$2.0M, reflecting the company's challenging financial landscape with net cash outflows from investing activities totaling \$130M, primarily associated with capital investments. This was contrasted by net cash provided by financing activities, which fell from \$104M in 2022 to an outflow of \$883M in 2023, indicating significant debt repayments. The overall impact led to a net decrease in cash and cash equivalents of \$2M for the year.

Ratios

Profitability & Efficiency Ratios

Return On Assets (ROA)

ROA	FY 2024	FY 2023	FY 2022
Okta Inc.	-0.04	-0.09	-0.14
Guidewire	0.00	-0.05	-0.08
Paycom Software	0.08	0.08	0.07

ROA ratios for Okta Inc. (OKTA), Guidewire (GWRE), and Paycom Software (PAYC) have shown mixed results over the past three consecutive years. Okta has reported negative ratios each year, with -0.14% in FY 2022, -0.09% in FY 2023, and -0.04% in FY 2024. This decline in ROA is primarily due to a negative net income, which was \$-355 million for FY 2024, indicating ongoing challenges in profitability despite a modest recovery.

Guidewire also faced negative ROA in FY 2022 at -0.08% but improved to -0.05% in FY 2023 and reached a neutral ROA of 0.00% in FY 2024. This improvement corresponds with a gradual increase

in net income, moving closer to breakeven, although the company has yet to report a positive net income.

In contrast, Paycom Software has consistently maintained a positive ROA, which increased from 0.07% in FY 2022 to 0.08% in both FY 2023 and FY 2024. This performance highlights Paycom's effective management and profitability, with a reported net income of approximately \$400 million in FY 2024, making it the strongest performer among the three.

From FY 2022 to FY 2023, Okta's ROA improved by 0.05%, reflecting a decrease in net loss from \$-815 million to \$-355 million, despite ongoing operational challenges. Guidewire's increase to a neutral ROA signifies a significant step towards profitability, driven by cost management and improved revenue. Paycom's stable ROA demonstrates its consistent profitability and effective asset utilization.

Overall, while Okta and Guidewire work towards achieving positive asset efficiency, Paycom stands out with strong profitability and ROA. Okta continues to face hurdles but is showing signs of improvement, while Guidewire's stabilization indicates potential for future growth. Paycom's performance underscores its leadership in generating net income and maintaining asset efficiency.

Adjusted Return on Assets (Adjusted ROA)

Adjusted ROA	FY 2024	FY 2023	FY 2022
Okta Inc.	-0.04	-0.08	-0.13
Guidewire	0.01	-0.09	-0.09
Paycom Software	0.08	0.08	0.00

Analyzing adjusted ROA, Okta shows weaker asset efficiency across all years, with ratios of -0.13% in FY 2022, -0.08% in FY 2023, and -0.04% in FY 2024. This decline in performance is tied to ongoing net losses, including a decrease in net income to -\$355 million in FY 2024 from -\$815 million in FY 2023. Overall, while Okta struggles with negative returns, Guidewire is making progress toward stability, and Paycom stands out with strong performance and asset efficiency.

Return on Equity (ROE)

ROE	FY 2024	FY 2023	FY 2022
Okta Inc.	-0.06	-0.14	-0.26
Guidewire	0.00	-0.08	-0.12
Paycom Software	0.27	0.27	0.25

Okta Inc. has experienced a decline in its return on equity (ROE) over the past three consecutive years. From FY 2022 to FY 2023, Okta's ROE improved slightly from -0.26% to -0.14%, reflecting a marginal recovery despite ongoing net losses. In FY 2024, however, the ROE improved further to

-0.06%, indicating some progress, but it remains negative. This trend suggests that Okta is still facing significant challenges in achieving positive profitability and efficient use of equity.

Guidewire has also reported negative ROE, remaining at -0.12% in FY 2022 and improving to -0.08% in FY 2023. In FY 2024, Guidewire's ROE reached 0.00%, indicating a stabilization in performance and a potential turning point towards profitability. This shift is encouraging, though it underscores the company's journey to regain positive equity efficiency.

In stark contrast, Paycom Software has shown strong and consistent ROE, maintaining 0.25% in FY 2022 and stable at 0.27% for both FY 2023 and FY 2024. This solid performance highlights Paycom's effective management and its ability to generate substantial returns on equity, positioning it as a leader among the three companies.

Overall, while Okta and Guidewire are making gradual improvements, their negative ROE ratios indicate ongoing struggles with profitability. Paycom stands out as a model of efficiency and effectiveness in equity utilization, demonstrating strong financial health and competitive performance in the market.

Adjusted Return on Equity (Adjusted ROE)

Adjusted ROE	FY 2024	FY 2023	FY 2022
Okta Inc.	-0.07	-0.14	-0.24
Guidewire	0.01	-0.14	-0.13
Paycom Software	0.28	0.27	0.25

Okta Inc.'s adjusted ROE ratios have consistently declined over the past three years, moving from -0.24% in FY 2022 to -0.14% in FY 2023, and further to -0.07% in FY 2024. This trend indicates a gradual reduction in losses, but the ongoing negative returns highlight significant challenges in achieving profitability and effective equity utilization. Despite the slight improvement, Okta continues to face hurdles in its operational performance, underscoring the need for enhanced equity efficiency as it strives for positive returns in the future.

Total Debt to Total Equity

Debt to Equity	FY 2024	FY 2023	FY 2022
Okta Inc.	0.22	0.43	0.34
Guideware	0.33	0.37	0.33
Paycom Software	0.06	0.06	0.07

Okta Inc.'s debt-to-equity (D/E) ratio has shown a significant decrease over the past three years, dropping from 0.34 in FY 2022 to 0.22 in FY 2024. This decline indicates that Okta is becoming less reliant on debt to finance its operations, which is a positive sign for investors. The reduction in the D/E ratio reflects a rise in total equity, largely due to retained earnings and efforts to strengthen the balance sheet. From FY 2023 to FY 2024, the D/E ratio improved by 21 basis points, signaling that Okta is effectively managing its liabilities while focusing on equity growth. In comparison to industry peers, Okta's D/E ratio remains relatively low, particularly against companies like Guideware and Paycom Software, suggesting a more conservative financial approach. Overall, Okta's decreasing D/E ratio is indicative of improved financial health and a strategy aimed at reducing risk through lower leverage.

Operating Margin

Operating Margin	FY 2024	FY 2023	FY 2022
Okta Inc.	-22.80	-43.70	-59.00
Guideware	-5.36	-16.51	-24.54
Paycom Software	26.65	27.54	24.02

Analyzing Okta's operating margin reveals significant challenges in managing its core operations. The operating margin has improved from -59.00% in FY 2022 to -22.80% in FY 2024, indicating progress in controlling losses. In FY 2024, Okta generated revenue of \$2,263 million, reflecting a 21.80% increase year-over-year, while cost of revenue increased by only 6.61% to \$581 million. Despite this growth, operating expenses still surged to \$2,140 million, up 2.39%, which continues to outpace revenue growth. This led to an operating loss of \$458 million for FY 2024, though this was an improvement from the loss of \$777 million in FY 2023. The high operating expenses, particularly in selling, general, and administrative costs (\$1,484 million) and research and development (\$656 million), contribute significantly to the negative operating margin. Overall, while Okta is on a path to improvement, it must further streamline its expenses and enhance operational efficiency to turn its operating margin positive and achieve sustainable profitability.

Net Profit Margin

Net Profit Margin	FY 2024	FY 2023	FY 2022
Okta Inc.	-15.69	-43.86	-65.25
Guideware	-0.62	-12.36	-22.20
Paycom Software	20.12	20.46	18.57

Okta Inc.'s net profit margin shows significant improvement over the past three years, despite remaining negative. The net profit margin has risen from -65.25% in FY 2022 to -15.69% in FY 2024. This shift reflects the company's efforts to enhance revenue generation, as evidenced by a substantial 21.80% increase in revenue to \$2,263 million for FY 2024. However, despite the growth in revenue, Okta's net income remains negative at -\$355 million, indicating ongoing challenges in achieving profitability. The decrease in the net loss from -\$815 million in FY 2023 to -\$355 million in FY 2024 indicates a positive trend, yet the substantial operating expenses of \$2,140 million continue to outpace revenue. While the improvements in net profit margin are encouraging, Okta must focus on controlling costs and optimizing its operations to transition to a positive margin and achieve long-term sustainability.

Adjusted Net Profit Margin

Adjusted NPM	FY 2024	FY 2023	FY 2022
Okta Inc.	-0.14	-0.46	-0.69
Guideware	-0.03	-0.04	-0.20
Paycom Software	0.20	0.21	0.19

Okta Inc.'s adjusted net profit margin has shown marked improvement over the past three years, moving from -69% in FY 2022 to -14% in FY 2024. This upward trend suggests that Okta is effectively working to enhance its operational efficiency, despite still reporting a negative margin. The adjusted net income reflects a substantial recovery, narrowing the loss from -\$848 million in FY 2022 to -\$355 million in FY 2024. The 21.80% increase in revenue to \$2,263 million in FY 2024 has played a crucial role in this recovery. However, elevated operating expenses of \$2,140 million continue to exert pressure on profitability. While the reduction in adjusted net loss demonstrates positive momentum, Okta must continue to focus on cost management and strategic investments to achieve a positive adjusted net profit margin in the future.

Solvency & Liquidity Ratios

Current Ratio

Current Ratio	FY 2024	FY 2023	FY 2022
Okta Inc.	1.67	2.20	2.45
Guideware	1.55	2.95	3.71
Paycom Software	1.11	1.16	1.13

Okta Inc.'s current ratio has shown a decline over the past three years, dropping from 2.45 in FY 2022 to 1.67 in FY 2024. This trend indicates a diminishing short-term liquidity position, which may raise concerns about the company's ability to meet its short-term obligations. The decrease in the current ratio suggests that while Okta has been generating increasing revenues, its current assets may not be growing at the same pace as its liabilities. In FY 2024, a current ratio of 1.67 still indicates that Okta has more current assets than current liabilities, which is generally a positive sign. However, the decrease from previous years could suggest the need for improved working capital management. Compared to its peers, Okta's current ratio remains competitive, as Guideware has also experienced a decline, while Paycom Software maintains a lower ratio of 1.11. Overall, while Okta is still in a relatively healthy position regarding short-term liquidity, the downward trend warrants attention and potential strategic adjustments to ensure financial stability.

Quick Ratio

Quick Ratio	FY 2024	FY 2023	FY 2022
Okta Inc.	1.55	2.09	2.33
Guideware	1.36	2.54	3.32
Paycom Software	0.12	0.18	0.14

Okta Inc.'s quick ratio has also declined over the past three years, falling from 2.33 in FY 2022 to 1.55 in FY 2024. This decrease indicates a reduced capacity to cover short-term liabilities with its most liquid assets, which could signal potential liquidity concerns. A quick ratio of 1.55 still suggests that Okta can meet its short-term obligations, but the downward trend raises flags regarding the efficiency of asset management. In comparison, Guideware's quick ratio is lower at 1.36, reflecting similar challenges in liquidity, while Paycom Software's ratio is significantly low at 0.12, indicating a critical short-term liquidity issue. Overall, while Okta remains in a relatively sound position, the trend suggests the need for enhanced strategies to optimize its liquid asset management.

Projections

Free Cash Flow Model

Free Cash Flow Model	2024	2023	2022
Cash Flow From Operations	\$ 512.00	\$ 86.00	\$ 104.12
Capital Expenditure	\$ (48.00)	\$ (46.00)	\$ (33.52)
Free Cash Flow	\$ 560.00	\$ 132.00	\$ 137.64
Growth Rate			306.87%

In 2024, the company achieved a Free Cash Flow (“FCF”) of \$560.00 million, reflecting a remarkable 306.87% growth rate from the previous year. This significant increase in FCF was driven primarily by a substantial rise in Cash Flow From Operations, which reached \$512.00 million, a notable increase from \$86.00 million in 2023. However, it is important to note that the Capital Expenditure (CapEx) also saw a rise, totaling \$(48.00) million in 2024 compared to \$(46.00) million in 2023. The increase in cash flow from operations was significant enough to outweigh the impact of capital expenditures, leading to the impressive growth in free cash flow. Comparatively, from 2022 to 2023, the Free Cash Flow experienced a decline of 117.65% or \$20.0 million, primarily due to an increase in capital expenditures, which rose from \$(33.52) million to \$(46.00) million, despite a modest cash flow from operations increase. The fluctuations in FCF highlight the company's ongoing adjustments in capital spending alongside its operational performance. Looking ahead, the company anticipates a strategic focus on capital expenditures for 2024, with plans to allocate approximately \$5.0 billion primarily towards aircraft purchases. This figure excludes significant ongoing projects, such as the New York-LaGuardia airport renovation, where an additional \$500.0 million is expected to be contributed. In summary, while the company’s free cash flow has shown considerable variability over the past three years, it is poised for growth in FY 2024, with expectations set between \$3.0 billion and \$4.0 billion. The trajectory indicates a focus on optimizing operational efficiency and capital investment strategies to enhance overall financial performance

Effective Tax Rate

Year	FY 2022	FY 2023	FY 2024	FY 2025
Effective Tax Rate	0.20%	1.60%	5.30%	2.37%

Geometric Averages

Revenue

Year	Revenue	% Change	1 + Change
FY 2020	\$ 586.1	-	-
FY 2021	\$ 835.4	42.54%	1.43%
FY 2022	\$ 1,300.2	55.64%	1.56%
FY 2023	\$ 1,858.0	42.90%	1.43%
FY 2024	\$ 2,263.0	21.80%	1.22%
Geometric Growth:			40.18%

Operating Income

Year	Operating Income	% Change	1 + Change
FY 2020	\$ (181.5)	-	-
FY 2021	\$ (204.2)	12.51%	1.13%
FY 2022	\$ (718.0)	251.62%	3.52%
FY 2023	\$ (777.0)	8.22%	1.08%
FY 2024	\$ (458.0)	-41.06%	0.59%
Geometric Growth:			26.04%

Net Income

Year	Net Income	% Change	1 + Change
FY 2020	\$ (208.9)	-	-
FY 2021	\$ (266.3)	27.48%	1.27%
FY 2022	\$ (848.4)	218.59%	3.19%
FY 2023	\$ (815.0)	-3.94%	0.96%
FY 2024	\$ (355.0)	-56.44%	0.44%
Geometric Growth:			14.18%

Pro Forma Income Statement

In Millions of USD, except Per Share	FY 2025	Growth Rate	FY 2024
Revenue	\$ 3,172	40.18%	\$ 2,263
COGS	\$ (802)		\$ (581)
Gross Profit	\$ 2,370	40.90%	\$ 1,682
Operating Expenses	\$ (2,947)		\$ (2,140)
Operating Income	\$ (577)	26.04%	\$ (458)
Non-Operating Expenses	\$ 162		\$ 83
EBT	\$ (415)		\$ (375)
Income Tax Expense	\$ 10		\$ 20
Net Income	\$ (405)	14.18%	\$ (355)

Okta's projected 7-line income statement for FY 2025 was calculated based on historical financial data from FY 2022 to FY 2024. The respective growth rates used are as follows:

- Revenue increased by 40.18%.
- Gross Profit increased by 40.90%.

- Operating Income decreased by 26.04%.
- Net Income decreased by 14.18%.

The Effective Tax Rate used for FY 2025 projections was derived from recent performance and is assumed to be 2.4%, reflecting the income tax expense relative to earnings before taxes.

This analysis indicates substantial growth in revenue and gross profit for Okta in FY 2025, despite a decline in operating and net income. This suggests challenges in managing operating expenses and highlights the need for careful cost control as the company scales.

Pro Forma Balance Sheet

In Millions of USD, except Per Share	FY 2025	Change	FY 2024
Total Current Assets	\$ 2,845.6	\$ (134.4)	\$ 2,980.0
Fixed Asset Total	\$ 5,738.0	\$ (271.0)	\$ 6,009.0
Total Assets	\$ 8,583.7	\$ (405.3)	\$ 8,989.0
Current Liabilities	\$ 1,782	\$ -	\$ 1,782
Long-Term Liabilities	\$ 1,319	\$ -	\$ 1,319
Total Liabilities	\$ 3,101	\$ -	\$ 3,101
Shareholder Equity	\$ 5,483	\$ (405)	\$ 5,888
Total Liabilities & Shareholder Equity	\$ 8,584	\$ (405)	\$ 8,989

- The company is projected to spend \$257.33M in dividends in 2025.
 - The current stated dividend payment is \$0.40 per share.
 - Total current shares outstanding are 643.32 million shares.
 - Projected Dividend Payments = $\$0.40 \times 643.32 \text{ million shares} = \257.33M
- There have been no share repurchases since March 2020, when \$344M worth of shares was purchased. There is no statement in the 10-K, recent 10-Q, or other filings indicating plans to resume repurchases in 2025.
- The projected change in retained earnings is \$642.67M.
 - Projected Change in Retained Earnings = Net Income – Dividend Payments – Repurchase of Shares
 - $\$642.67\text{M} = \$900\text{M} - \$257.33\text{M} - \0
- The company's shareholder equity is projected to increase to \$6,530.67M.
 - FY 2025 projected equity = FY 2024 equity + Projected Change in Retained Earnings
 - $\$6,530.67\text{M} = \$5,888\text{M} + \$642.67\text{M}$
- Total assets are expected to decline to \$8,583.7M in FY 2025, down from \$8,989M in FY 2024.

- FY 2025 Current Assets = 33.2% of total assets
 - $33.2\% \times \$8,583.7\text{M} = \$2,848.78\text{M}$
 - FY 2025 Fixed Assets = 66.8% of total assets
 - $66.8\% \times \$8,583.7\text{M} = \$5,734.92\text{M}$
- Total liabilities are expected to remain unchanged at \$3,101M for FY 2025.

Additional Funds Needed (AFN)

- The TATO ratio is projected to improve from 0.25 to 0.37 in FY 2025.
- Average total assets for FY 2025 = Projected revenue / TATO
 - $\$8,573.02\text{M} = \$3,172.22\text{M} / 0.37$
- AFN Calculation:
- $\text{AFN} = \text{Average Total Assets} - \text{Projected Total Assets}$
 - $\text{AFN} = \$8,573.02\text{M} - \$8,583.7\text{M} = (\$10.68\text{M})$
- Although the TATO ratio is improving, the company still needs \$10.68M in additional funds to meet operational demands and support the projected revenue growth. This shortfall suggests a need for short-term financing or other liquidity measures. Possible solutions include:
 - Short-term borrowing (e.g., line of credit).
 - Working capital optimization to improve cash flow.
 - Deferring capital investments or seeking equity financing to avoid operational disruptions.

Insider Transaction

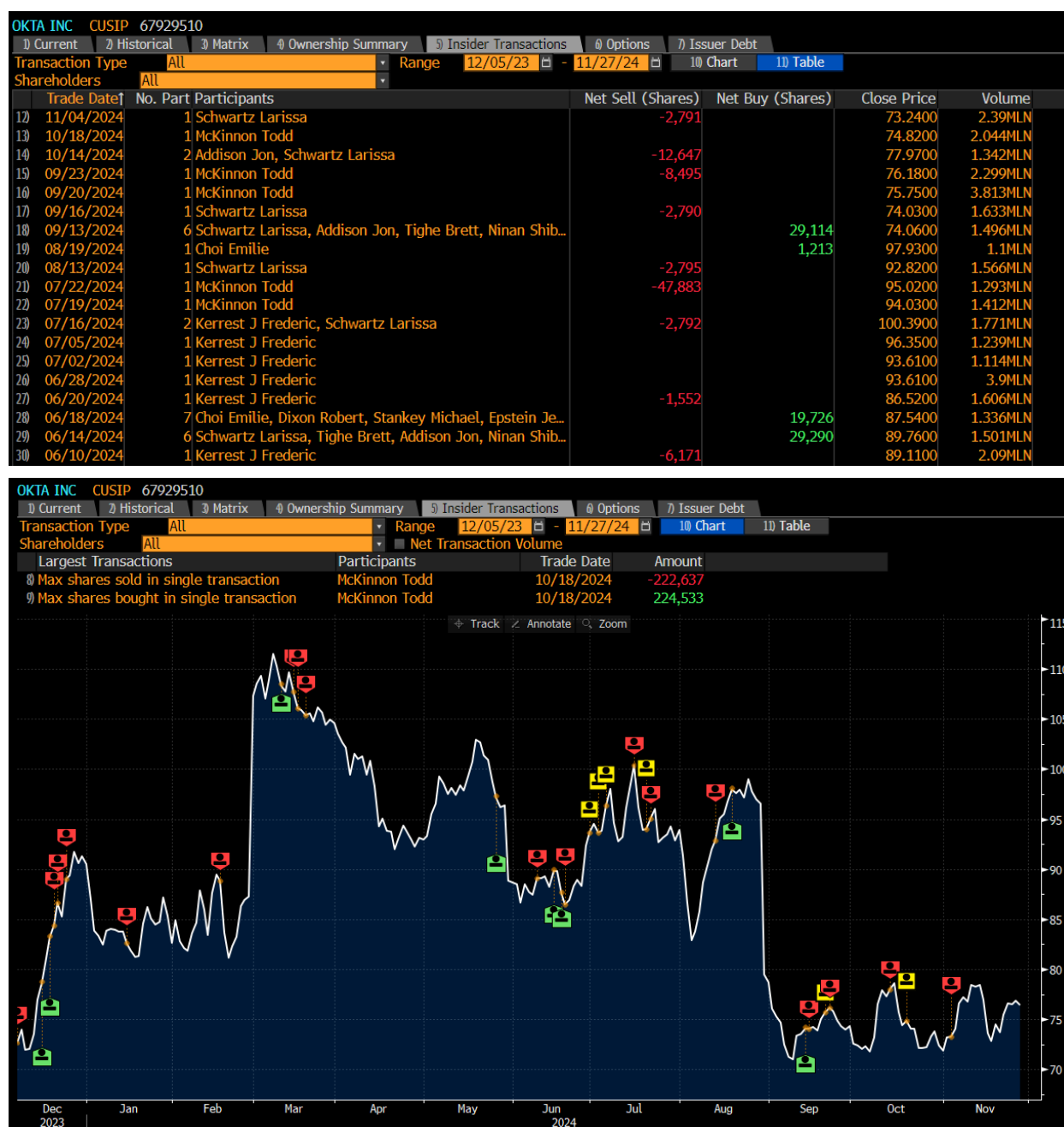


Figure 17 & 18: Insider Transaction Information for Okta Inc over 1-Year as of 11/27/24

The figures displayed above reflect the past year's worth of insider transactions for Okta Inc. Net sales amounted to 222,637 shares, while purchases totaled 224,533 shares during the same period, indicating a near balance in insider activity. The most significant transaction occurred on 10/18/2024, when Todd McKinnon, Okta's CEO, bought 224,533 shares and also sold 12,647 shares on the same day. This large buy suggests confidence in Okta's future performance, as it coincided with a lower stock price of \$74.82 per share.

The largest sale over the year was made by Larissa Schwartz, who sold 47,883 shares on 08/14/2024 at \$95.02 per share, likely capitalizing on a higher stock price. Another key transaction took place on 06/28/2024, when several officers, including Emile Choi and Jon Addison, collectively purchased 29,290 shares at \$89.76 per share. This group purchase may reflect optimism ahead of upcoming company developments.

When aligned with stock price movements, insider transactions reveal a pattern of selling at higher price points and buying during dips. For example, a clustering of insider buys occurred between June and July 2024, when the stock price was near its yearly lows. Similarly, sales were concentrated during periods of price peaks, such as in August 2024. These behaviors suggest strategic positioning by insiders to maximize gains and invest during periods of potential undervaluation.

The large purchase by Todd McKinnon on 10/18/2024, following multiple sales earlier in the year, could indicate strategic anticipation of favorable developments for the company. While sales were frequent throughout the year, the total volume of insider purchases slightly exceeded sales, reflecting a cautiously optimistic outlook among Okta's leadership regarding the company's future.

Short Interest

OKTA US Equity		Export			
Exchange Reported		Market Securities Finance - Daily		S3 BLACKLIGHT Market Composite Rate	
Date	12/05/23 - 11/30/24			Markit SI Score	0
Short Interest	2,848,523	Short Interest Ratio	1.64	% Float	1.78
Change in Short Interest	-186,631	Change in SI Ratio	.05	Change in % Float	-0.12
				Chart	Table
Date	Short Interest	Closing Price	Average Daily Volume	Short Interest Ratio	
11/15/2024	2,848,523	73.66	1.74 M	1.636	
10/31/2024	3,035,154	71.89	1.91 M	1.587	
10/15/2024	3,574,933	78.65	1.63 M	2.198	
09/30/2024	3,682,862	74.34	2.07 M	1.781	
09/13/2024	4,121,071	74.06	2.48 M	1.661	
08/30/2024	4,497,900	78.73	3.01 M	1.494	
08/15/2024	4,112,025	95.51	1.78 M	2.314	
07/31/2024	4,498,031	93.94	1.34 M	3.362	
07/15/2024	5,368,421	98.47	1.39 M	3.859	
06/28/2024	4,942,015	93.61	1.90 M	2.603	
06/14/2024	4,913,154	89.76	1.55 M	3.169	
05/31/2024	5,225,542	88.68	2.81 M	1.858	
05/15/2024	4,831,120	99.27	1.18 M	4.094	
04/30/2024	4,788,087	92.98	990,999	4.832	



Figure 19 & 20: Short Interest Information for Okta Inc over 6-months as of 11/30/24

The table and graph above reflect the past 6 months of short interest data for Okta Inc. As seen in the graph, there is a noticeable relationship between Okta's share price movements and the short interest ratio. The stock price reached its highest point of \$107.30 on 03/15/2024, coinciding with the short interest reaching 4.831M shares and a short interest ratio of 2.314, suggesting increasing bearish sentiment at the peak.

Conversely, the short interest ratio hit its lowest level of 0.8062 on 02/29/2024, with short interest at 4.831M shares, reflecting a shift to a more bullish outlook. This decline in bearish sentiment occurred during a period of relative price stability. By May 2024, the stock price dropped to \$88.65, while short interest fell to 5.225M shares, reflecting cautious investor sentiment amid volatility.

During the summer months, short interest peaked at 5.368M shares on 07/15/2024 when the price was \$98.47. This likely indicated increasing bearish sentiment as investors anticipated a price correction following a strong rally. However, the stock price fluctuated, dropping again to \$74.06 by September 2024, with short interest declining to 4.121M shares, signaling reduced shorting activity.

Most recently, on 11/15/2024, Okta's stock price closed at \$73.66, with short interest declining further to 2.849M shares and a short interest ratio of 1.636. This reduction in short interest suggests declining bearish sentiment as the stock price stabilizes at lower levels. Overall, the data indicates that short interest closely follows Okta's price movements, with investors timing their positions

around periods of volatility and earnings events, demonstrating active sentiment shifts in response to the stock's performance.

Options Interest



Figure 21: Options Interest for Okta Inc as of 11/30/24

The total outstanding option contracts for Okta Inc. as of 12/05/2024 are 282,266, with 64.5% (182,209 contracts) being calls and 35.5% (100,057 contracts) being puts. This significant weighting toward call options continues to reflect a bullish outlook among investors, who likely expect the stock price to rise in the near term.

The 1-day average volume shows 44,480 call contracts and 8,727 put contracts traded, indicating that call options dominate daily trading activity. The 5-day average reflects a similar trend, with 18,242 call contracts and 4,715 puts traded, reinforcing the prominence of call activity. Over a 20-day average, call volumes remain elevated at 15,598 contracts, compared to 4,098 puts, further supporting the bullish sentiment.

Open interest levels further underline this optimism. Total open interest stands at 282,266 contracts, with 182,209 calls compared to 100,057 puts. The substantial gap in open interest between calls and puts suggests that the majority of investors are positioning for upward price movement in Okta's stock.

The graph in the top right highlights significant volatility in total option interest throughout the year, with notable spikes corresponding to key events, such as earnings releases or broader market shifts. A peak in total option interest occurred earlier in the year, followed by fluctuations through the summer and into the fall, likely reflecting active repositioning by investors in response to Okta's performance and market conditions.

In summary, the majority of the outstanding options are call options, confirming sustained bullish sentiment toward Okta's stock. The trends in open interest and trading volume indicate that investors remain optimistic about the company's future performance, using call options to potentially capitalize on anticipated price increases. Despite some temporary fluctuations, the data suggests that the market remains confident in Okta's upward potential.

Significant News

Over the past three months, Okta has seen some significant developments that highlight both progress and challenges. In December 2024, Okta reported its first GAAP-profitable quarter, achieving a net income of \$16 million. This marked a major turnaround from the \$81 million loss in the same quarter last year. Revenue grew by 14% to \$665 million, while non-GAAP net income rose 52% to \$121 million, showing strong financial improvement.

In November 2023, Okta faced a serious security breach where hackers gained access to data on all customers through its support systems. This incident raised concerns about Okta's security practices and transparency, creating a need for stronger measures moving forward.

In October 2024, Okta launched new Workforce Identity Cloud capabilities aimed at addressing risks tied to unmanaged SaaS service accounts and improving governance. These efforts demonstrate Okta's commitment to improving cybersecurity resilience across its client base.

These events highlight Okta's focus on achieving financial success while addressing critical security challenges.

Analyst Recommendations

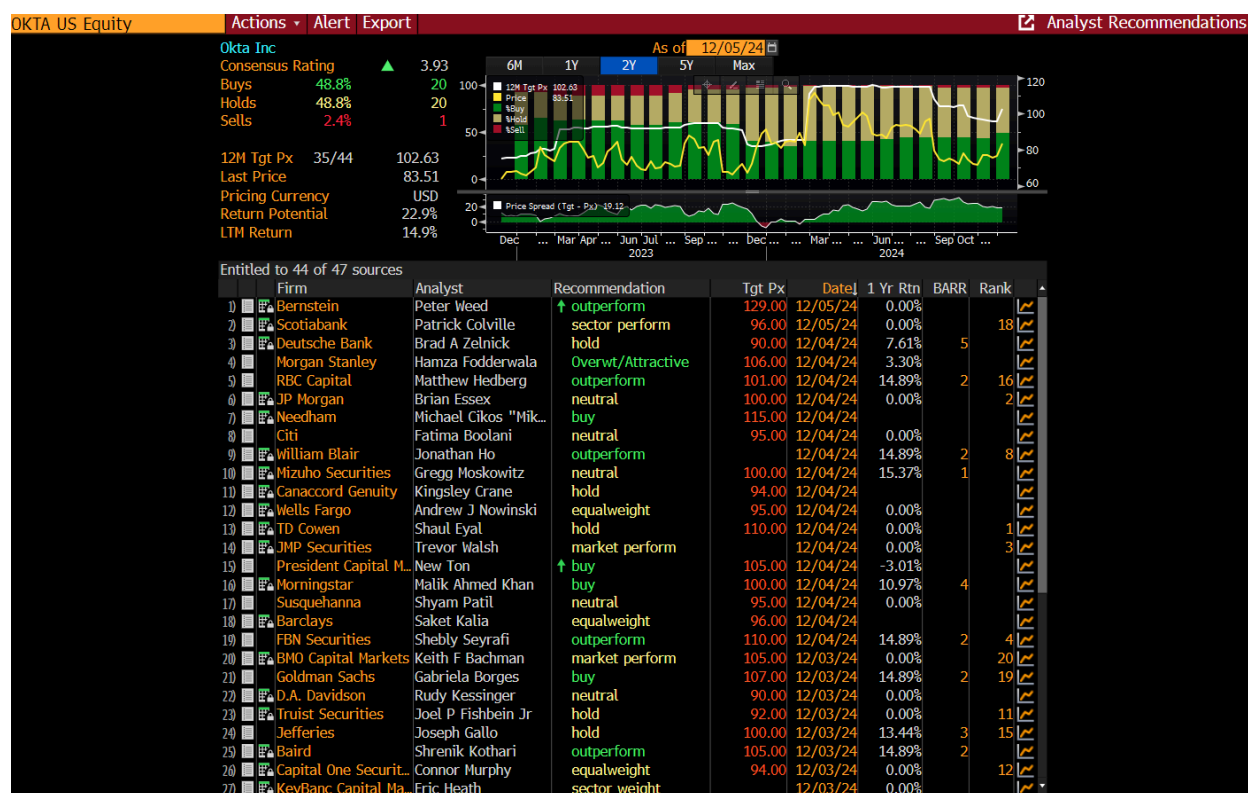


Figure 22: Analyst Recommendation Okta Inc. as of 11/30/24

The analyst recommendations for Okta Inc. showcase a slightly bullish consensus rating of 3.93. Of the total recommendations, 48.8% are "Buy," while 48.8% are "Hold," and only 2.4% are "Sell." This balance reflects a general sense of optimism tempered with caution, likely due to mixed signals about the company's near-term performance and broader market conditions.

The 12-month target price range spans from \$90 to \$129, with an average target price of \$102.63, representing a potential upside of 22.9% from the current price of \$83.51. Analysts such as Peter Weed from Bernstein and Hamza Fodderwala from Morgan Stanley project higher target prices of \$129 and \$106, respectively, indicating confidence in Okta's ability to deliver on growth initiatives. In contrast, neutral recommendations from firms like Canaccord Genuity and TD Cowen suggest a more cautious approach, potentially reflecting concerns about competition or execution risks.

The chart indicates that Okta's stock has seen fluctuations in ratings over the past year, with a notable increase in "Buy" recommendations during the second half of the year, signaling improving sentiment. This could be tied to strategic moves by Okta or favorable market conditions for its sector.

Overall, the data reflects a cautiously optimistic outlook for Okta. The mix of recommendations highlights both growth opportunities and potential risks, with analysts diverging on their projections based on varying levels of confidence in the company's ability to execute its strategies and navigate

external challenges. The significant return potential, combined with a majority of "Buy" and "Hold" ratings, suggests that Okta remains an attractive, albeit not risk-free, investment option for the near term.

Returns

Okta Inc.	Value
Purchase Price (8/30/2024)	\$78.73
Purchase Quantity	127.02
Initial Value of Investment	\$10,000
Adjusted Closing Price (11/29/2024)	\$77.56
Dividend Per Share (8/30 to 11/29)	\$0.00
Total Dividend Paid	\$0.00
Ending Value of Investment	\$9,851.67
Total Dollar Return	(\$148.33)
Holding Period Return	-1.48%
Annualized Return	-5.80%

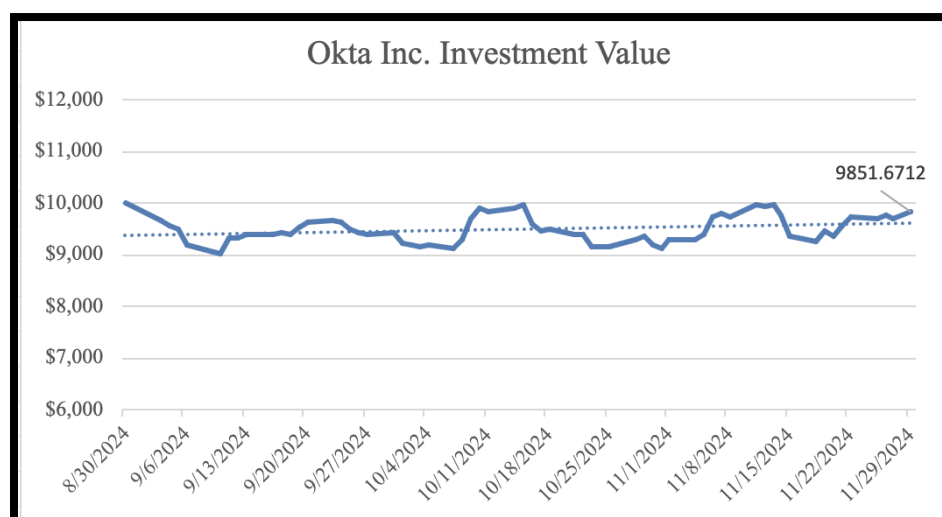


Figure 23 & 24: Performance Graph and Table for Okta Inc.

The performance graph and table for Okta Inc. over the three-month holding period are shown above. Okta's price per share decreased from \$78.73 to \$77.56, which reduced the initial investment value of \$10,000 for the 127.02 shares owned to \$9,851.67. This resulted in a total dollar loss of \$148.33, translating to a holding period return of -1.48% and an annualized return of -5.80%. No dividends were paid during this holding period, further emphasizing the negative return solely based on price depreciation.

The graph demonstrates that Okta's investment value fluctuated over the three months, with several dips and partial recoveries. The stock price failed to maintain consistent upward momentum, reflecting broader market pressures or company-specific factors. The value briefly peaked around mid-October but generally trended lower during the period.

Overall, Okta's slight decline in value over the holding period highlights a challenging performance environment. The lack of dividends and minimal price recovery suggests that the company may face investor skepticism or competitive challenges in its market. Investors may be looking for a stronger operational performance or clearer guidance from the company to regain confidence.

Investment Thesis

Okta Inc. was selected for this portfolio due to its alignment with my moderately aggressive investment strategy, driven by its beta, projected return, and strong position within the rapidly growing identity and access management (IAM) market. Okta's beta of 1.02 is below my maximum threshold of 1.15, fitting within my risk tolerance while still allowing for moderate volatility. With expected 1-year returns of 36.06%, Okta significantly exceeds my required rate of return of 11.14%, reflecting its potential for high returns.

The company's robust revenue growth and focus on subscription-based services further enhance its appeal, providing a stable and recurring income stream. Okta's effective cost management, as evidenced by its improved net profit and adjusted net profit margins, highlights its commitment to operational efficiency and progress toward profitability. Additionally, Okta's presence in a high-growth market is supported by increasing customer adoption, as seen in its expanding base of large clients. While the company is still working toward consistent profitability, its strong cash flow and prudent capital allocation position it well for future growth and stability. Given these factors, Okta is well-suited for my long-term portfolio, aligning with my goals of achieving above-market returns in a dynamic and rapidly evolving sector.



NetApp Incorporated (NTAP)

Exchange: NASDAQ

Headquarters: San Jose CA, 3060 Olsen Dr, United States

Fiscal Year End: April 26th

Beta (5 Year Monthly): 1.22

Discount Rate: 9.8869 (Bloomberg WACC)

Purchase Price (8/30 adjusted close): \$120.72

Purchase Quantity (8/30 adjusted close): 82.84 shares = \$10,000/\$120.72

Security Price Prior to Submission (9/18 adjusted close): \$120.28

Expected Return: $Er = (1 \text{ Yr Target Est} - \text{Purchase Price} + \text{Dividend}) / \text{Purchase Price}$

Expected Return: $11.21\% = (132.17 - 120.72 + 2.08) / 120.72$

NetApp Inc. Description

NetApp Incorporated is a technology company specializing in data storage, management, and cloud services. Founded in 1992 in Sunnyvale, California, NetApp has been a pioneer in the data storage industry. NetApp's primary focus is on providing innovative solutions that help organizations manage their data effectively and efficiently. Their products and services include data storage systems, software, and cloud-based solutions. NetApp's mission statement is to "help customers create a world where data is always available, protected, and easy to use." This reflects their commitment to delivering reliable and accessible data storage solutions. As of 2024, NetApp has a global customer base spanning various industries, including finance, healthcare, technology, and manufacturing. Their solutions are designed to meet the diverse data storage needs of organizations of all sizes, from small businesses to large enterprises.

NetApp is known for its technological advancements, such as the development of the ONTAP operating system, which is a key component of their data storage solutions. This operating system provides features like data deduplication, compression, and efficient data management. NetApp also offers cloud-based services, including cloud storage and hybrid cloud solutions, to cater to the evolving needs of modern businesses. NetApp's focus on data management and storage has positioned it as a leading player in the industry. Their commitment to innovation and customer satisfaction has contributed to their continued success²⁰.

Sector & Industry

NetApp Incorporated operates within the data storage and management industry, a critical component of the broader technology sector. This industry is essential for supporting the vast amount of data generated by businesses and individuals worldwide. The data storage and management industry has witnessed significant growth and evolution, driven by factors such as the increasing digitization of information, the rise of cloud computing, and the growing demand for data-driven insights. Key trends in this industry include cloud storage, data centers, data management, data security, artificial intelligence (AI), and machine learning (ML).

The adoption of cloud-based storage solutions has increased, offering scalability, flexibility, and reduced infrastructure costs. The construction and expansion of data centers have been crucial for accommodating the growing demand for data storage and processing capabilities. Advanced data management tools and techniques have become essential for organizing, protecting, and retrieving data efficiently. Ensuring the security of data has become a paramount concern, leading to increased investments in data protection measures. On top of this, AI and ML are being applied to data storage and management tasks, such as data analysis, optimization, and predictive analytics. The data storage and management industry is highly competitive, with established players and emerging startups vying for market share. However, there is a growing trend of consolidation as companies seek to

²⁰ [NetApp Company Info](#)

expand their product offerings and customer base. Overall, the data storage and management industry is expected to continue growing, driven by the ongoing digital transformation of businesses and the increasing reliance on data-driven decision making. NetApp's position within this industry is influenced by its ability to adapt to these trends and provide innovative solutions that meet the evolving data storage and management needs of organizations.

Heat Map



Figure 25: Heat Map - S&P 500 3 Month Performance as of 11/29/24

TECHNOLOGY - COMPUTER HARDWARE			
NTAP		120.92	-6.79%
Netapp Inc			
ANET		366.03	+6.25%
HPQ		34.87	-5.95%
SMCI		452.94	-51.57%
NTAP		120.92	-6.79%
STX		102.58	-3.82%
WDC		65.40	-19.14%

Figure 26: Technology Sector - Computer Hardware 3 Month Performance as of 11/29/24

NetApp operates within the data storage and management industry, a significant segment of the technology sector. This industry has grown due to increasing data generation, cloud computing, digital transformation, and regulatory compliance. As organizations continue to generate and utilize large amounts of data, the demand for effective data storage and management solutions will remain strong.

Industry Peers

	Name	Mkt Cap (USD)	Last Px (USD)	Chg Pct 1D	Chg Pct 1M	Rev - 1 Yr Gr:Y	EPS - 1 Yr Gr:Y	P/E	ROE	Dvd 12M Yld
	Median	22.84B	108.46	-0.88%	-4.67%	-6.38%	3.79%	61.16	68.70%	1.69%
(101)	NETAPP INC	24.44B	119.35	0.26%	-8.54%	-1.48%	-23.40%	22.70	123.67%	1.69%
(102)	PURE STORAGE INC - ...	16.15B	49.28	-1.04%	-21.05%	2.80%	14.19%	99.63	13.72%	--
(103)	SEAGATE TECHNOLOGY...	21.24B	100.93	-1.12%	-0.79%	-11.28%	--	140.67	--	2.77%
(104)	DELL TECHNOLOGIES ...	82.12B	115.99	-0.71%	4.21%	-13.56%	3.79%	18.85	--	1.40%

Figure 27: Bloomberg as of 9/18/24

The top competitors of NetApp in the IAM industry are Dell Technologies with 81.12B market cap, followed by Seagate Technologies with 21.24B market cap, and lastly, Pure Storage with 16.15B market cap. This puts NetApp above the median market cap of 22.84B. A higher market cap can indicate stability, investor confidence, and access to capital. However, it's not a guarantee of future success.

Major Customers

NetApp serves a diverse customer base spanning various industries and organizations, from small businesses to large enterprises. With over 11,235 companies around the world in 2024 using NetApp, they have a very strong presence across numerous sectors. Key industries where NetApp has a significant customer base include, technology, financial services, healthcare, government, and education. Leading technology companies like Dreamworks Animations, Netflix, Oracle, SAP, Cisco, Adobe, and Microsoft Azure Cloud Services rely on NetApp's data storage and management solutions. Financial institutions, banks, and insurance companies like JP Morgan Chase, Bank of America, Charles Schwab, and Morgan Stanley utilize NetApp's technology for data storage, compliance, and risk management. Healthcare organizations, providers, and hospitals like Cerner, Mayo Clinic, Johns Hopkins Medicine, Stanford Health Care, and Kaiser Permanente employ NetApp's solutions to manage patient data, electronic health records, and research data. Government agencies, including federal, state, and local entities like the FBI, CIA, U.S. Department of Energy, and the U.S. The Department of Homeland Security uses NetApp's technology for data storage, security, and compliance. And lastly, educational institutions, from universities like MIT, Duke University, and Northwestern University, along with many k-12 schools use NetApps services for research data, administrative records, and student information²¹.

Foreign Operations

NetApp has a significant global presence with 51 offices and operations in numerous countries. The company has offices and data centers worldwide which allows it to serve customers in various regions and ensures NetApp complies with local regulations. NetApp operates data centers in regions

²¹ [Net App Customers](#)

such as Europe, Asia-Pacific, and Latin America which provide local data storage and access, reducing latency and improving sovereignty. NetApp's offices around the world allow for local sales, support, and services to its many customers. On top of this, NetApp collaborates with local partners and technology providers to expand its reach and offer unique and customized solutions to customers who are in different markets. These 51 offices allow NetApp to adhere to local data protection and privacy regulations in the countries where it operates, ensuring compliance with local laws like the General Data Protection Regulation or GDPR in Europe. NetApp adapts its business practices and communication strategies to suit the cultural nuances of different markets, fostering strong relationships with its partners as well as its customers. By establishing a strong global presence, NetApp gains the ability to serve a unique customer base, meet local needs, and capitalize on growth opportunities in various regions. This international expansion has been a key factor in NetApp's lasting success as a global leader in data storage and management²².

Seasonality Issues

NetApp generally does not experience significant seasonal fluctuations in its business. While there may be minor variations throughout the year due to factors like customer spending patterns, economic conditions, and product release cycles, the company's overall revenue stream tends to be relatively stable. NetApp primarily serves enterprise customers, whose IT spending is often less susceptible to seasonal swings than consumer spending. On top of this, many of NetApp's customers have long-term contracts for storage solutions, which can provide a steadier revenue stream. NetApp's business model included recurring revenue from services like maintenance and support, which can help supplement and smooth out revenue fluctuations. However, it is important to note that external factors can sometimes still impact NetApp's business. For example, economic downturns or major industry trends could influence customer spending and, consequently, the company's revenue.

Porter's Five Forces

Threat of New Entrants - Low

The data storage industry required significant capital investment in research and development, manufacturing, sales, and marketing. Additionally, established players like NetApp have economies of scale, brand recognition, and strong customer relationships, making it difficult for new entrants to compete. NetApp's large scale operations allow it to benefit from lower costs per unit, making it challenging for smaller competitors to match its pricing. Also customers often face significant switching costs when moving from one storage solution provider to another, as it involves disruptions to their IT infrastructure and data migration. This makes it harder for new entrants to attract customers away from large established players like NetApp.

²² [NetApp Foreign Operations](#)

Bargaining Power of Buyers - Moderate to Low

While large enterprise customers can have some leverage, NetApp's products are often considered essential for data management, limiting their bargaining power. As mentioned earlier, switching costs can limit the bargaining power of buyers, as they may be reluctant to incur the disruptions and expenses associated with changing storage solutions. On top of this, NetApp's differentiated products and services can reduce the bargaining power of buyers, as customers may be less price-sensitive if they perceive significant value in NetApp's offerings.

Bargaining Power of Suppliers - Moderate

NetApp's suppliers, such as component manufacturers and technology providers, have moderate bargaining power. While they can negotiate for favorable terms, NetApp's large scale and dependence on technology can provide some leverage. If the market for key components or technologies is highly concentrated, suppliers may have more bargaining power. However, NetApp can mitigate this risk by diversifying its supply chain and developing alternative sourcing options.

Threat of Substitute Products - Moderate

Cloud storage services and software-defined storage solutions can be considered substitutes for traditional hardware-based storage solutions. While these alternatives may offer different pricing models or features, they may not always meet the specific needs of all customers, particularly those with large-scale data storage requirements or stringent data security and compliance standards. NetApp's focus on high-performance, reliable, and secure storage solutions can help it differentiate itself from substitute products and maintain customer loyalty. There may also be an expensive cost of switching.

Intensity of Rivalry - High

The data storage industry is characterized by intense competition among established players like NetApp, Dell EMC, IBM, and Hewlett Packard Enterprise. While there is a degree of product differentiation, many competitors offer similar products and services, leading to price competition. The high fixed costs associated with research and development, manufacturing, and sales and marketing can intensify rivalry, as companies may be under pressure to maintain high levels of sales to cover costs.

Risk Factors

Identifying the risk factors for a specific company is crucial for investors when deciding whether or not a company is a possible investment option. When a company discloses the risks that are applicable to their businesses, it provides the opportunity for transparency between them and investors which will make investors aware of the factors that may go against their business. The following risks were all sourced from NetApp's 10k under Item 1A²³.

²³ [NetApp 10k Filing](#)

Business & Operation Risk

NetApp, as a leading data storage and management company, faces a range of business and operational risks that could impact its performance. These risks primarily stem from factors related to its operations, sales, and marketing strategies as well as overall business management. NetApp has some execution risk as their success depends on its ability to develop and introduce innovative products that meet market demand. Delays, technical issues, or customer reluctance to adopt new products can hinder growth. There is also sales and marketing execution risk as NetApp relies on its sales and marketing teams to effectively reach customers and drive sales. Ineffective sales strategies, inadequate channel partner relationships, or a failure to position products correctly can negatively impact revenue. Maintaining operational efficiency is also crucial for profitability. Inefficiencies in supply chain management, manufacturing, or service delivery can lead to higher costs and reduced customer satisfaction. NetApp relies heavily on channel partners for sales and distribution. Underperforming or unreliable channel partners can hinder growth and market penetration. On top of this, conflicts or disagreements with channel partners can also disrupt growth and market penetration. NetApp operates in a highly regulated industry, particularly with respect to data privacy and security. Non-compliance with regulations can lead to large fines, reputational damage, and potential legal liabilities. Also, NetApp's international operations are subject to export control laws and regulations which could also lead to large fines, reputation damage, and potential legal liabilities.

Technological Risks

Technological risks are a significant concern for NetApp, given its reliance on advanced data storage and management solutions. These risks arise from the rapid pace of technological change, the complexity of technology, and the potential for security vulnerabilities. Rapid pace of technological change and emerging technologies like software-defined storage, and cloud-native solutions can impact NetApp heavily. On top of this, cybersecurity threats and supply chain security risks may also hinder NetApp's operations. They also face integration challenges, platform changes, complex data environments, data loss or corruption risks. Intellectual property risks also exist with patent disputes, and open-source software risks.

Industry & Economic Risks

NetApps Industry and economic risks primarily stem from external factors that can influence market demand, competitive dynamics, and overall business conditions. Economic slowdowns like reduced IT spending and currency fluctuations can affect NetApps international operations. There are also many competitive pressures due to increased competition with many new entrants and growth of existing competitors which could lead to market share erosion. Recently in this industry there has also been a lot of consolidation risks as companies are buying others to grow stronger. Evolving data privacy regulations can also impose additional compliance burdens and impact business operations. Changes in trade policies or restrictions can affect NetApp's international operations and supply chain. On-premise storage solutions also face a shift to cloud risk as cloud computing is increasingly being adopted.

Management

Chief Executive Officer - George Kurian

George Kurian is the Chief Executive Officer of NetApp where he started working in 2011. He graduated from Princeton University with a degree in electrical engineering and later received his MBA from Stanford Business School. With a proven track record in the technology industry, Kurian has been instrumental in driving NetApp's growth and innovation. Prior to his role as CEO Kurian held various executive positions at NetApp, including Executive Vice president of Product Operations and Senior Vice President of the Data ONTAP group. His deep understanding of the company's products and market dynamics has been invaluable in shaping NetApp's strategy. Before joining NetApp, Kurian worked at Cisco Systems, Akamai Technologies, and McKinsey & Company, gaining valuable experience in networking, content delivery, and management consulting.



Chairman of the Board - Mike Nevens

Mike Nevens is a seasoned executive with a distinguished career spanning decades in the technology industry. He obtained a B.S. in Physics from the University of Notre Dame and a Master of Science in Industrial Administration from Krannert School of Management at Purdue. He was appointed to his current role as Chair of the Board at NetApp in 2009 which underscores his expertise in corporate governance and strategic leadership. Like Kurian, Nevens worked at McKinsey & Company where he led the global technology practice and served on the board of the McKinsey Global Institute. His extensive tenure at McKinsey equipped him with deep insight into economic trends, business strategy, and management practices. Nevens' board experience extends beyond NetApp. He currently serves on the boards of Ciena Corporation and Lowbow Technology, bringing his expertise in technology, strategy, and corporate governance to these organizations.²⁴



²⁴ [NetApp Leadership](#)

Key Executives

Name	Title	Pay
Mr. George Kurian	CEO & Director	3.36M
Mr. Cesar Cernuda Rego	President	2.12M
Mr. Michael J. Berry	Executive VP & CFO	1.57M
Ms. Elizabeth M. O'Callahan	Executive VP, Chief Legal Officer & Corporate Secretary	1.19M
Mr. Harvinder S. Bhela	Executive VP & Chief Product Officer	1.77M
Mr. Gus Shahin	Executive Vice President of Business Technology & Operations	--
Mr. Daniel De Lorenzo	VP, Controller & Chief Accounting Officer	--
Ms. Kris Newton	VP of Corporate Communications & Investor Relations	--
Ms. Gabrielle Boko	Chief Marketing Officer	--
Dr. Alessandra Ginante Yockelson	Executive VP & CHRO	--

Figure 28: NetApp Inc. Key Executives Sourced from Yahoo Finance

Board of Directors

Board of Directors		
Name	Position	Companies
George Kurian	Board Member	Akamai Technologies, McKinsey & Company, Oracle
Mike Nevens	Chairman of the Board, Chairman of the Corporate Governance & Nominating Committee, Audit Committee	Ciena Corporation, McKinsey & Company, Permira Advisers
Deepak Ahuja	Chairman of the Audit Committee	AutoAlliance, Ford
Anders Gustafsson	Board Member, Talent and Compensation Committee	Motorola, Tellabs Inc.
Jerry Held	Board Member, Talent and Compensation Committee	Tamr and Madaket Health, Copia Global, Oracle
Deborah Kerr	Board Member, Audit Committee	Vodafone, Chicos
Carrie Palin	Board Member, Talent and Compensation Committee	Cisco, Splunk, IBM, SendGrid
Scott Schenkel	Chairman of Talent and Compensation Committee	General Electric (GE), Ebay
June Yang	Board Member, Talent and Compensation Committee	Google Cloud, Vmware Inc., Dell EMC

Figure 29: NetApp Board of Directors

The overlap in industry experience among NetApp's board members with other tech companies, while providing valuable insights, raises concerns about potential conflicts of interest. If board members have significant stakes in competitors or companies that could benefit from NetApp's decisions, their impartiality might be compromised. To mitigate these risks, NetApp likely has internal policies and procedures in place, such as disclosure requirements and abstention from voting on relevant matters²⁵.

²⁵ [NetApp Board of Directors](#)

Benchmark Comparison



Figure 30: Bloomberg as of 10/30/24

The chart above highlights the 1Y benchmark results between NetApp and the S&P 500 Information Technology Sector Index. The white line represents NetApp, while the orange line represents the S&P 500 Information Technology Sector Index. Both have shown a strong correlation over the past year, with consistent movements in similar directions. NetApp's 1-year total return stands at 45.94%, slightly outperforming the S&P 500 Information Technology Sector Index, which has a total return of 45.54%. The spread between the two is narrow, at just 0.40%, reflecting NetApp's alignment with the broader sector's performance.

Beneficial Owners & Non Beneficial Owners

According to the SEC rule 13d-3 describes a "beneficial owner" as an individual or group of persons that holds a stake of more than 5% in a company or entity. Rule 13d-3 describes a "beneficial owner" as someone who directly or indirectly by a contract or arrangement has or shares voting power and/or investment power of a security. SEC rule 16a-1 incorporates the definition stated in section 13s with identifying "insiders" of a company who are also considered "beneficial owners". According to rule 16a, an insider who serves as a trustee may need to comply with Section 16 if the trust beneficially owns over 10% of a registered class of the public company's equity security. Officers of a public company are subject to Section 16 if they are the president, principal financial officer, principal accounting officer, vice president in charge of a principal business unit, and anyone in a policy-making function. An "insider" of a public company is then required to report their beneficial ownership of the company's equity securities and any corresponding transitions. In Section 16

“beneficial ownership” is dependent upon whether the person has the opportunity to profit, directly or indirectly, from a purchase, sale, or other transaction in the public company’s equity securities.

Holder Name	Portfolio Name	Source	Opt	Position	% Out	Latest Chg	File Dt
		All	All				
1. Vanguard Group Inc/The		ULT-AGG		26,014,631	12.80	245,591	09/30/24
2. Blackrock Inc		13G		23,277,477	11.45	0	09/30/24
3. PRIMECAP Management Co	PRIMECAP Management Co	13F		13,427,406	6.60	-359,368	09/30/24
4. State Street Corp		ULT-AGG		10,288,846	5.06	21,610	10/31/24
5. Ameriprise Financial Inc		ULT-AGG		6,135,607	3.02	980,965	10/31/24

Figure 31: NetApp Inc. Beneficial Owners Sourced from Bloomberg as of 11/30/24

NetApp has four institutional beneficial owners, none being insiders. The top holder of NetApp is Vanguard Group Inc., holding 26.01 million shares or 12.80% of the company, followed by Blackrock Inc., which owns 23.28 million shares or 11.45%. Primecap Management Company holds 13.43 million shares or 6.60%, and State Street Corp owns 10.29 million shares or 5.06%. Both Vanguard Group Inc. and Blackrock Inc., holding more than 10%, are subject to SEC rules 16a-1 and 13d-3, requiring them to file ownership reports. Primecap Management Company and State Street Corp, owning more than 5%, are also required to file under rule 13d-3. Ameriprise Financial Inc., holding 3.02%, is a non-beneficial owner as it falls below the 5% threshold.

Income Statement

NetApp Inc (NTAP US) - BBG Adjusted			Audited by:		Ernst & Young LLP
In Millions of USD except Per Share	FY 2024		FY 2023		FY 2022
12 Months Ending	04/26/2024	YoY Change	04/28/2023	YoY Change	04/29/2022
Revenue	6,268.0	-1.48%	6,362.0	0.70%	6,318.0
+ Sales & Services Revenue	6,268.0	-1.48%	6,362.0	0.70%	6,318.0
+ Other Revenue	—		—		—
- Cost of Revenue	1,835.0	-14.77%	2,153.0	2.62%	2,098.0
+ Cost of Goods & Services	1,835.0	-14.77%	2,153.0	2.62%	2,098.0
Gross Profit	4,433.0	5.32%	4,209.0	-0.26%	4,220.0
+ Other Operating Income	0.0		0.0		0.0
- Operating Expenses	3,170.0	3.93%	3,050.0	1.16%	3,015.0
+ Selling, General & Admin	2,136.0	2.01%	2,094.0	-1.97%	2,136.0
+ Selling & Marketing	1,828.0	-0.05%	1,829.0	-1.51%	1,857.0
+ General & Administrative	308.0	16.23%	265.0	-5.02%	279.0
+ Research & Development	1,029.0	7.64%	956.0	8.51%	881.0
+ Other Operating Expense	5.0		0.0	-100.00%	-2.0
Operating Income (Loss)	1,263.0	8.97%	1,159.0	-3.82%	1,205.0
- Non-Operating (Income) Loss	-49.0	2.08%	-48.0	-177.42%	62.0
+ Interest Expense, Net	-48.0	2300.00%	-2.0	-103.03%	66.0
+ Interest Expense	64.0	-4.48%	67.0	-8.22%	73.0
- Interest Income	112.0	62.32%	69.0	885.71%	7.0
+ Foreign Exch (Gain) Loss	0.0		0.0		0.0
+ (Income) Loss from Affiliates	—		—		—
+ Other Non-Op (Income) Loss	-1.0	-97.83%	-46.0	1050.00%	-4.0
Pretax Income (Loss), Adjusted	1,312.0	8.70%	1,207.0	5.60%	1,143.0
- Abnormal Losses (Gains)	49.0	-65.25%	141.0	193.75%	48.0
+ Merger/Acquisition Expense	10.0	-52.38%	21.0	61.54%	13.0
+ Disposal of Assets	—		—		—
+ Early Extinguishment of Debt	—		—		—
+ Asset Write-Down	—		—		—
+ Gain/Loss on Sale/Acquisition of Bu	—		—		—
+ Legal Settlement	-5.0		—		2.0
+ Restructuring	44.0	-63.33%	120.0	263.64%	33.0
Pretax Income (Loss), GAAP	1,263.0	18.48%	1,066.0	-2.65%	1,095.0
- Income Tax Expense (Benefit)	277.0	-233.17%	-208.0	-231.65%	158.0
+ Current Income Tax	224.0	-43.72%	398.0	31.79%	302.0
+ Deferred Income Tax	53.0	-108.75%	-606.0	320.83%	-144.0
+ Tax Allowance/Credit	—		—		—
Income (Loss) from Cont Ops	986.0	-22.61%	1,274.0	35.97%	937.0
- Net Extraordinary Losses (Gains)	0.0		0.0		0.0
+ Discontinued Operations	0.0		0.0		0.0
+ XO & Accounting Changes	0.0		0.0		0.0
Income (Loss) Incl. MI	986.0	-22.61%	1,274.0	35.97%	937.0
- Minority Interest	0.0		0.0		0.0
Net Income, GAAP	986.0	-22.61%	1,274.0	35.97%	937.0
- Preferred Dividends	0.0		0.0		0.0
- Other Adjustments	0.0		0.0		0.0
Net Income Available to Common, GAAP	986.0	-22.61%	1,274.0	35.97%	937.0
Net Income Available to Common, Adj	1,027.2	-25.86%	1,385.4	41.89%	976.4
Net Abnormal Losses (Gains)	41.2	-63.04%	111.4	182.92%	39.4
Net Extraordinary Losses (Gains)	0.0		0.0		0.0
Basic Weighted Avg Shares	208.0	-4.15%	217.0	-2.69%	223.0
Basic EPS, GAAP	4.74	-19.25%	5.87	39.76%	4.20
Basic EPS from Cont Ops, GAAP	4.74	-19.25%	5.87	39.76%	4.20
Basic EPS from Cont Ops, Adjusted	4.94	-22.65%	6.38	45.82%	4.38
Diluted Weighted Avg Shares	213.0	-3.18%	220.0	-3.93%	229.0
Diluted EPS, GAAP	4.63	-20.03%	5.79	41.56%	4.09
Diluted EPS from Cont Ops, GAAP	4.63	-20.03%	5.79	41.56%	4.09
Diluted EPS from Cont Ops, Adjusted	4.82	-23.39%	6.30	47.73%	4.26

Source: Bloomberg

Revenues

Total Operating Revenue

FY 2024-2023

- Revenue for NetApp decreased by 1.48% year over year, declining by approximately \$94M, from \$6.362B in FY 2023 to \$6.268B in FY 2024.
 - This decline is attributed to a challenging market environment, possibly influenced by a slowdown in demand for data storage solutions. The company may need to reassess its customer engagement strategies and product offerings to revitalize growth.

FY 2023-2022

- Revenue increased slightly by 0.70% year over year, rising by about \$44M, from \$6.318B in FY 2022 to \$6.362B in FY 2023.
 - This modest growth can be linked to a steady customer base and potential expansion in key markets. However, the marginal increase signals that NetApp faces competitive pressures and might benefit from innovations or enhancements to its service offerings to drive more substantial revenue growth.

Revenue Segmentation

	Fiscal Year				
	2024	2023	% Change	2022	% Change
Product revenues	\$ 2,849	\$ 3,049	(7)%	\$ 3,284	(7)%
Hardware (Non-GAAP)	1,251	1,251	—%	1,358	(8)%
Software (Non-GAAP)	1,598	1,798	(11)%	1,926	(7)%

Figure 32: NetApp 10k

NetApp generates a significant portion of its revenue from product sales, which accounted for \$2.849 billion in FY 2024. This represents a 7% decline from \$3.049 billion in FY 2023 and mirrors a similar 7% decrease from \$3.284 billion in FY 2022. The drop in product revenues indicates potential challenges in market demand or increased competition within the data storage sector. Breaking down product revenues, hardware sales remained stable at \$1.251 billion, showing no change from the previous year, while software revenues experienced an 11% decline to \$1.598 billion, down from \$1.798 billion in FY 2023. This trend suggests that while hardware remains a stable source of income, the software segment is facing headwinds that could impact overall profitability.

According to the financial data, the decrease in software revenue could be attributed to market saturation or the emergence of competing solutions. As NetApp continues to evolve, focusing on enhancing its software offerings and exploring innovative solutions may be essential to reinvigorate growth in this segment. The company's ability to adapt and respond to these challenges will be critical for maintaining a robust revenue stream moving forward.

FY 2024 - 2023

- NetApp's product revenues decreased from \$3,049 million in FY 2023 to \$2,849 million in FY 2024, representing a decline of 7%. Within this category, hardware revenues remained unchanged at \$1,251 million, while software revenues dropped from \$1,798 million to \$1,598 million, a decline of 11%.
 - This shift indicates potential challenges in the software market, which could be impacting overall product sales. The stability in hardware revenue suggests that this segment continues to provide a reliable foundation for NetApp's revenue, even as the company navigates a tougher software landscape.

FY 2023 - 2022

- In FY 2023, NetApp's product revenues fell from \$3,284 million in FY 2022 to \$3,049 million, a decrease of 7%. This decline was driven by a notable reduction in software revenues, which decreased from \$1,926 million to \$1,798 million, reflecting a 7% drop. Hardware revenues also saw a decline of 8%, falling from \$1,358 million to \$1,251 million.
 - This trend indicates that NetApp faced headwinds across its product offerings during this period. The overall decrease in product revenues underscores the need for the company to innovate and enhance its software solutions to remain competitive in a rapidly evolving market.

Revenue by Geographic Area

	Fiscal Year		
	2024	2023	2022
United States, Canada and Latin America (Americas)	51 %	51 %	53 %
Europe, Middle East and Africa (EMEA)	34 %	34 %	32 %
Asia Pacific (APAC)	15 %	15 %	15 %

Percentages may not add due to rounding

Figure 33: NetApp 10k

FY 2024 – 2023

In fiscal year 2024, revenues from the United States, Canada, and Latin America (Americas) accounted for 51% of total revenues, consistent with the 51% share in fiscal 2023. Revenues from Europe, the Middle East, and Africa (EMEA) remained stable at 34%, while the Asia Pacific (APAC) region saw an increase to 15% in 2024 from 14% in 2023. This indicates a steady performance in the Americas, with APAC experiencing modest growth, highlighting a potential area for future expansion.

FY 2023 – 2022

In fiscal year 2023, revenues from the Americas also represented 51% of total revenues, unchanged from 2022. The EMEA region contributed 34%, a slight decrease from 36% in fiscal 2022, while APAC revenues increased to 14% from 12%. The growth in APAC reflects a positive trend, suggesting increased market penetration in that region, while the stability in the Americas indicates a solid revenue base.

Gross Profit

FY 2024 - 2023

- NetApp's gross profit increased from \$4.209B in 2023 to \$4.433B in 2024, representing a 5.32% increase.
 - This increase in gross profit was driven by a strong focus on product innovation and operational efficiencies within their cloud data services and storage solutions. The company's emphasis on enhancing its software offerings and expanding its customer base contributed to improved margins.
 - NetApp is closing the margin of cost of revenue to revenue by 2.88%. This is due to a slight decrease in total revenue from \$6.362B in 2023 to \$6.268B in 2024, while the cost of revenue significantly decreased from \$2.153B to \$1.835B, marking a reduction of 14.77%.
 - NetApp's strategic initiatives, including enhancements in service delivery and cost management, have effectively contributed to this improvement in gross profit.

FY 2023 - 2022

- NetApp's gross profit decreased from \$4.220B in 2022 to \$4.209B in 2023, which is a minor decline of 0.26%.
 - This slight decrease in gross profit occurred amidst challenges in the software market, where revenue from software offerings dropped, impacting overall profitability. The company's operational focus on efficiency and cost control helped mitigate more significant losses in gross profit.
 - NetApp's margin of cost of revenue to revenue widened slightly, with total revenue decreasing from \$6.318B in 2022 to \$6.362B in 2023, while the cost of revenue rose from \$2.098B to \$2.153B, reflecting a 2.62% increase.
 - The company continues to pursue innovation and adapt to market demands, which are critical for regaining momentum in gross profit in the future.

Pretax Income

FY 2024 - 2023

- NetApp's pre-tax loss decreased from \$801 million in 2023 to \$337 million in 2024, representing an improvement of 58.96%.
 - This reduction in loss was driven primarily by a significant decrease in domestic losses, which fell from \$834 million in 2023 to \$360 million in 2024.

- Additionally, there was a slight increase in foreign income, which rose from \$33 million in 2023 to \$23 million in 2024.
- However, this improvement was mitigated by an increase in the total provision for income taxes, which rose from \$14 million in 2023 to \$18 million in 2024. The current tax provision increased due to profitability in certain foreign jurisdictions and adjustments related to stock-based compensation, while the deferred tax provision remained stable, contributing to the overall reduction in the loss.

FY 2023 - 2022

- In FY 2023, NetApp's pre-tax loss slightly decreased from \$850 million in 2022 to \$801 million in 2023, a decline of 5.88%.
 - This change was primarily driven by an increase in domestic losses during the period. Foreign income also experienced a slight decline, decreasing from \$54 million in 2022 to \$33 million in 2023.
- The overall reduction in the pre-tax loss was facilitated by adjustments in the provision for income taxes. The current tax provision increased, influenced by profitable operations in foreign jurisdictions and shortfalls from stock-based compensation, while the deferred tax provision remained relatively stable despite the previous losses.

Effective Tax Rate

FY 2024 – 2023

- The provision for income taxes reflected a substantial increase from a benefit of \$208 in 2023 to an expense of \$277 in 2024, representing a change of 233%.
- The effective tax rate for fiscal 2024 was 21.9%, a significant shift from -19.5% in fiscal 2023.
 - This change was influenced primarily by benefits recognized in fiscal 2023 from an intra-entity asset transfer of certain intellectual property (IP), which was partially offset by a discrete tax expense related to a Danish Supreme Court ruling received on January 9, 2023.

FY 2023 – 2022

- In fiscal 2023, the provision for income taxes reflected a benefit of \$208, contrasting with an expense of \$158 in fiscal 2022, leading to a substantial year-over-year change.
- The effective tax rate for fiscal 2023 was -19.5%, compared to 14.4% in fiscal 2022.
 - The notable difference in effective tax rates was primarily due to the benefits from the intra-entity asset transfer mentioned above, which significantly impacted the taxable income for the year.

Net Income

	Year Ended		
	April 26, 2024	April 28, 2023	April 29, 2022
Net income	\$ 986	\$ 1,274	\$ 937
Other comprehensive loss:			
Foreign currency translation adjustments	(5)	(4)	(17)
Defined benefit obligations:			
Defined benefit obligation adjustments	(4)	(2)	3
Unrealized gains on available-for-sale securities:			
Unrealized holding losses arising during the period	—	—	(1)
Unrealized gains (losses) on cash flow hedges:			
Unrealized holding gains (losses) arising during the period	2	(6)	8
Reclassification adjustments for (gains) losses included in net income	(1)	5	(7)
Other comprehensive loss	(8)	(7)	(14)
Comprehensive income	\$ 978	\$ 1,267	\$ 923

Figure 34: NetApp 10k

FY 2024 – 2023

- For the fiscal year ending April 26, 2024, net income was \$986 million, a decrease from \$1,274 million in the prior year, reflecting a decline of 22.6%..
- Other comprehensive loss increased slightly from \$7 million in 2023 to \$8 million in 2024.
 - Key components included foreign currency translation adjustments of \$(5) million and defined benefit obligation adjustments of \$(4) million.
- Despite the decrease in net income, comprehensive income totaled \$978 million, down from \$1,267 million in 2023, indicating a decline of 22.8%.

FY 2023 – 2022

- In fiscal year 2023, net income rose to \$1,274 million from \$937 million in 2022, marking an increase of 36%.
- Other comprehensive loss also decreased from \$14 million in 2022 to \$7 million in 2023.
 - The improvement in comprehensive income reflected positive trends, with foreign currency translation adjustments improving and unrealized gains on cash flow hedges increasing significantly to \$8 million in 2023.
- Comprehensive income for 2023 was \$1,267 million, up from \$923 million in 2022, highlighting robust overall performance.

Earnings Per Share

FY 2024 – 2023

- For the fiscal year ended April 26, 2024, NetApp reported total revenues of \$6,268 million, a slight decrease from \$6,362 million in 2023.

- Product revenues declined from \$3,049 million in 2023 to \$2,849 million in 2024, while service revenues increased from \$3,313 million to \$3,419 million.
- The total cost of revenues decreased from \$2,153 million in 2023 to \$1,835 million in 2024, resulting in a gross profit of \$4,433 million, up from \$4,209 million.
- Operating expenses remained relatively stable, totaling \$3,219 million compared to \$3,191 million in the prior year.
- Net income was reported at \$986 million, a decrease from \$1,274 million in 2023, yielding basic earnings per share (EPS) of \$4.74, down from \$5.87.
 - This decline in net income is attributed to the lower product revenue, despite improved service performance.

FY 2023 – 2022

- In fiscal year 2023, NetApp's total revenues increased slightly to \$6,362 million from \$6,318 million in 2022.
- Product revenues decreased from \$3,284 million in 2022 to \$3,049 million, while service revenues grew from \$3,034 million to \$3,313 million.
- Total cost of revenues increased from \$2,098 million in 2022 to \$2,153 million in 2023, resulting in a gross profit of \$4,209 million, slightly lower than \$4,220 million in 2022.
- Operating expenses also increased, from \$3,063 million in 2022 to \$3,191 million in 2023.
- Net income rose to \$1,274 million from \$937 million in the previous year, leading to basic EPS of \$5.87, up from \$4.20.
 - The increase in net income was largely driven by a combination of improved service revenues and effective cost management.

Balance Sheet

Total Assets

NetApp Inc (NTAP US) - Standardized					
In Millions of USD except Per Share 12 Months Ending	FY 2024 04/26/2024	YoY Change	FY 2023 04/28/2023	YoY Change	FY 2022 04/29/2022
Total Assets					
+ Cash, Cash Equivalents & STI	3,252.0	5.93%	3,070.0	-25.74%	4,134.0
+ Cash & Cash Equivalents	1,903.0	-17.83%	2,316.0	-43.68%	4,112.0
+ ST Investments	1,349.0	78.91%	754.0	3327.27%	22.0
+ Accounts & Notes Receiv	1,007.0	2.03%	987.0	-19.76%	1,230.0
+ Accounts Receivable, Net	1,007.0	2.03%	987.0	-19.76%	1,230.0
+ Notes Receivable, Net	0.0		0.0		0.0
+ Inventories	186.0	11.38%	167.0	-18.14%	204.0
+ Raw Materials	116.0	78.46%	65.0	-50.38%	131.0
+ Work In Process	0.0		0.0		0.0
+ Finished Goods	70.0	-31.37%	102.0	39.73%	73.0
+ Other Inventory	0.0		0.0		0.0
+ Other ST Assets	452.0	-0.88%	456.0	20.95%	377.0
+ Prepaid Expenses	—		—		—
+ Derivative & Hedging Assets	0.0		0.0		0.0
+ Deferred Tax Assets	—		—		—
+ Misc ST Assets	452.0	-0.88%	456.0	20.95%	377.0
Total Current Assets	4,897.0	4.64%	4,680.0	-21.28%	5,945.0
+ Property, Plant & Equip, Net	851.0	30.92%	650.0	7.97%	602.0
+ Property, Plant & Equip	2,329.0	15.70%	2,013.0	8.69%	1,852.0
- Accumulated Depreciation	1,478.0	8.44%	1,363.0	9.04%	1,250.0
+ LT Investments & Receivables	0.0		0.0		0.0
+ Other LT Assets	4,139.0	-7.78%	4,488.0	29.00%	3,479.0
+ Total Intangible Assets	2,883.0	-1.94%	2,940.0	18.17%	2,488.0
+ Goodwill	2,759.0	0.00%	2,759.0	17.60%	2,346.0
+ Other Intangible Assets	124.0	-31.49%	181.0	27.46%	142.0
+ Deferred Tax Assets	896.0	-5.49%	948.0	161.88%	362.0
+ Derivative & Hedging Assets	0.0		0.0		0.0
+ Misc LT Assets	360.0	-40.00%	600.0	-4.61%	629.0
Total Noncurrent Assets	4,990.0	-2.88%	5,138.0	25.90%	4,081.0
Total Assets	9,887.0	0.70%	9,818.0	-2.07%	10,026.0

Total Liabilities & Equity

Liabilities & Shareholders' Equity					
+ Payables & Accruals	1,479.0	33.73%	1,106.0	-18.44%	1,356.0
+ Accounts Payable	517.0	31.89%	392.0	-35.42%	607.0
+ Accrued Taxes	0.0		0.0		0.0
+ Interest & Dividends Payable	0.0		0.0		0.0
+ Other Payables & Accruals	962.0	34.73%	714.0	-4.67%	749.0
+ ST Debt	440.0	836.17%	47.0	-84.18%	297.0
+ ST Borrowings	0.0		0.0		0.0
+ ST Lease Liabilities	40.0	-14.89%	47.0	0.00%	47.0
+ ST Finance Leases	0.0		0.0		0.0
+ ST Operating Leases	40.0	-14.89%	47.0	0.00%	47.0
+ Current Portion of LT Debt	400.0		0.0	-100.00%	250.0
+ Other ST Liabilities	2,187.0	-5.49%	2,314.0	0.61%	2,300.0
+ Deferred Revenue	2,176.0	-1.89%	2,218.0	2.16%	2,171.0
+ Derivatives & Hedging	11.0	-88.54%	96.0	-25.58%	129.0
+ Misc ST Liabilities	0.0		0.0		0.0
Total Current Liabilities	4,106.0	18.43%	3,467.0	-12.29%	3,953.0
+ LT Debt	2,212.0	-16.12%	2,637.0	-0.23%	2,643.0
+ LT Borrowings	1,992.0	-16.62%	2,389.0	0.13%	2,386.0
+ LT Lease Liabilities	220.0	-11.29%	248.0	-3.50%	257.0
+ LT Finance Leases	0.0		0.0		0.0
+ LT Operating Leases	220.0	-11.29%	248.0	-3.50%	257.0
+ Other LT Liabilities	2,423.0	-5.17%	2,555.0	-1.43%	2,592.0
+ Accrued Liabilities	0.0		0.0		0.0
+ Pension Liabilities	36.0	16.13%	31.0	3.33%	30.0
+ Deferred Revenue	2,058.0	-1.77%	2,095.0	1.65%	2,061.0
+ Derivatives & Hedging	0.0		0.0		0.0
+ Misc LT Liabilities	329.0	-23.31%	429.0	-14.37%	501.0
Total Noncurrent Liabilities	4,635.0	-10.73%	5,192.0	-0.82%	5,235.0
Total Liabilities	8,741.0	0.95%	8,659.0	-5.76%	9,188.0
+ Preferred Equity and Hybrid Capital	0.0		0.0		0.0
+ Share Capital & APIC	997.0	5.50%	945.0	24.34%	760.0
+ Common Stock	0.2	-2.83%	0.2	-3.64%	0.2
+ Additional Paid in Capital	996.8	5.50%	944.8	24.35%	759.8
- Treasury Stock	0.0		0.0		0.0
+ Retained Earnings	208.0	-21.51%	265.0	117.21%	122.0
+ Other Equity	-59.0	15.69%	-51.0	15.91%	-44.0
Equity Before Minority Interest	1,146.0	-1.12%	1,159.0	38.31%	838.0
+ Minority/Non Controlling Interest	0.0		0.0		0.0
Total Equity	1,146.0	-1.12%	1,159.0	38.31%	838.0
Total Liabilities & Equity	9,887.0	0.70%	9,818.0	-2.07%	10,026.0

Source: Bloomberg

Right click to show data transparency (not supported for all values)

Current and Total Assets

	April 26, 2024	April 28, 2023
ASSETS		
Current assets:		
Cash and cash equivalents	\$ 1,903	\$ 2,316
Short-term investments	1,349	754
Accounts receivable	1,007	987
Inventories	186	167
Other current assets	452	456
Total current assets	4,897	4,680
Property and equipment, net	604	650
Goodwill	2,759	2,759
Purchased intangible assets, net	124	181
Other non-current assets	1,503	1,548
Total assets	\$ 9,887	\$ 9,818

Figure 35: NetApp 10k

FY 2024 – 2023

- Total Current Assets increased by \$217 million or 4.64% from 2023 to 2024 (\$4.897 billion - \$4.680 billion).
 - This increase was primarily driven by higher cash and cash equivalents, along with short-term investments.
- Cash and Cash Equivalents decreased significantly by \$413 million or 17.83%, falling from \$2.316 billion to \$1.903 billion.
 - This decline may indicate increased operational expenditures or investments during the year.
- Short-term Investments saw a substantial increase of \$595 million or 79.01%, rising from \$754 million to \$1.349 billion.
 - This suggests a strategic move towards enhancing liquidity and potentially taking advantage of investment opportunities.
- Accounts Receivable increased modestly by \$20 million or 2.03%, from \$987 million to \$1.007 billion.
 - This reflects stable revenue generation and the company's effective management of customer payments.
- Inventories rose by \$19 million or 11.37%, from \$167 million to \$186 million.
 - This increase indicates a proactive approach to meet anticipated demand.
- Other Current Assets decreased slightly by \$4 million or 0.88%, from \$456 million to \$452 million, reflecting minimal fluctuations in this category.

FY 2023 – 2022

- Total Current Assets had an increase of \$107 million or 2.33% from 2022 to 2023 (\$4.680 billion - \$4.573 billion).
 - This growth was influenced by improvements in several asset categories.
- Cash and Cash Equivalents experienced a significant increase of \$191 million or 9.00%, rising from \$2.125 billion to \$2.316 billion.
 - This indicates a strong liquidity position during that fiscal year.

- Short-term Investments decreased by \$420 million or 35.74%, falling from \$1.174 billion to \$754 million.
 - This reduction may reflect a strategic reallocation of resources or lower investment opportunities.
- Accounts Receivable saw an increase of \$123 million or 14.30%, from \$864 million to \$987 million, reflecting higher sales activity and effective credit management.
- Inventories decreased by \$23 million or 12.04%, from \$190 million to \$167 million, indicating effective inventory management practices.
- Other Current Assets rose by \$30 million or 7.05%, from \$426 million to \$456 million, highlighting growth in other current asset categories.

Current and Total Liabilities

Current liabilities:

Accounts payable	\$	517	\$	392
Accrued expenses		1,013		857
Current portion of long-term debt		400		—
Short-term deferred revenue and financed unearned services revenue		2,176		2,218
Total current liabilities		4,106		3,467
Long-term debt		1,992		2,389
Other long-term liabilities		585		708
Long-term deferred revenue and financed unearned services revenue		2,058		2,095
Total liabilities		8,741		8,659

Figure 36: NetApp 10k

FY 2024 – 2023

- Total Current Liabilities increased by \$639 million or 18.43% from 2023 to 2024 (\$4.106 billion - \$3.467 billion).
 - This increase is primarily attributed to several key liability components.
- Accounts Payable increased by \$125 million or 31.87%, rising from \$392 million to \$517 million.
 - This growth suggests a greater reliance on supplier financing or possibly delayed payments, reflecting changing cash flow dynamics.
- Accrued Expenses saw a significant increase of \$156 million or 18.39%, from \$857 million to \$1.013 billion.
 - This rise may indicate higher operational costs, possibly due to increased business activities or upcoming payments for expenses incurred.
- The Current Portion of Long-Term Debt increased to \$400 million from \$0 million, indicating the company has entered into new short-term debt obligations for the year.
- Short-Term Deferred Revenue and Financed Unearned Services Revenue decreased slightly by \$42 million or 1.89%, from \$2.218 billion to \$2.176 billion.
 - This decline suggests stable revenue recognition but may also indicate changes in customer commitments.
- Total Long-Term Debt decreased by \$397 million or 16.63%, from \$2,389 million to \$1,992 million.
 - This reduction could reflect repayments or refinancing efforts aimed at managing debt levels more effectively.

- Other Long-Term Liabilities decreased by \$123 million or 17.36%, from \$708 million to \$585 million, indicating a reduction in long-term obligations.
- Long-Term Deferred Revenue and Financed Unearned Services Revenue decreased slightly by \$37 million or 1.77%, from \$2,095 million to \$2,058 million, which also supports the trend of lower long-term customer commitments.

FY 2023 – 2022

- Total Current Liabilities had an increase of \$462 million or 15.35% from 2022 to 2023 (\$3.467 billion - \$3.005 billion).
 - This increase was driven by several factors.
- Accounts Payable increased by \$34 million or 9.46%, from \$392 million to \$517 million, indicating greater supplier financing.
- Accrued Expenses increased by \$180 million or 26.83%, from \$833 million to \$857 million, reflecting higher operational costs.
- The Current Portion of Long-Term Debt was not applicable in 2022, suggesting a new borrowing strategy was initiated in 2023.
- Short-Term Deferred Revenue and Financed Unearned Services Revenue increased by \$164 million or 8.03%, from \$2.054 billion to \$2.218 billion, indicating strong advance payments from customers.

Shareholders Equity

Stockholders' equity:		
Preferred stock, \$0.001 par value, 5 shares authorized; no shares issued or outstanding as of April 26, 2024 or April 28, 2023	—	—
Common stock and additional paid-in capital, \$0.001 par value, 885 shares authorized; 206 and 212 shares issued and outstanding as of April 26, 2024 and April 28, 2023, respectively	997	945
Retained earnings	208	265
Accumulated other comprehensive loss	(59)	(51)
Total stockholders' equity	1,146	1,159

Figure 37: NetApp 10k

FY 2024 – 2023

- Total Stockholders' Equity decreased by \$13 million or 1.12% from 2023 to 2024 (\$1.146 billion - \$1.159 billion).
 - This decline reflects changes across several components of equity.
- Common Stock and Additional Paid-in Capital increased by \$52 million or 5.50%, rising from \$945 million to \$997 million.
 - This growth indicates that new shares may have been issued, or the company has benefited from stock-based compensation.
- Retained Earnings decreased by \$57 million or 21.51%, from \$265 million to \$208 million.
 - This reduction suggests that the company experienced lower net income or higher dividend distributions during the fiscal year.
- Accumulated Other Comprehensive Loss increased by \$8 million or 15.69%, moving from a loss of \$51 million to a loss of \$59 million.

- This change may reflect unfavorable adjustments in foreign currency translations or other comprehensive income items.

FY 2023 – 2022

- Total Stockholders' Equity increased by \$321 million or 38.01% from 2022 to 2023 (\$1.159 billion - \$838 million).
 - This increase was driven by strong performance in various equity components.
- Common Stock and Additional Paid-in Capital increased by \$185 million or 24.23%, from \$760 million to \$945 million
 - . This growth indicates successful capital raising activities or strong stock compensation practices.
- Retained Earnings increased significantly by \$143 million or 118.64%, from \$122 million to \$265 million.
 - This substantial increase reflects improved net income performance over the fiscal year.
- Accumulated Other Comprehensive Loss improved by \$7 million or 15.91%, from a loss of \$44 million to a loss of \$51 million, indicating reduced negative impacts from other comprehensive income adjustments.

Statements of Cash Flows

NetApp Inc (NTAP US) - Standardized					
In Millions of USD except Per Share 12 Months Ending	FY 2024 04/26/2024	YoY Change	FY 2023 04/28/2023	YoY Change	FY 2022 04/29/2022
Cash from Operating Activities					
+ Net Income	986.0	-22.61%	1,274.0	35.97%	937.0
+ Depreciation & Amortization	255.0	2.82%	248.0	27.84%	194.0
+ Non-Cash Items	379.0	-201.88%	-372.0	-602.70%	74.0
+ Stock-Based Compensation	357.0	14.42%	312.0	27.35%	245.0
+ Deferred Income Taxes	53.0	-108.75%	-606.0	320.83%	-144.0
+ Other Non-Cash Adj	-31.0	-60.26%	-78.0	188.89%	-27.0
+ Chg in Non-Cash Work Cap	65.0	-251.16%	-43.0	-816.67%	6.0
+ (Inc) Dec in Accts Receiv	-33.0	-112.69%	260.0	-183.07%	-313.0
+ (Inc) Dec in Inventories	-18.0	-148.65%	37.0	-141.11%	-90.0
+ Inc (Dec) in Accts Payable	123.0	-159.42%	-207.0	-214.36%	181.0
+ Inc (Dec) in Other	-7.0	-94.74%	-133.0	-158.33%	228.0
+ Net Cash From Disc Ops	0.0		0.0		0.0
Cash from Operating Activities	1,685.0	52.21%	1,107.0	-8.59%	1,211.0
Cash from Investing Activities					
+ Change in Fixed & Intang	-155.0	-35.15%	-239.0	5.75%	-226.0
+ Disp in Fixed & Intang	0.0		0.0		0.0
+ Disp of Fixed Prod Assets	—		0.0		0.0
+ Disp of Intangible Assets	—		0.0		0.0
+ Acq of Fixed & Intang	-155.0	-35.15%	-239.0	5.75%	-226.0
+ Acq of Fixed Prod Assets	-155.0	-35.15%	-239.0	5.75%	-226.0
+ Acq of Intangible Assets	0.0		0.0		0.0
+ Net Change in LT Investment	0.0		0.0		0.0
+ Dec in LT Investment	0.0		0.0		0.0
+ Inc in LT Investment	0.0		0.0		0.0
+ Net Cash From Acq & Div	0.0	-100.00%	-491.0	29.21%	-380.0
+ Cash from Divestitures	0.0		0.0		0.0
+ Cash for Acq of Subs	0.0	-100.00%	-491.0	29.21%	-380.0
+ Cash for JVs	0.0		0.0		0.0
+ Other Investing Activities	-580.0	-12.12%	-660.0	-1566.67%	45.0
+ Net Cash From Disc Ops	0.0		0.0		0.0
Cash from Investing Activities	-735.0	-47.12%	-1,390.0	147.77%	-561.0
Cash from Financing Activities					
+ Dividends Paid	-416.0	-3.70%	-432.0	-3.14%	-446.0
+ Cash From (Repayment) Debt	0.0	-100.00%	-250.0		0.0
+ Cash From (Repay) ST Debt	0.0		0.0		0.0
+ Cash From LT Debt	0.0		0.0		0.0
+ Repayments of LT Debt	0.0	-100.00%	-250.0		0.0
+ Cash (Repurchase) of Equity	-800.0	7.82%	-742.0	49.90%	-495.0
+ Increase in Capital Stock	100.0	-7.41%	108.0	2.86%	105.0
+ Decrease in Capital Stock	-900.0	5.88%	-850.0	41.67%	-600.0
+ Other Financing Activities	-128.0	43.82%	-89.0	17.11%	-76.0
+ Net Cash From Disc Ops	0.0		0.0		0.0
Cash from Financing Activities	-1,344.0	-11.17%	-1,513.0	48.77%	-1,017.0
Effect of Foreign Exchange Rates	-19.0	1800.00%	-1.0	-97.96%	-49.0
Net Changes in Cash	-413.0	-77.02%	-1,797.0	331.97%	-416.0
Cash Paid for Taxes	357.0	-7.51%	386.0	-3.02%	398.0
Cash Paid for Interest	59.0	-9.23%	65.0	-2.99%	67.0

Source: Bloomberg

Right click to show data transparency (not supported for all values)

Operating Activity

	Year Ended		
	April 26, 2024	April 28, 2023	April 29, 2022
Cash flows from operating activities:			
Net income	\$ 986	\$ 1,274	\$ 937
Adjustments to reconcile net income to net cash provided by operating activities:			
Depreciation and amortization	255	248	194
Non-cash operating lease cost	45	52	55
Stock-based compensation	357	312	245
Deferred income taxes	53	(606)	(144)
Other items, net	(13)	(67)	(54)

Figure 38: NetApp 10k

FY 2024 – 2023

- Cash from Operating Activities decreased by \$288 million, or 22.62%, from \$1.274 billion in 2023 to \$986 million in 2024. This decline was primarily driven by a reduction in net income.
- Despite the decrease in net income, which fell from \$1.274 billion to \$986 million, several adjustments helped mitigate the impact on cash flow.
 - Depreciation and Amortization increased slightly by \$7 million, or 2.82%, from \$248 million to \$255 million, indicating stable asset utilization
 - Non-Cash Operating Lease Cost decreased by \$7 million, or 13.46%, from \$52 million to \$45 million, suggesting lower lease costs or changes in lease terms
 - Stock-Based Compensation rose by \$45 million, or 14.42%, from \$312 million to \$357 million, reflecting an increased focus on employee stock incentives
 - Deferred Income Taxes shifted positively, from a negative adjustment of \$606 million in 2023 to a positive \$53 million in 2024, indicating an improvement in tax position
 - Other Items, Net showed a favorable change, with the negative adjustment decreasing from \$67 million to \$13 million, suggesting fewer unfavorable impacts from other non-cash items.

FY 2023 – 2022

- Cash from Operating Activities increased significantly, totaling \$1.274 billion, up \$337 million, or 36.83%, from \$937 million in 2022. This increase was primarily driven by a rise in net income.
- The net income grew from \$937 million to \$1.274 billion, reflecting improved profitability.
 - Depreciation and Amortization increased by \$54 million, or 27.84%, from \$194 million to \$248 million, indicating more significant investments in long-term assets
 - Non-Cash Operating Lease Cost remained relatively stable, with a minor decrease of \$3 million, or 5.45%, suggesting consistent lease arrangements
 - Stock-Based Compensation rose by \$67 million, or 27.35%, from \$245 million to \$312 million, demonstrating continued investment in employee retention

- Deferred Income Taxes saw a significant negative adjustment, moving from a positive \$144 million to a negative \$606 million, which impacted cash flows adversely
- Other Items, Net showed a larger negative adjustment, growing from \$54 million to \$67 million, indicating increased non-cash expenses.

Investing Activities

Cash flows from investing activities:			
Purchases of investments	(2,635)	(1,269)	(18)
Maturities, sales and collections of investments	2,055	550	63
Purchases of property and equipment	(155)	(239)	(226)
Acquisitions of businesses, net of cash acquired	—	(491)	(380)
Other investing activities, net	—	59	—
Net cash used in investing activities	(735)	(1,390)	(561)

Figure 39: NetApp 10k

FY 2024 – 2023

- Cash from Investing Activities resulted in net outflows of \$735M in 2024, a significant improvement from net outflows of \$1.390B in 2023. This shift reflects a strategic adjustment in investment approaches.
 - The increase in cash outflows was driven primarily by a substantial rise in purchases of investments, totaling \$2.635B, compared to \$1.269B in 2023. This indicates a more aggressive investment strategy aimed at positioning the company for future growth.
 - Maturities, sales, and collections of investments contributed positively, totaling \$2.055B in 2024, a notable increase from \$550M in the previous year. This suggests enhanced liquidity management and a focus on realizing gains from prior investments.
 - Purchases of property and equipment decreased to \$155M from \$239M, indicating a more cautious approach to capital expenditures.
- In 2023, NetApp had significant cash outflows related to acquisitions of businesses, totaling \$491M, which were not present in 2024, reflecting a shift towards organic growth and internal investment rather than external acquisitions.

FY 2023 – 2022

- In 2023, net cash used in investing activities was \$1.390B, an increase of 147.18% or \$829M compared to 2022's outflows of \$561M. This was largely driven by increased investments in securities.
 - Purchases of investments in 2023 were \$1.269B, significantly up from just \$18M in 2022, indicating a notable pivot toward securing investment assets.
 - Maturities, sales, and collections of investments also rose to \$550M from \$63M, contributing positively to cash flows.
 - Purchases of property and equipment were relatively stable at \$239M compared to \$226M in 2022, while cash used for acquisitions decreased from \$380M to \$491M.

Net Cash Flows

(In millions)	Fiscal Year	
	2024	2023
Net cash provided by operating activities	\$ 1,685	\$ 1,107
Net cash used in investing activities	(735)	(1,390)
Net cash used in financing activities	(1,344)	(1,513)
Effect of exchange rate changes on cash, cash equivalents and restricted cash	(19)	(1)
Net change in cash, cash equivalents and restricted cash	<u>\$ (413)</u>	<u>\$ (1,797)</u>

Figure 40: NetApp 10k

FY 2024 – 2023

- Net Changes in Cash decreased significantly by 77.01% or \$1.384 billion year over year, with a net cash outflow of \$413 million in 2024 compared to \$1.797 billion in 2023. This substantial decline is primarily driven by a significant decrease in cash from operating activities, which fell to \$1.685 billion from \$2.650 billion in 2023. This reduction reflects challenges in cash generation, potentially linked to increased operational costs or lower revenue.
- Cash used in investing activities also saw an outflow of \$735 million, a slight improvement from \$1.390 billion in 2023, indicating a more cautious approach to capital expenditures. However, cash used in financing activities remained elevated, with a net outflow of \$1.344 billion in 2024 compared to \$1.107 billion in 2023, highlighting ongoing debt repayments and capital management strategies.

FY 2023 – 2022

- Net Changes in Cash experienced a significant decline of 99.73% or \$1.781 billion, resulting in a net cash outflow of \$1.797 billion for the year. This was largely influenced by a dramatic increase in net cash used in financing activities, which rose from an outflow of \$561 million in 2022 to \$1.107 billion in 2023, primarily due to substantial debt repayments.
- Net cash provided by operating activities showed a positive figure of \$2.650 billion, up from \$4.134 billion in 2022, indicating a decreasing capacity to generate cash from core operations. Cash used in investing activities remained consistent with an outflow of \$1.390 billion, reflecting ongoing capital investments despite the declining cash position.

The overall cash flow dynamics suggest a tightening financial landscape, with significant pressure from both operational challenges and financing obligations impacting liquidity.

Ratios

Profitability & Efficiency Ratios

Return On Assets (ROA)

ROA	FY 2024	FY 2023	FY 2022
NetApp	0.10	0.13	0.10
PureStorage	0.02	0.02	-0.05
Seagate Technology	0.04	-0.06	0.19

ROA ratios for NetApp, Pure Storage, and Seagate Technology have shown varied results over the past three consecutive years. NetApp reported a stable ROA of 10% in FY 2024, up from 13% in FY 2023 and consistent with 10% in FY 2022. This stability reflects effective management and solid asset utilization, positioning NetApp as a strong performer in terms of profitability.

Pure Storage maintained an ROA of 2% in FY 2024, unchanged from the previous year, indicating a recovery from a negative ROA of -5% in FY 2022. This improvement suggests that Pure Storage is making progress towards profitability, albeit with ongoing challenges in its operational efficiency.

In contrast, Seagate Technology exhibited significant volatility, with an ROA of 4% in FY 2024, recovering from -6% in FY 2023 but down from 19% in FY 2022. This fluctuation highlights serious operational challenges and questions regarding the company's ability to effectively leverage its assets.

Overall, while NetApp showcases consistent strength in asset utilization, Pure Storage is on a path to recovery. Seagate, however, continues to grapple with substantial challenges, indicating the need for strategic improvements to enhance its financial performance.

Adjusted Return on Assets (Adjusted ROA)

Adjusted ROA	FY 2024	FY 2023	FY 2022
NetApp	0.10	0.14	0.10
PureStorage	0.03	0.02	-0.05
Seagate Technology	0.02	-0.02	0.19

The Adjusted Return on Assets (ROA) ratios for NetApp, Pure Storage, and Seagate Technology show distinct trends over the past three fiscal years. NetApp demonstrated stable performance with an Adjusted ROA of 10% in FY 2024, down slightly from 14% in FY 2023 but consistent with 10% in FY 2022, reflecting effective asset management and solid profitability.

Pure Storage improved to an Adjusted ROA of 3% in FY 2024 after a modest increase from 2% in FY 2023, recovering from a negative ratio of -5% in FY 2022. This positive trend indicates that Pure Storage is making strides toward better operational efficiency and profitability.

In contrast, Seagate Technology faced ongoing challenges, reporting an Adjusted ROA of 2% in FY 2024, which follows a negative -2% in FY 2023 and a stronger 19% in FY 2022. This decline highlights significant operational difficulties that the company needs to address to restore its previous performance levels.

Overall, while NetApp maintains a strong position in asset utilization, Pure Storage is on a recovery path, and Seagate must focus on overcoming its challenges to improve profitability and asset efficiency..

Return on Equity (ROE)

ROE	FY 2024	FY 2023	FY 2022
NetApp	0.86	1.28	1.23
PureStorage	0.06	0.09	-0.19
Seagate Technology	-	-	4.46

The Return on Equity (ROE) ratios for NetApp, Pure Storage, and Seagate Technology illustrate varied financial performances over the past three fiscal years. NetApp has consistently delivered solid results, with ROE values of 86% in FY 2024, 128% in FY 2023, and 123% in FY 2022. This robust performance reflects effective management and strong profitability, showcasing NetApp's ability to generate significant returns on shareholder equity.

Pure Storage presents a mixed picture, with a positive ROE of 6% in FY 2024, following a slight decrease to 9% in FY 2023 and negative returns of -19% in FY 2022. This improvement indicates a turnaround in profitability, although it highlights previous challenges in generating positive returns for shareholders.

In contrast, Seagate Technology reported negative ROE for both FY 2024 and FY 2023 due to its equity being reported at -1,491 million, or -\$1.491 billion, which invalidates the ROE calculation. Previously, Seagate achieved a strong ROE of 446% in FY 2022, but the drastic shift to negative equity raises concerns about its financial health and the operational challenges that have led to this decline.

Overall, NetApp's strong ROE indicates effective asset utilization and profitability, while Pure Storage shows signs of recovery. Seagate, however, faces critical issues that need to be addressed to restore shareholder confidence and improve its financial stability.

Adjusted Return on Equity (ROE)

Adjusted ROE	FY 2024	FY 2023	FY 2022
NetApp	0.89	1.39	1.28
PureStorage	0.08	0.09	-0.19
Seagate Technology	-0.11	0.34	4.56

The Adjusted Return on Equity (ROE) ratios for NetApp, Pure Storage, and Seagate Technology reveal varying financial performances over the past three fiscal years. NetApp consistently excelled with Adjusted ROE values of 89% in FY 2024, down from 139% in FY 2023 and 128% in FY 2022, reflecting effective management and strong profitability despite a slight decline. Pure Storage improved to 8% in FY 2024 after maintaining 9% in FY 2023, recovering from a negative -19% in FY 2022, indicating a positive trend toward profitability and operational efficiency. Conversely, Seagate Technology reported an Adjusted ROE of -11% in FY 2024, down from 34% in FY 2023 and significantly lower than 456% in FY 2022, while grappling with negative equity of -1,491 million, or -\$1.491 billion. This decline raises serious concerns about Seagate's financial health and sustainability, emphasizing the need for strategic improvements to regain investor confidence.

Total Debt to Equity

Debt to Equity	FY 2024	FY 2023	FY 2022
NetApp	2.314	2.316	3.508
PureStorage	0.211	0.798	1.213
Seagate Technology	-	-	52.257

The Debt to Equity ratios for NetApp, Pure Storage, and Seagate Technology highlight differing financial leverage positions over the past three fiscal years. NetApp has seen a slight decrease in its ratio, reporting 2.31 in FY 2024, maintaining a similar level to 2.32 in FY 2023, but down from 3.51 in FY 2022, indicating a reduction in leverage and a more balanced capital structure. Pure Storage improved its position significantly, with a Debt to Equity ratio of 0.21 in FY 2024, down from 0.80 in FY 2023 and 1.21 in FY 2022, reflecting prudent management of debt relative to equity and a focus on financial stability. In contrast, Seagate Technology reported undefined Debt to Equity ratios for FY 2023 and FY 2024 due to negative equity of -1,491 million, or -\$1.491 billion, while its ratio was alarmingly high at 52.26 in FY 2022. This situation underscores serious financial challenges for Seagate, highlighting the need for immediate strategic action to restore financial stability and investor confidence.

Operating Margin

Operating Margin	FY 2024	FY 2023	FY 2022
NetApp	19.37	16.00	18.31
PureStorage	1.89	3.03	-4.51
Seagate Technology	6.90	-4.63	16.77

The Operating Margin ratios for NetApp, Pure Storage, and Seagate Technology reflect diverse profitability trends over the past three fiscal years. NetApp reported a healthy Operating Margin of 19.37% in FY 2024, an improvement from 16.00% in FY 2023 and 18.31% in FY 2022, indicating effective management and strong profitability. Pure Storage improved to an Operating Margin of 1.89% in FY 2024 after posting 3.03% in FY 2023, recovering from a negative margin of -4.51% in

FY 2022, signaling a positive shift toward operational efficiency. In contrast, Seagate Technology demonstrated a notable recovery, with an Operating Margin of 6.90% in FY 2024, up from -4.63% in FY 2023 but down from 16.77% in FY 2022, highlighting ongoing operational challenges amid its negative equity situation. This performance underscores the varying degrees of operational success among the companies, with NetApp leading in profitability, while Pure Storage shows signs of recovery, and Seagate continues to navigate significant hurdles.

Net Profit Margin

Net Profit Margin	FY 2024	FY 2023	FY 2022
NetApp	15.73	20.03	14.83
PureStorage	2.17	2.65	-6.57
Seagate Technology	5.11	-7.16	14.14

The Net Profit Margin ratios for NetApp, Pure Storage, and Seagate Technology highlight contrasting profitability outcomes over the past three fiscal years. NetApp demonstrated a solid performance, with a Net Profit Margin of 15.73% in FY 2024, down from 20.03% in FY 2023 but up from 14.83% in FY 2022, reflecting strong operational efficiency and effective cost management despite a slight decline. Pure Storage achieved a positive Net Profit Margin of 2.17% in FY 2024 after maintaining 2.65% in FY 2023, recovering from a negative margin of -6.57% in FY 2022, indicating a turnaround in profitability as the company continues to improve its financial health. Conversely, Seagate Technology faced ongoing challenges, reporting a Net Profit Margin of 5.11% in FY 2024, recovering from -7.16% in FY 2023 but down from 14.14% in FY 2022, which underscores its operational difficulties amid negative equity. This analysis reveals that while NetApp excels in profitability, Pure Storage is on a recovery path, and Seagate continues to grapple with significant financial challenges.

Adjusted Net Profit Margin

Adjusted NPM	FY 2024	FY 2023	FY 2022
NetApp	0.1507	0.1827	0.1421
PureStorage	0.0104	0.0240	-0.0668
Seagate Technology	0.0791	-0.1180	0.1382

The Adjusted Net Profit Margin (NPM) ratios for NetApp, Pure Storage, and Seagate Technology illustrate differing profitability trajectories over the past three fiscal years. NetApp maintained a strong performance, with an Adjusted NPM of 15.07% in FY 2024, down from 18.27% in FY 2023 but up from 14.21% in FY 2022, indicating robust operational efficiency and effective cost management despite the slight decline. Pure Storage showed progress, achieving an Adjusted NPM of 1.04% in FY 2024, following 2.40% in FY 2023 and recovering from a negative margin of -6.68% in FY 2022, suggesting improvements in revenue generation and cost control as the company works toward profitability. In contrast, Seagate Technology reported an Adjusted NPM of 7.91% in FY 2024, recovering from -11.80% in FY 2023 but down from 13.82% in FY 2022, highlighting ongoing

challenges in maintaining profitability amid negative equity. This analysis reveals that while NetApp continues to excel in profitability, Pure Storage is on a positive trajectory, and Seagate faces persistent financial hurdles.

Solvency & Liquidity Ratios

Current Ratio

Current Ratio	FY 2024	FY 2023	FY 2022
NetApp	1.19	1.35	1.50
PureStorage	1.83	1.41	2.30
Seagate Technology	1.08	1.12	1.13

The Current Ratio for NetApp, Pure Storage, and Seagate Technology highlights varying short-term liquidity positions over the past three fiscal years. NetApp experienced a decline in its Current Ratio, reporting 1.19 in FY 2024, down from 1.35 in FY 2023 and 1.50 in FY 2022, indicating a reduced ability to cover short-term liabilities with current assets. Pure Storage, however, improved its liquidity position with a Current Ratio of 1.83 in FY 2024, up from 1.41 in FY 2023 but down from 2.30 in FY 2022, reflecting effective management of current assets relative to liabilities. In contrast, Seagate Technology maintained a stable Current Ratio of 1.08 in FY 2024, slightly down from 1.12 in FY 2023 and 1.13 in FY 2022, suggesting a consistent ability to meet short-term obligations despite its negative equity situation. Overall, while Pure Storage demonstrates a positive trend in liquidity, both NetApp and Seagate show signs of needing to enhance their short-term financial health.

Quick Ratio

Quick Ratio	FY 2024	FY 2023	FY 2022
NetApp	1.04	1.17	1.36
PureStorage	1.61	1.25	2.05
Seagate Technology	0.58	0.54	0.60

The Quick Ratio for NetApp, Pure Storage, and Seagate Technology reveals different short-term liquidity positions over the past three fiscal years. NetApp experienced a decline, reporting a Quick Ratio of 1.04 in FY 2024, down from 1.17 in FY 2023 and 1.36 in FY 2022, indicating a reduced ability to cover short-term liabilities with its most liquid assets. Pure Storage demonstrated a more stable performance with a Quick Ratio of 1.61 in FY 2024, up from 1.25 in FY 2023 but down from 2.05 in FY 2022, suggesting effective management of liquid assets despite a slight overall decline from previous years. In contrast, Seagate Technology maintained a low Quick Ratio of 0.58 in FY 2024, slightly up from 0.54 in FY 2023 and down from 0.60 in FY 2022, reflecting ongoing liquidity challenges amid its negative equity situation. Overall, while Pure Storage maintains a relatively healthy liquidity position, both NetApp and Seagate face potential liquidity concerns that may require enhanced strategies to improve asset management.

Projections

Sustainable Growth Rate

Retention Ratio Model		2024
Dividends Paid	\$	(416.00)
Net Income	\$	986.00
Dividend Payout Ratio		0.42
Retention Ratio		0.58
Sustainable Growth Rate Model		2024
ROE		0.86
Retention Ratio		0.58
Sustainable Growth Rate		0.50

In 2024, NetApp achieved a Sustainable Growth Rate (SGR) of 50%, calculated by combining a Return on Equity (ROE) of 86% with a Retention Ratio of 58%. This SGR reflects NetApp's ability to grow its earnings and equity through internal reinvestment, reducing the need for external financing.

The high SGR highlights NetApp's strong profitability, demonstrated by its substantial ROE, while the retention ratio indicates a balanced strategy between reinvesting earnings for growth and returning value to shareholders. This approach supports a solid growth model that leverages retained earnings effectively, fostering long-term financial stability.

For NetApp, a 50% SGR positions the company favorably for sustained expansion without reliance on external capital markets, thanks to efficient earnings reinvestment. The high ROE suggests that NetApp's operational strategy is yielding substantial returns on shareholder equity, reinforcing the company's commitment to enhancing profitability.

Looking ahead, maintaining this growth rate will require NetApp to continue optimizing operations and investing strategically. If NetApp sustains its high ROE alongside a similar retention ratio, it can achieve steady growth that compounds over time, benefiting long-term shareholders.

In conclusion, the 50% SGR emphasizes NetApp's potential for substantial, self-supported growth, underscoring a robust foundation for ongoing financial success.

Effective Tax Rate

Year	FY 2022	FY 2023	FY 2024	FY 2025
Effective Tax Rate	14.43%	-19.50%	21.93%	5.62%

Geometric Averages

Revenue

Year	Revenue	% Change	1 + Change
FY 2020	\$ 5,412.0	-	-
FY 2021	\$ 5,744.0	6.13%	1.06%
FY 2022	\$ 6,318.0	9.99%	1.10%
FY 2023	\$ 6,362.0	0.70%	1.01%
FY 2024	\$ 6,268.0	-1.48%	0.99%
Geometric Growth:			3.74%

Operating Income

Year	Operating Income	% Change	1 + Change
FY 2020	\$ (921.0)	-	-
FY 2021	\$ (1,010.0)	9.66%	1.10%
FY 2022	\$ (1,205.0)	19.31%	1.19%
FY 2023	\$ (1,159.0)	-3.82%	0.96%
FY 2024	\$ (1,263.0)	8.97%	1.09%
Geometric Growth:			8.21%

Net Income

Year	Net Income	% Change	1 + Change
FY 2020	\$ 819.0	-	-
FY 2021	\$ 730.0	-10.87%	0.89%
FY 2022	\$ 937.0	28.36%	1.28%
FY 2023	\$ 1,274.0	35.97%	1.36%
FY 2024	\$ 986.0	-22.61%	0.77%
Geometric Growth:			4.75%

Pro Forma Income Statement

In Millions of USD, except Per Share	FY 2025	Growth Rate	FY 2024
Revenue	\$ 6,502	3.74%	\$ 6,268
COGS	\$ (1,840)		\$ (1,835)
Gross Profit	\$ 4,662	5.17%	\$ 4,433
Operating Expenses	\$ (6,029)		\$ (5,696)
Operating Income	\$ (1,367)	8.21%	\$ (1,263)
Non-Operating Expenses	\$ 2,461		\$ 2,526
EBT	\$ 1,094		\$ 1,263
Income Tax Expense	\$ (62)		\$ (277)
Net Income	\$ 1,033	4.75%	\$ 986

- The company's projected 7-line income statement for FY 2025 was derived from the financial data for FY 2024, showcasing key changes and growth metrics:
 - Revenue increased by 3.74%, reaching \$6,502 million compared to \$6,268 million in FY 2024.
 - Gross Profit increased by 5.17%, amounting to \$4,662 million, indicating improved efficiency despite a slight increase in COGS.
 - Operating Income decreased, with a loss of \$(1,367 million), worsening from \$(1,263 million) in FY 2024, primarily due to rising operating expenses.
 - Net Income improved by 4.75%, totaling \$1,033 million, largely supported by a decrease in income tax expense.
- The Effective Tax Rate applied for FY 2025 projections was derived from the prior year's performance, reflecting a 5.67% effective tax rate based on the income tax expense of \$(62 million) on EBT of \$1,094 million.

This analysis underscores both opportunities for growth and challenges in managing operational expenses moving forward.

Pro Forma Balance Sheet

In Millions of USD, except Per Share	FY 2025	Change	FY 2024
Total Current Assets	\$ 5,408.6	\$ 511.6	\$ 4,897.0
Fixed Asset Total	\$ 5,511.3	\$ 521.3	\$ 4,990.0
Total Assets	\$ 10,919.8	\$ 1,032.8	\$ 9,887.0
Current Liabilities	\$ 4,106	\$ -	\$ 4,106
Long-Term Liabilities	\$ 4,635	\$ -	\$ 4,635
Total Liabilities	\$ 8,741	\$ -	\$ 8,741
Shareholder Equity	\$ 2,179	\$ 1,033	\$ 1,146
Total Liabilities & Shareholder Equity	\$ 10,920	\$ 1,033	\$ 9,887
Total Current Assets%	49.5%		
Fixed Asset Total%	50.5%		

TATO RATIO			
	FY 2025	Change	FY 2024
Revenue:	\$ 6,502.37	\$ 234.37	\$ 6,268.00
TATO RATIO:	0.60	-0.04	0.63

- NetApp's projected Total Current Assets for FY 2025 are \$5,408.6 million, reflecting a change of \$511.6 million from FY 2024 (\$4,897.0 million).
 - Percentage of Total Assets: 49.5%.
- The Fixed Asset Total is projected to be \$5,511.3 million, with a change of \$521.3 million from FY 2024 (\$4,990.0 million).
 - Percentage of Total Assets: 50.5%.
- Total Assets for FY 2025 are estimated at \$10,919.8 million, representing an increase of \$1,032.8 million from FY 2024 (\$9,887.0 million).
- Current Liabilities remain unchanged at \$4,106 million, indicating stable short-term obligations.
- Long-Term Liabilities are also unchanged at \$4,635 million, suggesting that NetApp has not taken on additional long-term debt.
- Total Liabilities are consistent at \$8,741 million, demonstrating a stable financial position without increasing leverage.
- Shareholder Equity is projected to rise to \$2,179 million, reflecting a growth of \$1,033 million from FY 2024 (\$1,146 million).
- The Total Liabilities & Shareholder Equity balance stands at \$10,920 million, which is an increase of \$1,033 million from FY 2024 (\$9,887 million), confirming the integrity of the accounting equation.

Total Asset Turnover (TATO) Ratio:

- Revenue for FY 2025 is projected at \$6,502.37 million, a change of \$234.37 million from FY 2024 (\$6,268.00 million).
- The TATO Ratio is projected to be 0.60, down from 0.63 in FY 2024, indicating a slight decline in efficiency in utilizing assets to generate revenue.

This analysis highlights NetApp's strong asset growth and equity position while maintaining stable liabilities. The slight decline in the TATO ratio suggests a need for improved asset utilization efficiency. Overall, NetApp's financial health appears robust, with positive projections for FY 2025.

Insider Transaction

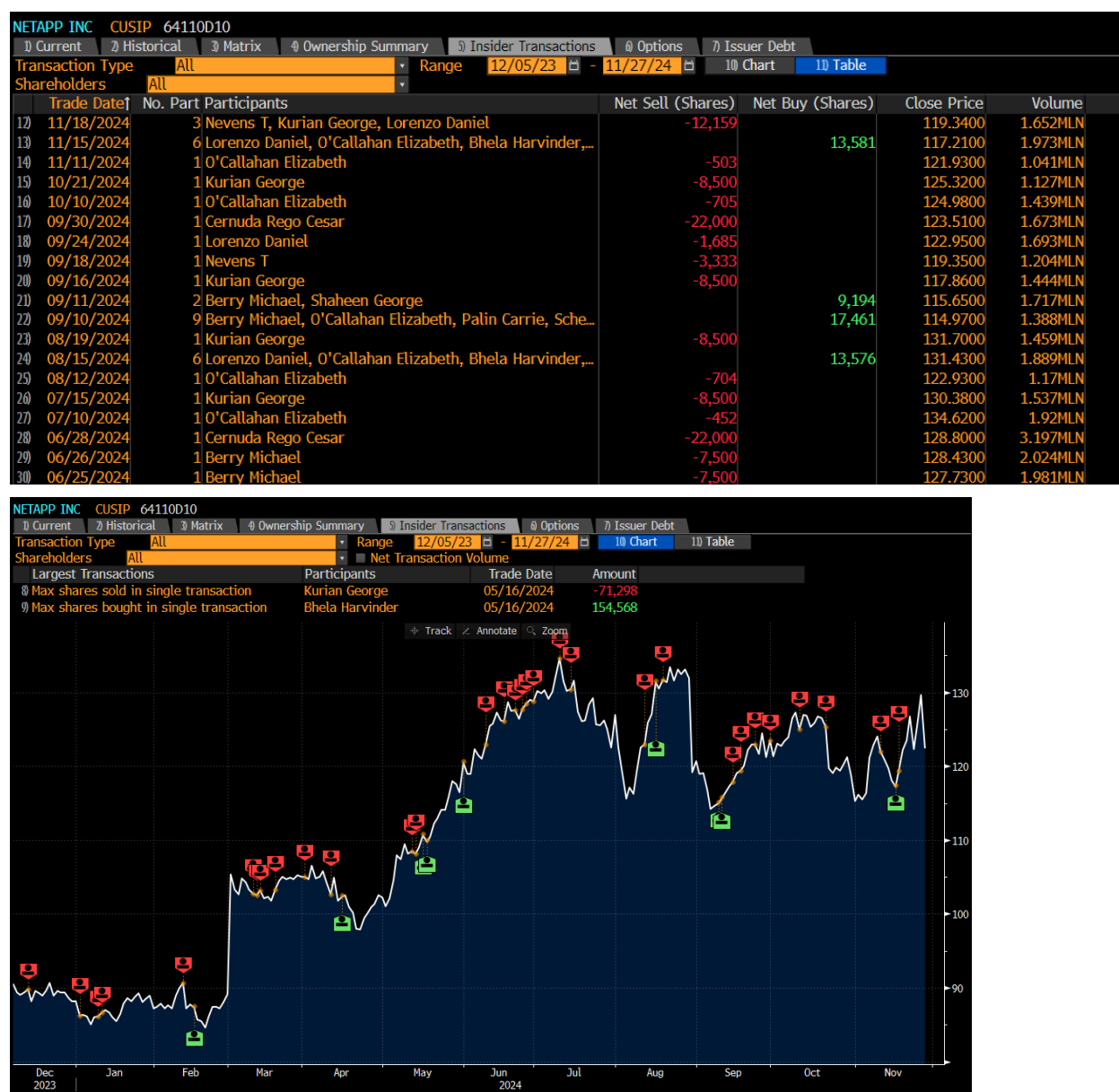


Figure 41 & 42: Insider Transaction Information for NetApp Inc over 1-Year as of 11/27/24

The figures displayed above reflect the past year's worth of insider transactions for NetApp Inc. Total net sales amounted to -71,298 shares, while 154,568 shares were purchased during the same period. The significant amount of shares bought compared to those sold suggests that insiders may have a positive outlook on the company's future performance and growth prospects.

The largest net purchase occurred on 05/16/2024, when Harvinder Bhela bought 154,568 shares, coinciding with a dip in the stock price. On the same day, Kurian George made the largest sale, offloading 71,298 shares. This simultaneous activity indicates potential portfolio rebalancing or strategic decisions made by top executives.

Throughout the year, the stock price has shown notable fluctuations, with insiders strategically selling during peaks and buying during dips. For example, significant sales occurred in July and September 2024, when the stock price hovered above \$130 per share. Conversely, larger purchases were made during price declines in March, April, and September, with the stock trading between \$115 and \$122 per share.

The graph illustrates insider transactions alongside stock price trends, showing a consistent pattern of profit-taking at higher levels and buying during lower points. This behavior aligns with a strategic approach to maximize gains and suggests confidence in the stock's future rebound potential.

Overall, the higher volume of purchases relative to sales signals optimism among insiders. These transactions indicate confidence in NetApp's upcoming performance, whether due to anticipated earnings growth, strategic initiatives, or general market conditions favorable to the company.

Short Interest

NTAP US Equity		Export					
Exchange Reported		Markit Securities Finance - Daily		S3 BLACKLIGHT Market Composite Rate			
Date	12/05/23 - 11/30/24			Markit SI Score	1	S3 Squeeze	43
Short Interest	9,967,901	Short Interest Ratio	6.27	% Float	4.89	Currency	USD
Change in Short Interest	1,081,565	Change in SI Ratio	-.91	Change in % Float	0.53	Chart	Table
Date	Short Interest	Closing Price	Average Daily Volume	Short Interest Ratio			
11/15/2024	9,967,901	117.21	1.59 M	6.266			
10/31/2024	8,886,336	115.31	1.24 M	7.179			
10/15/2024	7,430,261	125.38	1.09 M	6.804			
09/30/2024	6,860,480	123.51	1.57 M	4.381			
09/13/2024	6,470,703	117.32	1.83 M	3.530			
08/30/2024	5,302,873	120.72	1.76 M	3.020			
08/15/2024	6,290,295	131.43	1.61 M	3.896			
07/31/2024	6,273,610	126.98	1.46 M	4.290			
07/15/2024	5,712,213	130.38	1.77 M	3.220			
06/28/2024	5,116,947	128.80	2.45 M	2.085			
06/14/2024	5,171,816	126.17	2.19 M	2.360			
05/31/2024	5,234,658	120.43	2.51 M	2.087			
05/15/2024	4,972,484	110.62	1.99 M	2.504			
04/30/2024	5,054,732	102.21	1.47 M	3.439			



Figure 43 & 44: Short Interest Information for NetApp over 6-months as of 11/30/24

The table and graph above reflect the past 6 months of short interest data for NetApp Inc. The data highlights a relationship between the stock price and the short interest ratio, indicating that as the stock price rose, short interest also increased, reflecting growing bearish sentiment among investors.

At the beginning of the period, on 04/30/2024, the stock price was \$102.21, with 5,054,732 shares in short interest and a short interest ratio of 2.085. This low ratio signaled limited bearish sentiment at the time. However, as the stock price rose through the summer months, short interest steadily climbed, peaking on 10/15/2024 with 7,430,261 shares shorted at \$125.38 per share. The increase in short interest suggests that investors were increasingly betting on a price correction after a strong rally.

A notable dip in short interest occurred in early June, with short interest falling to 4,972,484 shares on 06/30/2024, even as the stock price rose to \$110.62. This decline in short positions, despite rising prices, may indicate that some traders closed their positions, potentially expecting the price momentum to continue.

As of the end of the period, on 11/15/2024, short interest had climbed to 9,967,901 shares, with a short interest ratio of 6.27, as the stock closed at \$117.21. The short interest ratio peaked alongside elevated stock prices, such as the \$131.43 high in August. This continued rise in short interest suggests increased skepticism among traders about the stock's ability to maintain these elevated levels.

Overall, the relationship between short interest and stock price over the past six months reflects cautious investor sentiment amid NetApp's strong performance. While the stock demonstrated impressive gains during the period, the growth in short interest and the rising ratio indicate heightened expectations of a potential correction as the stock reached its highs.

Option Interest



Figure 45: Options Interest for NetApp as of 11/30/24

The total outstanding option contracts for NetApp Inc. as of 12/05/2024 are 65,004, with approximately 62.8% (40,837 contracts) being calls and 37.2% (24,167 contracts) being puts. This heavier weighting in call options indicates that the majority of investors maintain an optimistic outlook, expecting the stock price to rise.

The 1-day average volume shows 821 call contracts and 255 put contracts, highlighting that call options remain more actively traded than puts. Over a 5-day average, call contracts traded increase to 1,076, while put volumes average 255, suggesting sustained interest in bullish positions. The 20-day average shows 704 call contracts and 268 put contracts, indicating a continued trend of higher call activity, albeit at a slightly reduced level over the longer term.

The open interest further confirms this bullish sentiment, with 40,837 call contracts compared to 24,167 puts. This distribution suggests that investors are positioning themselves for potential upward price movement in NetApp's stock.

The graph in the top right illustrates volatility in total option interest throughout 2024, with visible spikes corresponding to key trading events, such as earnings releases and other major announcements. A notable peak in total open interest earlier in the year is followed by periods of stability and moderate fluctuations, reflecting active positioning by investors responding to market developments.

Overall, the majority of outstanding options are weighted toward calls, signaling a generally positive market sentiment toward NetApp's stock. While there are temporary fluctuations in volume and interest, the overall trend remains bullish, with investors using call options to capitalize on potential future gains. The visible shifts in option activity align with significant trading events, suggesting that market participants are strategically adjusting their positions in response to NetApp's performance and broader market conditions.

Significant News

Over the past three months, NetApp has made some key moves that highlight its financial progress and strategic focus. In November 2024, the company delivered strong fiscal second-quarter results, with adjusted earnings of \$1.87 per share on \$1.66 billion in sales, beating Wall Street expectations. As a result, NetApp raised its fiscal 2025 guidance to adjusted earnings of \$7.20 to \$7.40 per share, up from the previous range of \$7.00 to \$7.20.

In September 2024, NetApp announced advancements in its collaboration with industry leaders to enhance intelligent data infrastructure, aimed at supporting the growth of artificial intelligence technologies.

These developments show NetApp's focus on both driving financial success and staying at the forefront of innovation in the tech industry.

Analyst Recommendations

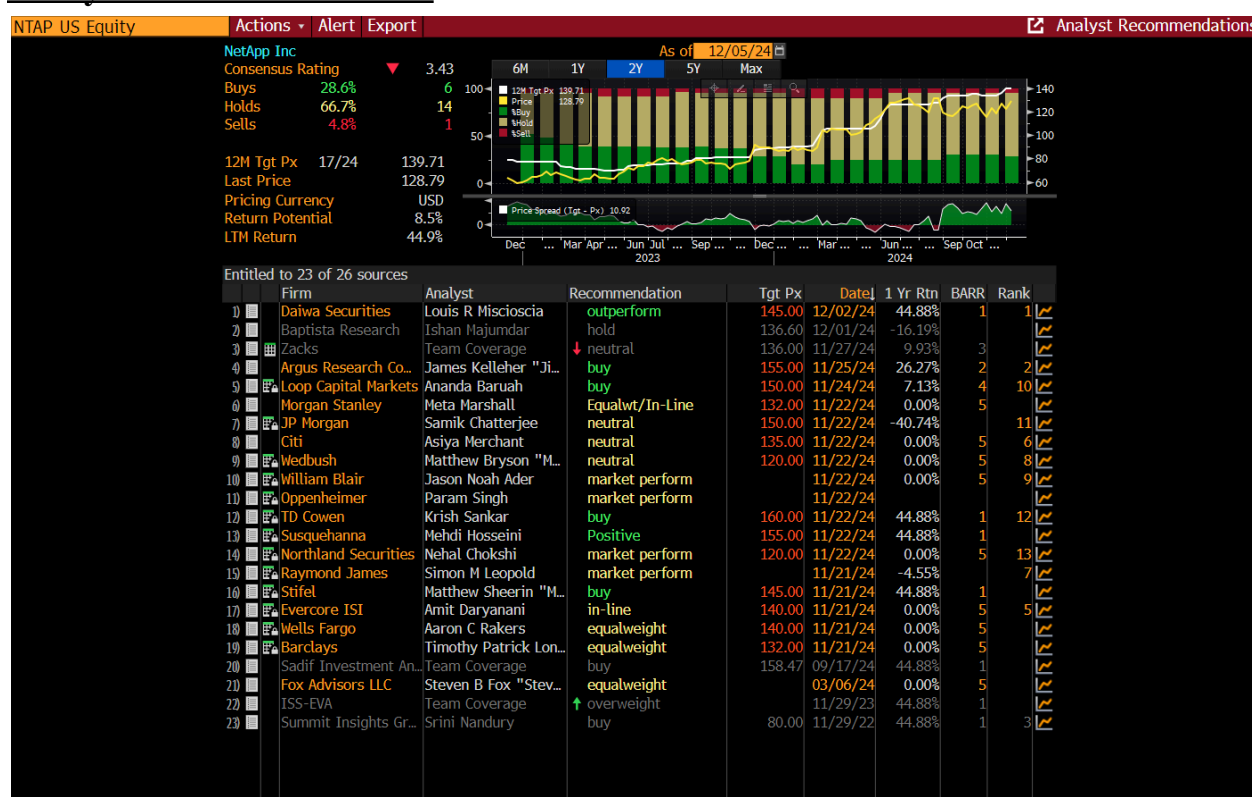


Figure 46: Analyst Recommendation NetApp Inc as of 11/30/24

The analyst recommendations for NetApp Inc. provide a comprehensive look at the stock's market sentiment and projected performance. With a consensus rating of 3.43, the majority of analysts lean towards a "Hold" recommendation, representing 66.7% of the total, while 28.6% suggest a "Buy," and a small 4.8% recommend "Sell." This balanced stance reflects a cautious optimism about the company's potential, backed by its stable performance and strategic market position.

The 12-month target price range varies between \$80 and \$158.47, with the current average target price standing at \$139.71. This represents an 8.5% upside from the last recorded price of \$128.79. Analysts with "Buy" or "Outperform" ratings, such as Daiwa Securities and Argus Research, see significant growth potential, with one-year returns projected as high as 44.88%, aligning with strong fundamental and sectoral trends. Meanwhile, neutral ratings from firms like Morgan Stanley and Citi indicate caution, possibly due to broader market volatility or sector-specific risks.

Despite the mixed ratings, the overall sentiment remains relatively positive, particularly among highly ranked analysts who project higher target prices. The stock's performance has been steady, with a notable return potential, even as some analysts remain conservative in their outlook. The variety in recommendations highlights diverse expectations regarding NetApp's ability to navigate market challenges and capitalize on growth opportunities. This aligns with its strong fundamentals and potential for long-term appreciation, especially for investors with a balanced risk appetite.

Returns

NetApp Inc.	Value
Purchase Price (8/30/2024)	\$120.72
Purchase Quantity	82.84
Initial Value of Investment	\$10,000
Adjusted Closing Price (11/29/2024)	\$122.64
Dividend Per Share (8/30 to 11/29)	\$0.52
Total Dividend Paid	\$43.08
Ending Value of Investment	\$10,202.57
Total Dollar Return	\$202.57
Holding Period Return	2.03%
Annualized Return	8.35%

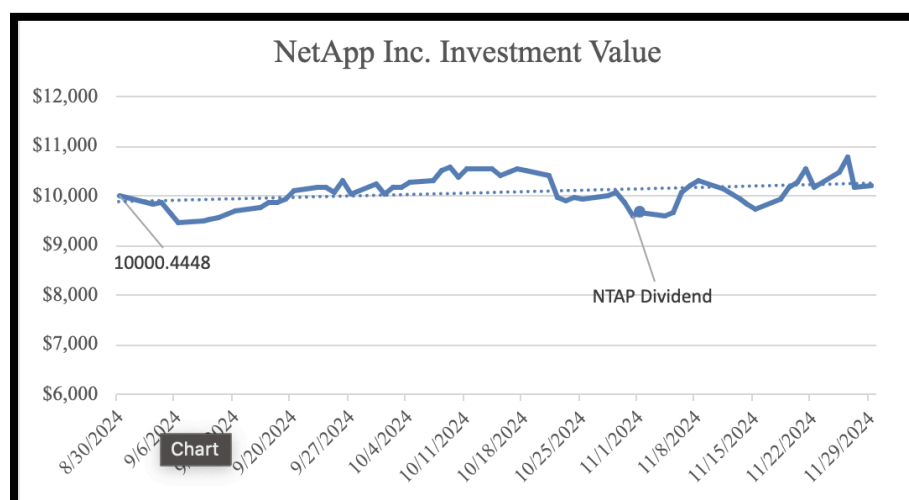


Figure 47 & 48: Performance Graph and Table for NetApp Inc.

The performance graph and table for NetApp Inc. over the three-month holding period are shown above. NetApp's stock price increased slightly from \$120.72 to \$122.64, increasing the initial investment value of \$10,000 for the 82.84 shares owned to \$10,202.57. This resulted in a total dollar return of \$202.57, translating to a holding period return of 2.03% and an annualized return of 8.35%. A dividend of \$0.52 per share was paid during this period, totaling \$43.08 in dividends, which contributed to the positive return on the investment.

The graph illustrates a generally stable performance for NetApp's stock over the three months, with minor fluctuations around the initial investment value. There was a slight dip in October but a recovery toward the end of the period. The dividend payment in November further enhanced the total return, providing additional value beyond the slight appreciation in the stock price.

Overall, NetApp has delivered modest but consistent returns over the holding period. The combination of price appreciation and dividends underscores the company's ability to generate shareholder value even in a relatively short timeframe. This performance suggests stability and reliable income potential, which could appeal to investors seeking a balance of growth and dividend income.

Investment Thesis

NetApp Inc. was selected for this portfolio due to its alignment with my moderately aggressive investment strategy, providing a compelling balance of growth potential, market positioning, and return expectations. NetApp operates within the fast-evolving data storage and cloud management sector, which is experiencing robust demand driven by digital transformation and cloud adoption trends. With a beta of 1.22, NetApp's risk profile slightly exceeds my target beta of 1.15, but this is an acceptable trade-off given the company's competitive edge and potential for high returns, effectively diversifying and balancing the overall portfolio.

Furthermore, NetApp's expected one-year return of 11.21% surpasses my required rate of return of 11.14%, reinforcing its appeal as an investment that meets performance expectations. The company's stable cash flows, continued innovation in cloud and data management solutions, and established customer base across multiple sectors provide a solid foundation for sustainable growth. This investment is not only poised to deliver on return objectives but also benefits from NetApp's strategic initiatives aimed at expanding market share and enhancing operational efficiency.



Fidelity Mid-Cap Stock Fund (FMCSX)

Exchange: OTC

Headquarters: Boston MA, 245 Summer Street, United States

Benchmark: S&P 400 Mid-Cap Index

Beta (5 Year Monthly): 0.88

Purchase Price (8/30 adjusted close): \$42.85

Purchase Quantity (8/30 adjusted close): 233.37 shares = \$10,000/\$42.85

Security Price Prior to Submission (9/18 adjusted close): \$42.70

Expected 5 YTD Return: 11.75%

Fund Manager Background

Portfolio Manager - Nicola Stafford

Nicola Stafford is one of the two current lead portfolio managers for the Fidelity Mid-Cap Stock Fund (FMCSX). Stafford has been a portfolio manager for FMCSX since 1/1/2023 and is in the equity division at Fidelity. She also manages a number of other funds like the VIP Balanced Portfolio, the Fidelity Mid-Cap Commingled Pool, and the Fidelity Advisor Stock Sector Mid-Cap Fund. Before working on these funds, Stafford managed consumer staples at Fidelity as well as worked as a research analyst for Fidelity International Limited (FIL). She received her Bachelor of Science in Mechanical Engineering and Economics from MIT and joined Fidelity in 2001.



Portfolio Manager - Daniel Sherwood

Daniel Sherwood is one of the two current lead portfolio managers for the Fidelity Mid-Cap Stock Fund (FMCSX). Sherwood has been a portfolio manager for FMCSX since 7/01/2024. Sherwood also manages many other funds including the VIP Mid-Cap Portfolio - Investor class.

Sherwood has worked with Fidelity for over 16 years, 9 years as a portfolio manager, and 6 years as an analyst. He also worked at UBS and Merrill Lynch. Sherwood received his Bachelor's Degree (Unspecified) from Yale University and later went on to receive his MBA from Wharton School of Business at the University of Pennsylvania



Fund Investment Strategy

The Fidelity Mid-Cap Stock Fund (FMCSX) is an open end fund. Its objective is long-term growth of capital and follows a blend strategy of 80% assets in common stocks both in domestic and foreign companies with medium market capitalizations. It currently has 161 holdings as of 8/31/2024. The expenses and fees for the fund are minimal as it only charges a load of 0.8% or 8 cents for each \$1 with no minimum required investment. It aims to select companies with market capitalization similar to those in the Russell Midcap Index or the S&P MidCap 400 Index. The Fidelity Mid-Cap Stock Fund typically invests in growth or value stocks.

Morningstar Style Box

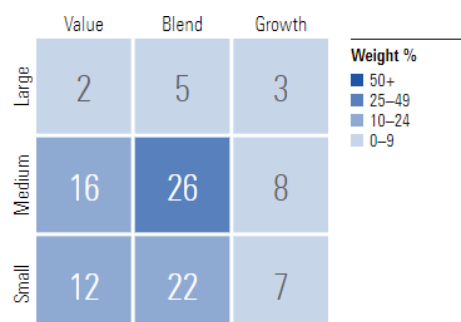


Figure 49: FMCSX Morningstar Style Box as of 9/18/24

The figure above displays the fund's current asset allocation as it makes investment decisions. FMCSX is a medium-capitalization fund focused on value and growth stocks. The majority of its asset allocation is in blended mid-cap equities at 26%, followed by blended small-cap equities at 22%, and value mid-cap equities at 16%.

Category and Ranking

Total Return %	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	YTD
Investment	7.11	-3.08	14.94	18.68	-6.47	25.35	11.37	28.66	-6.29	11.04	11.34
Category	7.80	-4.75	14.14	15.93	-11.15	26.21	12.39	23.40	-14.01	16.00	12.16
Index	12.31	-1.53	14.39	19.50	-8.34	31.10	18.41	23.68	-16.06	16.24	12.42
Quartile Rank											
Percentile Rank	52	73	6	87	53	69	54	16	10	89	56
# of Invest. in Cat.	369	432	427	443	464	404	407	391	405	420	375
Category Name	MG	MG	MG	MG	MG	MB	MB	MB	MB	MB	MB

Figure 50: FMCSX Morningstar Category and Ranking Graph as of 9/18/24

Figure 17 shows FMCSX's performance in comparison with peers in the same category. The fund had its best performance in 2016 and in 2021, ranking in the 6th and 16th percentile respectively. Within the past 10 years, it has achieved stronger returns than the broader category six times to add to the fund's success. The fund's most recent return in 2023 was 11.04% and has a YTD return of 11.34%. In 2023, the fund ranked in the 89th percentile when compared to 420 other funds which is the worst the fund has done in 10 years meaning it is due to bounce back.

Sector Holdings

	Sectors	Investment %	Cat %
Cyclical	Basic Materials	5.04	4.64
	Consumer Cyclical	14.90	13.33
	Financial Services	16.89	15.04
	Real Estate	5.48	5.86
Sensitive	Communication Services	1.52	2.17
	Energy	7.28	4.82
	Industrials	20.23	20.10
	Technology	11.92	16.11
Defensive	Consumer Defensive	4.15	4.07
	Healthcare	8.10	10.73
	Utilities	4.49	3.13

Figure 51: Morningstar Top 10 Sector Holdings as of July 31st, 2024

Figure 51 shows the current sector holding of FMCSX with their respective investment allocations. The fund is allocated diversely across all sectors. A majority of its investments are in the Cyclical and Sensitive areas with Industrials at 20.23%, Technology at 11.92%, Financial Services at 16.89%, and Consumer Cyclical at 14.9%. It is under investing in Technology by 4.19% and over investing in Energy by 2.46%.

Top 10 Security Holdings

Holdings	% Portfolio Weight	First Bought	Market Value as of Jul 31, 2024	Cur	Share Change %	1-Year Return	Forward P/E
Imperial Oil Ltd	1.58	Apr 30, 2021	118,412,174	CAD	↓ 0.31	17.18	10.82
Cheniere Energy Inc	1.42	Nov 30, 2017	106,449,350	USD	↓ 0.31	11.67	18.05
Arch Capital Group Ltd	1.42	Feb 28, 2011	106,214,944	USD	↓ 0.31	44.25	12.32
American Financial Group Inc	1.34	Sep 30, 2019	99,987,305	USD	↓ 0.31	26.45	11.52
Chart Industries Inc	1.26	Jan 31, 2023	94,117,111	USD	↓ 0.31	-30.16	8.81
AECOM	1.24	Nov 30, 2019	92,688,684	USD	↓ 0.31	17.22	19.31
Molina Healthcare Inc	1.24	Dec 31, 2018	92,499,186	USD	↓ 0.31	7.77	13.23
Performance Food Group Co	1.21	Oct 31, 2022	90,821,388	USD	↓ 0.31	25.51	15.11
Radian Group Inc	1.13	May 31, 2009	84,853,896	USD	↓ 0.31	38.46	9.25
Regal Rexnord Corp	1.10	Mar 31, 2009	82,434,142	USD	↓ 0.31	9.13	14.56

Figure 52: Morningstar Top 10 Holdings as of July 31st, 2024

The figure above shows FMCSX's top 10 holdings which equal 12.94% of the funds total allocations of 195 total holdings. The top 10 holdings split relatively evenly with Imperial Oil Ltd being the largest position at 1.58% and Regal Rexnord Corp being the smallest holding of the top 10 at 1.1%. The top 10 holdings come to a market value of \$965,478,180 in assets out of the fund's total of \$7.58B in assets.

Funds Peers

	Name	Treynor 1Y Weekly	Treynor 1Y Weekly	Last Px	Last Px	Curncy	Curncy	Fund Mgr Start Dt	Tot Ret 1Y	Fund Mgr Start Dt	Tot Ret 1Y	Sharpe 1Y Weekly
	FIDELITY MID-C...	0.15	0.15	42.70	42.70	USD	USD	1/01/23	18.44%	1/01/23	18.44%	0.92
1)	FIDELITY LEVER ...	0.22	0.22	36.63	36.63	USD	USD	10/01/...	28.10%	10/01/...	28.10%	1.24
2)	MFS BLND RESR...	0.21	0.21	15.32	15.32	USD	USD	N.A.	27.40%	N.A.	27.40%	1.40
3)	NUVEEN QNT SM...	0.22	0.22	15.88	15.88	USD	USD	1/01/16	26.11%	1/01/16	26.11%	1.19
4)	VANGUARD STRA...	0.20	0.20	39.15	39.15	USD	USD	1/01/21	25.90%	1/01/21	25.90%	1.21
5)	CARILLON SCOU...	0.21	0.21	25.51	25.51	USD	USD	10/01/...	25.73%	10/01/...	25.73%	1.38
6)	FIDELITY ADV M...	0.21	0.21	23.81	23.81	USD	USD	2/22/19	24.58%	2/22/19	24.58%	1.25
7)	EMPOWER MID C...	0.22	0.22	14.88	14.88	USD	USD	1/01/11	23.47%	1/01/11	23.47%	1.29

Figure 53: Bloomberg as of 9/18/24

The two fund peers selected to be analyzed with FMCSX are Empower Mid Cap Value Fund (MXMVX US), and the Vanguard Strategic Equity Fund (VSEQX US). These funds were selected for placing in the same category as FMCSX as a Mid-Cap BlendFund. MXMVX seeks long-term capital growth by investing primarily in underdeveloped mid-cap U.S.companies while FIIAX seeks long-term capital appreciation by investing primarily in undervalued mid-cap U.S. companies.

Benchmark Graph



Figure 54: Bloomberg as of 11/29/24

The graph above shows the FMCSX's (white) performance over the past 5 years relative to its category index, the S&P 400 MidCap Index (orange). The fund and index performance was low in 2020 due to Covid-19, reaching lows of -38%. Since then, they have steadily climbed in sync with total returns of 87.57% (FMCSX) and 81.37% (S&P 400 MidCap Index). The spread being 6.20%.

Ratio Analysis

Risk & Volatility Measures ⓘ

Capture Ratios	Investment	Category
Alpha	-1.48	-3.98
Beta	0.88	0.98
R ²	75.87	79.42
Sharpe Ratio	0.26	0.14
Standard Deviation	17.85	19.53

Figure 55: Morningstar Risk and Volatility Measures as of 9/18/24

Figure 55 illustrates important risk and volatility ratios for the fund as well as its comparative category. With an Alpha of -1.48 and a Beta of 0.88, the fund underperformed its benchmark and did not generate expected returns, despite being less volatile than the market. However, the funds

performance was marginally better than the category comparison which underperformed by a larger margin. The category R-squared of 79.42 suggests that its model explains a larger portion of observed variation in returns compared to the fund's R-squared of 75.87 meaning the category's historical performance is more likely to be a good predictor of future performance compared to the fund. However, both are above 70% meaning that both the fund and the category's price changes are highly correlated to the benchmark index. The Sharpe Ratio for the fund at 0.26 is higher than the category's Sharpe Ratio at 0.14 which means FMCSX is likely having a better historical-risk adjusted performance. The fund also has a lower standard deviation of 17.85 when compared to the category's standard deviation of 19.53 meaning the fund is less volatile/risky to the category. The fund also had a 3 Yr Treynor ratio of 5.31 which measures how well an investment compensates investors for taking on systematic risk.

Expense Analysis

Historical Expense Ratio %

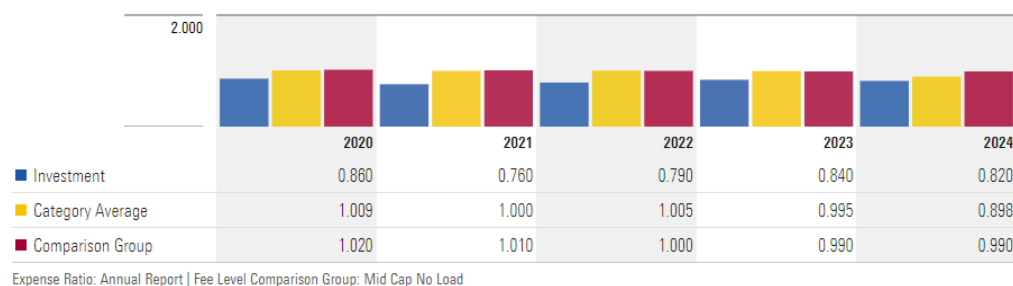


Figure 56: Morningstar Historical Expense Ratio as of 9/18/24

The expenses for FMCSX are lower than both category average and comparison group for 2020-2024. In 2024 the fund generated expenses of 0.820 which is 0.078 lower than the category average and 0.17 lower than the comparison group.

Performance Table

Total Return %	1-Day	1-Week	1-Month	3-Month	YTD	1-Year	3-Year	5-Year	10-Year	15-Year
Investment	0.31	3.37	2.65	7.81	11.34	18.44	7.58	11.75	10.04	11.95
Category	0.40	3.71	2.64	6.46	12.16	22.00	5.56	10.53	8.87	11.07
Index	0.25	2.95	3.25	6.87	12.42	22.87	4.82	11.15	10.31	12.76
Quartile Rank										
Percentile Rank	63	60	52	21	56	83	20	22	20	24
# of Invest. in Cat.	376	376	376	375	375	370	356	327	238	182

Figure 57: Morningstar FMCSX Performance Table as of 9/18/24

The table above shows the overall performance of FMCSX and compares it to the category and index. The fund's YTD Investment return is 11.34% which is below category return of 12.16% and index return of 12.42%. However, the fund beats out both category and index returns in the 3-Month, 3-Year, and 5-Year sections. The fund's highest return is in the 1-Year section at 18.44% but also is in the lowest percentile over each section at the 83rd percentile.

Peer Analysis

Category Rank: Figures 58 - 60 :FMCSX & Peer Category Rankings
(Morningstar)

Fidelity Mid-Cap Stock Fund (FMCSX)

Total Return %	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	YTD
Investment	7.11	-3.08	14.94	18.68	-6.47	25.35	11.37	28.66	-6.29	11.04	14.16
Category	7.80	-4.75	14.14	15.93	-11.15	26.21	12.39	23.40	-14.01	16.00	14.59
Index	12.31	-1.53	14.39	19.50	-8.34	31.10	18.41	23.68	-16.06	16.24	15.15
Quartile Rank											
Percentile Rank	52	73	6	87	53	69	54	16	10	89	54
# of Invest. in Cat.	369	432	427	443	464	404	407	391	405	420	427
Category Name	MG	MG	MG	MG	MG	MB	MB	MB	MB	MB	MB

In 2023, the investment generated a return of 11.04%, which is inferior to the category's return of 14.01%. It ranked in the 4th quartile and placed in the 89th percentile. The current YTD performance is 14.16%, ranking it in the 3rd quartile and the 54th percentile.

Empower Mid-Cap Value Fund (MXMVX)

Total Return %	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	YTD
Investment	16.10	-4.03	20.29	16.99	-12.30	20.49	-0.34	30.17	-11.76	15.15	15.79
Category	9.31	-5.41	18.06	13.22	-12.86	25.18	2.63	29.32	-8.02	13.94	12.33
Index	12.97	-2.75	20.79	15.60	-10.73	27.46	2.04	29.08	-6.57	11.83	14.60
Quartile Rank											
Percentile Rank	3	40	35	14	43	81	75	43	82	36	20
# of Invest. in Cat.	460	471	399	405	417	422	415	413	405	397	388
Category Name	MV	MV	MV	MV	MV	MV	MV	MV	MV	MV	MV

In 2023, the investment generated a return of 15.15%, which is superior to the category's return of 13.94%. It ranked in the 2nd quartile and placed in the 36th percentile. The current YTD performance is 15.79%, ranking it in the 1st quartile and the 20th percentile.

Vanguard Strategic Equity Inv Fund (VSEQX)

Total Return %	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	YTD
Investment	13.68	-1.41	17.92	13.78	-11.91	26.75	10.27	30.86	-11.80	19.21	17.03
Category	7.80	-4.75	14.14	15.93	-11.15	26.21	12.39	23.40	-14.01	16.00	14.59
Index	12.31	-1.53	14.39	19.50	-8.34	31.10	18.41	23.68	-16.06	16.24	15.15
Quartile Rank											
Percentile Rank	6	18	26	73	66	49	60	6	27	21	21
# of Invest. in Cat.	369	432	427	443	464	404	407	391	405	420	427
Category Name	MB	MB	MB	MB	MB	MB	MB	MB	MB	MB	MB

In 2023, the investment generated a return of 19.21%, which was superior to the category's return of 16.00%. It ranked in the 2nd quartile and placed in the 27th percentile. For 2024 YTD, the investment has a return of 17.03%, outperforming the category's 14.59%. It currently ranks in the 1st quartile and sits in the 21st percentile.

Category Summary:

All of the funds experienced a down year in 2022 by generating negative returns and have all rebounded in 2023. VSEQX outperformed its peers in 2023 with the highest return of 19.21%, compared to FMCSX and MXMVX, which earned 11.04% and 15.15%, respectively. FMCSX placed in the 4th quartile with a poor 89th percentile ranking, marking one of its weakest performances. MXMVX, while also in the 2nd quartile, ranked higher in the 36th percentile.

For 2024 YTD, VSEQX continues to lead with a return of 17.03%, placing it in the 1st quartile and the 21st percentile. MXMVX is not far behind with a YTD return of 15.79%, also ranking in the 1st quartile and placing in the 20th percentile. FMCSX has improved but remains the weakest performer among the three, earning a 14.16% YTD return, which places it in the 3rd quartile and the 54th percentile.

Overall, VSEQX shows the most consistent strength across both 2023 and YTD 2024, while MXMVX has maintained solid performance. FMCSX continues to lag behind its peers, struggling to achieve top quartile rankings.

Peer Sector Breakdown

Figures 61 - 63 :FMCSX & Peer Sector Breakdown

Fidelity Mid-Cap Stock Fund (FMCSX)

	Sectors	Investment %	Cat %
Cyclical	 Basic Materials	4.83	4.65
	 Consumer Cyclical	14.93	13.30
	 Financial Services	17.25	15.18
	 Real Estate	5.77	6.03
Sensitive	 Communication Services	1.55	2.25
	 Energy	7.06	4.61
	 Industrials	19.92	19.85
	 Technology	12.16	16.15
Defensive	 Consumer Defensive	4.11	4.00
	 Healthcare	8.00	10.81
	 Utilities	4.41	3.17

The investment breakdown indicates that this fund is well diversified across various sectors. Its largest sector allocation is in industrials at 19.92%, closely matching the category's 19.85%. The next largest allocations are in financial services at 17.25% and consumer cyclical at 14.93%, both slightly higher than their respective category allocations of 15.18% and 13.30%.

The most notable underinvestment is in technology, where the fund allocates only 12.16% compared to the category's 16.15%, showing a shortfall of nearly 4%. The fund's exposure is predominantly in cyclical sectors (41.78%) and sensitive sectors (40.77%), while the defensive sectors make up only 17.29%. This sector distribution suggests the fund may face heightened risk during periods of economic downturns, as it has less exposure to traditionally safer, defensive sectors

Empower Mid-Cap Value Fund (MXMVX)

	Sectors	Investment %	Cat %
Cyclical	 Basic Materials	4.55	5.12
	 Consumer Cyclical	14.45	11.20
	 Financial Services	16.65	17.81
	 Real Estate	11.92	6.08
Sensitive	 Communication Services	2.91	2.76
	 Energy	5.13	5.76
	 Industrials	17.70	16.36
	 Technology	8.84	11.11
Defensive	 Consumer Defensive	3.12	6.56
	 Healthcare	9.50	10.21
	 Utilities	5.22	7.03

Compared to FMCSX, MXMVX has similar sector allocations by being well-diversified across all sectors. It allocates 2.02% less in the consumer cyclical sector and 0.10% less in financial services compared to FMCSX. MXMVX's largest allocation is also in industrials, at 19.92%, which is very close to both FMCSX and the category average.

MXMVX places slightly more weight in sectors such as basic materials, energy, and utilities, though it remains underweight in technology at 12.16% compared to the category average of 16.15%. This contrasts with FMCSX, which also has lower exposure to technology but with a slightly better balance across other sensitive sectors. MXMVX's sector allocation breakdown shows 41.78% in cyclical sectors, 40.77% in sensitive sectors, and 17.29% in defensive sectors.

Compared to FMCSX, MXMVX maintains similar cyclical sector exposure, while having slightly more balanced exposure in the sensitive sectors. The alignment in defensive sector weights suggests that both funds are managing similar levels of risk in downturns, despite differences in other areas.

Vanguard Strategic Equity Inv Fund (VSEQX)

	Sectors	Investment %	Cat %
Cyclical	 Basic Materials	3.43	4.65
	 Consumer Cyclical	14.63	13.30
	 Financial Services	15.74	15.18
	 Real Estate	7.13	6.03
Sensitive	 Communication Services	3.37	2.25
	 Energy	4.05	4.61
	 Industrials	16.41	19.85
	 Technology	16.09	16.15
Defensive	 Consumer Defensive	4.01	4.00
	 Healthcare	11.13	10.81
	 Utilities	4.01	3.17

Compared to FMCSX, VSEQX shows a similar level of diversification with investments spread across multiple sectors. However, VSEQX places more weight in technology at 17.03%, which is 4.87% higher than FMCSX's allocation, compensating for FMCSX's underweight in that sector. VSEQX's industrials exposure is 19.21%, slightly less than FMCSX but still aligned with the category average.

VSEQX also holds a higher allocation in real estate and healthcare compared to FMCSX, though it has lower exposure to financial services and consumer cyclical sectors by 2.32% and 0.72%, respectively. This balance gives VSEQX a more even spread across sensitive and defensive sectors.

VSEQX's sector breakdown consists of 41.77% in cyclical sectors, 41.53% in sensitive sectors, and 16.70% in defensive sectors. Compared to FMCSX, VSEQX has a more substantial emphasis on sensitive sectors, attributed largely to its higher technology allocation. While FMCSX holds slightly more in defensive sectors, both funds remain similarly exposed to cyclical trends. This makes VSEQX better positioned for potential gains from technology and sensitive sectors, though it might face more volatility than FMCSX in downturns.

Top 10 Security Holdings

Figures 64 - 66 :FMCSX & Peers Top 10 Security Holdings (Morningstar)

Fidelity Mid-Cap Stock Fund (FMCSX)

Holdings	% Portfolio Weight	First Bought	Market Value as of Aug 31, 2024	Cur	Share Change %	1-Year Return	Forward P/E
Arch Capital Group Ltd	1.66	Feb 28, 2011	125,410,816	USD	0.00	26.86	11.33
Imperial Oil Ltd	1.64	Apr 30, 2021	124,488,340	CAD	0.00	32.07	14.41
Cheniere Energy Inc	1.43	Nov 30, 2017	107,976,383	USD	0.00	10.07	17.76
AECOM	1.35	Nov 30, 2019	102,437,312	USD	0.00	43.28	21.41
American Financial Group Inc	1.35	Sep 30, 2019	102,018,202	USD	0.00	27.12	10.86
Performance Food Group Co	1.30	Oct 31, 2022	98,245,049	USD	0.00	46.42	15.63
Molina Healthcare Inc	1.25	Dec 31, 2018	94,808,481	USD	0.00	-1.16	12.42
Regal Rexnord Corp	1.14	Mar 31, 2009	86,092,068	USD	0.00	44.05	15.06
TransUnion	1.10	Jan 31, 2023	83,509,371	USD	0.00	138.98	22.47
Realty Income Corp	1.09	Nov 30, 2021	82,938,899	USD	0.00	37.58	38.46

The top holding for FMCSX is Arch Capital Group Ltd. with a portfolio weight of 1.66%. The fund holds 157 equity positions, with no bond holdings and 9 other holdings. The top 10 holdings make up 14.11% of the total portfolio weight. Notably, all of the top 10 holdings reported no change in their share percentage, indicating stability in the fund's asset allocation without recent rebalancing.

Empower Mid-Cap Value Fund (MXMVX)

Holdings	% Portfolio Weight	First Bought	Market Value as of Jun 30, 2024	Cur	Share Change %	1-Year Return	Forward P/E
AMETEK Inc	1.29	Mar 31, 2020	7,932,062	USD	0.00	21.32	22.83
D.R. Horton Inc	1.28	Sep 30, 2023	7,893,630	USD	↓ 2.23	66.93	10.57
Biogen Inc	1.18	Jun 30, 2024	7,239,043	USD	↑ 100.00	-23.62	10.56
IQVIA Holdings Inc	1.17	Mar 31, 2024	7,203,338	USD	↑ 476.64	21.95	17.30
Xcel Energy Inc	1.17	Jun 30, 2023	7,196,624	USD	↓ 1.80	11.04	16.58
Westinghouse Air Brake Technologies Corp	1.15	Dec 31, 2023	7,068,944	USD	↓ 10.82	80.12	—
Otis Worldwide Corp Ordinary Shares	1.15	Dec 31, 2023	7,053,452	USD	↓ 11.16	30.31	24.04
AvalonBay Communities Inc	1.14	Jun 30, 2024	7,002,192	USD	↑ 100.00	44.18	40.98
Synchrony Financial	1.10	Dec 31, 2015	6,759,543	USD	↓ 6.95	102.29	8.58
Devon Energy Corp	1.08	Dec 31, 2023	6,637,991	USD	↓ 10.65	-12.61	7.87

The top holding for MXMVX is AMETEK Inc. with a portfolio weight of 1.29%. In comparison to FMCSX, which has 157 equity positions, MXMVX holds a tighter selection of 10 key equity

positions listed among its top holdings. Both funds report no bond holdings and a similar level of concentration in their top 10, with MXMVX's top 10 holdings making up 11.53% of the portfolio, slightly less than FMCSX's 14.11%.

Unlike FMCSX, which reported no changes in the share percentages of its top 10 holdings, MXMVX has undergone significant activity, with notable increases in Biogen Inc. (+100.00%) and IQVIA Holdings Inc. (+476.64%). However, other holdings like D.R. Horton Inc. (-2.23%) and Otis Worldwide Corp. (-11.16%) saw declines, indicating recent rebalancing. This contrasts with FMCSX's steadier approach, reflecting MXMVX's more active management strategy within its top holdings.

Vanguard Strategic Equity Inv Fund (VSEQX)

Holdings	% Portfolio Weight	First Bought	Market Value as of Sep 30, 2024	Cur	Share Change %	1-Year Return	Forward P/E
Hewlett Packard Enterprise Co	0.89	Mar 31, 2023	73,609,000	USD	↓ 6.97	34.06	9.59
Robinhood Markets Inc Class A	0.76	Sep 30, 2023	63,087,403	USD	↓ 1.95	214.94	—
EMCOR Group Inc	0.75	Mar 31, 2021	62,380,855	USD	↓ 2.61	113.19	—
Owens-Corning Inc	0.74	Sep 30, 2019	61,324,897	USD	↓ 6.84	64.40	11.10
Expedia Group Inc	0.72	Dec 31, 2021	59,917,694	USD	↑ 49.73	70.67	10.76
Textron Inc	0.71	Sep 30, 2022	58,836,252	USD	0.00	8.77	11.83
Tenet Healthcare Corp	0.70	Mar 31, 2018	57,810,182	USD	↓ 28.02	206.40	13.62
NetApp Inc	0.69	Sep 30, 2022	57,397,273	USD	↑ 27.34	71.68	17.15
Delta Air Lines Inc	0.68	Jun 30, 2023	56,312,608	USD	↓ 3.75	88.71	8.05
Huntington Bancshares Inc	0.66	Jun 30, 2023	54,904,005	USD	↑ 49.78	72.03	11.57

The top holding for VSEQX is Hewlett Packard Enterprise Co. with a portfolio weight of 0.89%. In comparison to FMCSX, which holds 157 equity positions, VSEQX displays a more concentrated selection, with its top 10 holdings representing 7.60% of the total portfolio weight, significantly lower than FMCSX's 14.11%. Similar to FMCSX, VSEQX has no bond holdings.

While FMCSX reported no changes in the share percentage for its top 10 holdings, VSEQX exhibits more activity. Notably, NetApp Inc. and Huntington Bancshares Inc. experienced substantial increases in their share allocations, with changes of +27.34% and +49.78%, respectively. Conversely, Tenet Healthcare Corp. saw a large reduction of -28.02%, reflecting active portfolio management. This dynamic rebalancing stands in contrast to FMCSX's steadier approach, suggesting that VSEQX may be more responsive to market conditions in its top holdings.

Peer Group Performance

Total Return %	1-Year	3-Year	5-Year	10-Year
FMCSX	24.54	8.58	12.6	10.63
MXMVX	29.41	8.91	10.09	8.88
VSEQX	32.29	9.65	12.82	10.77

Figure 67

The table above displays the trailing returns for FMCSX, MXMVX, and VSEQX over the past 1, 3, 5, and 10 years. FMCSX underperformed its peers in most trailing periods, with the weakest result over the 1-year period, generating a return of 24.54%—significantly below both MXMVX’s 29.41% and VSEQX’s 32.29%.

Over the 3-year period, FMCSX improved to an 8.58% return, but it still lagged behind MXMVX at 8.91% and VSEQX at 9.65%, demonstrating its relative underperformance compared to these funds. Despite this improvement, FMCSX remains behind both peers.

In the 5-year period, FMCSX’s performance increased to 12.6%, though it remained behind VSEQX’s 12.82% return. However, FMCSX outperformed MXMVX, which earned 10.09% over the same period.

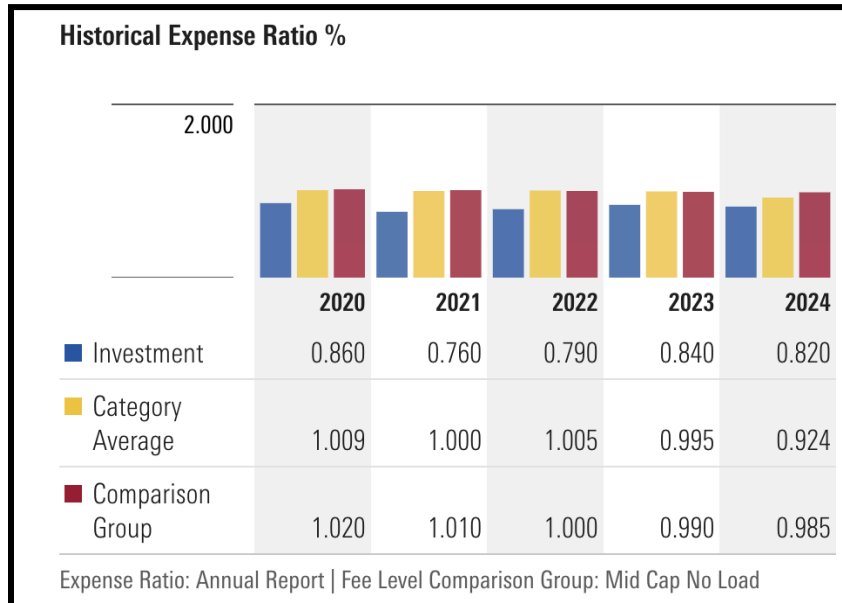
Over the 10-year period, FMCSX generated a return of 10.63%, slightly outperforming MXMVX at 8.88% but falling just short of VSEQX, which achieved a return of 10.77%. FMCSX’s trailing performance shows that it consistently trails VSEQX in each period, with VSEQX generating the highest returns across all timeframes.

In summary, VSEQX demonstrated superior returns across all periods, while FMCSX struggled to compete, particularly in the 1-year and 3-year periods, where it performed the weakest among the three funds.

Expense Comparison

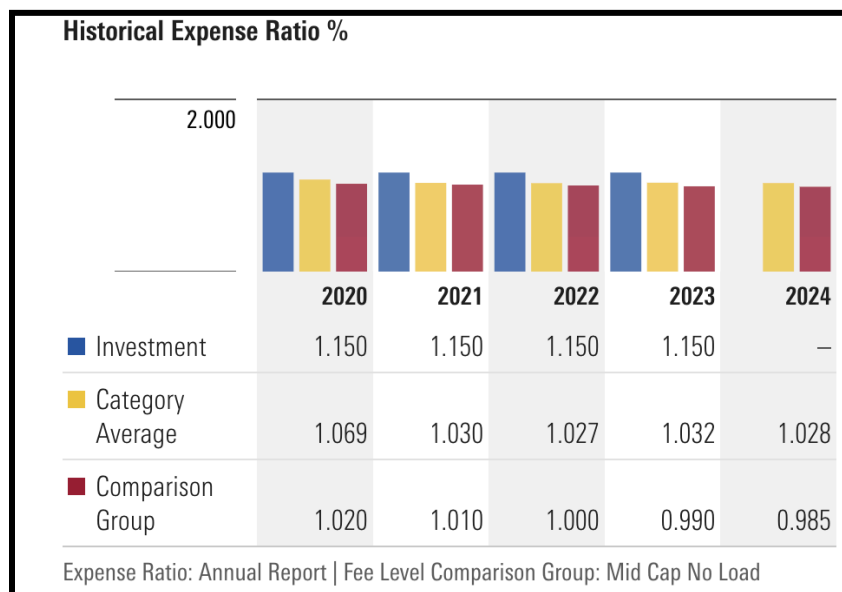
Figures 68 - 70 :FMCSX & Peers Historical Expense Ratio (Morningstar)

Fidelity Mid-Cap Stock Fund (FMCSX)



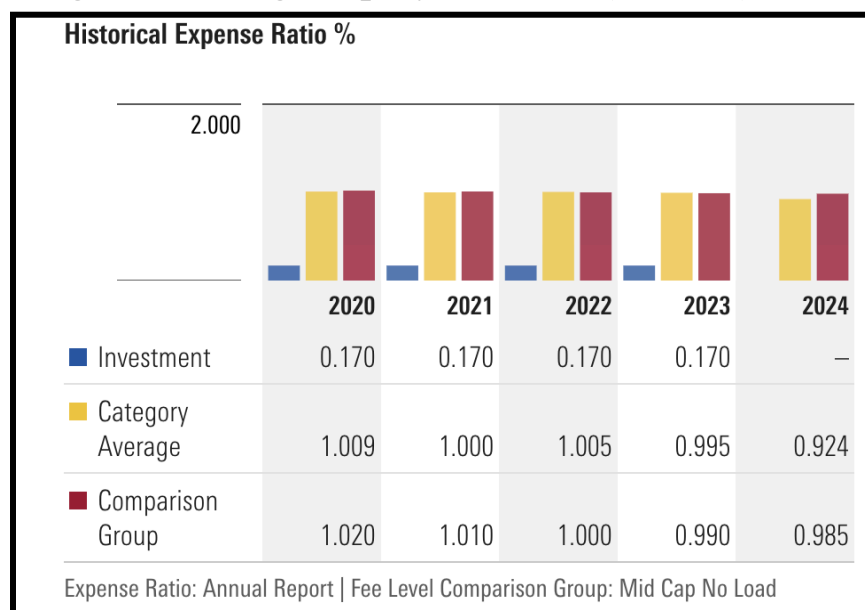
In 2024, the investment has an expense ratio of 0.820%, which is lower than the category average of 0.924% by 10 basis points (bps). This is a slight decrease of 2 bps from the previous year's expense ratio of 0.840%. Since 2020, the investment's expense ratio has consistently remained below both the category average and the comparison group each year. The investment does not require a front load fee, 12b-1 fee, or minimum initial investment, making it accessible for a range of investors. With a lower-than-average expense ratio, this investment offers a cost-effective option compared to its category, enhancing its attractiveness to investors seeking affordability and value.

Empower Mid-Cap Value Fund (MXMVX)



In 2023, the investment has an expense ratio of 1.150%, which is higher than the category average of 1.032% by 11.8 basis points (bps). This expense ratio has remained unchanged at 1.150% from 2020 through 2023, consistently higher than both the category average and the comparison group in each of those years. The category average expense ratio in 2024 is projected to be 1.028%, while the comparison group average is 0.985%, though specific data for the investment's 2024 expense ratio is not yet provided. The stability of this investment's expense ratio suggests a steady fee structure, albeit at a level higher than the average of its category and comparison group. This relatively high expense ratio may be a consideration for investors who prioritize lower fees in their investment choices.

Vanguard Strategic Equity Inv Fund (VSEQX)



In 2023, the investment has an expense ratio of 0.170%, which is significantly lower than the category average of 0.995%, marking a difference of 82.5 basis points (bps). The expense ratio has remained steady at 0.170% from 2020 through 2023, consistently well below both the category average and the comparison group every year.

The category average expense ratio in 2024 is projected to be 0.924%, and the comparison group average is 0.985%. Although the 2024 expense ratio for the investment is not yet available, the consistently low expense ratio from previous years highlights its cost-efficiency. This low expense ratio offers a considerable advantage for investors, reducing the cost of investment relative to both the category and the comparison group, which can positively impact net returns over time.

Ratio Analysis

5-Year	FMCSX	MXMVX	VSEQX	Category
Alpha	-2.54	-5.75	-2.87	-4.36
Beta	1	1.1	1.14	0.98
R²	79.05	81.06	81.78	79.17
Sharpe	0.57	0.44	0.58	0.24
Standard Deviation	20.26	21.91	22.71	19.35
Treynor	10.11	6.95	9.95	

Figure 71

Alpha:

All of the funds have a negative alpha, indicating underperformance relative to their respective benchmark indices. Among the peers, FMCSX has the highest alpha at -2.54, which is also higher than the category average of -4.36. VSEQX follows FMCSX with an alpha of -2.87, while MXMVX has the lowest alpha at -5.75. Despite the negative value, FMCSX's alpha highlights its relative strength in outperforming both competitors and the broader category. After adjusting for risk, FMCSX struggles to generate excess returns above the benchmark, but it still fares better than the category and its peers.

Beta:

FMCSX has the lowest beta among its peers, at 1.0, which is consistent with the market average. This indicates that FMCSX may experience similar levels of systematic risk compared to the market but slightly less than the category average of 0.98. MXMVX has a beta of 1.1, indicating a slightly higher volatility than FMCSX, and VSEQX has the highest beta at 1.14, meaning it is more sensitive to systematic risk than both the market and the category. Overall, FMCSX's lower beta allows it to be less exposed to market fluctuations and less vulnerable to systematic risk compared to its peers and the broader category.

Sharpe Ratio:

All three funds and the category average have Sharpe ratios below 1.0, indicating suboptimal risk-adjusted performance as they generate only a partial excess return for each unit of risk taken. VSEQX has the highest Sharpe ratio at 0.58, followed closely by FMCSX at 0.57, both outperforming the category average of 0.24. MXMVX has the lowest Sharpe ratio among the funds at 0.44, highlighting its relative weakness in generating returns compared to the risk assumed. The higher Sharpe ratios for FMCSX and VSEQX indicate that these funds provide better returns per unit of risk than both MXMVX and the category average.

Treynor Ratio:

The Treynor ratio considers systematic risk by using beta instead of standard deviation. FMCSX has the highest Treynor ratio at 10.11, indicating it delivers the best excess return per unit of systematic risk, outperforming both its peers and the category average of 9.35. VSEQX follows with a Treynor ratio of 9.95, and MXMVX has the lowest Treynor ratio at 6.95. This suggests that FMCSX provides superior risk-adjusted performance when considering market risk, largely due to its more favorable beta.

Returns

Fidelity Mid-Cap Stock Fund	Value
Purchase Price (8/30/2024)	\$42.85
Purchase Quantity	233.37
Initial Value of Investment	\$10,000
Adjusted Closing Price (11/29/2024)	\$47.04
Dividend Per Share (8/30 to 11/29)	\$0.00
Total Dividend Paid	\$0.00
Ending Value of Investment	\$10,977.72
Total Dollar Return	\$977.72
Holding Period Return	9.78%
Annualized Return	45.23%

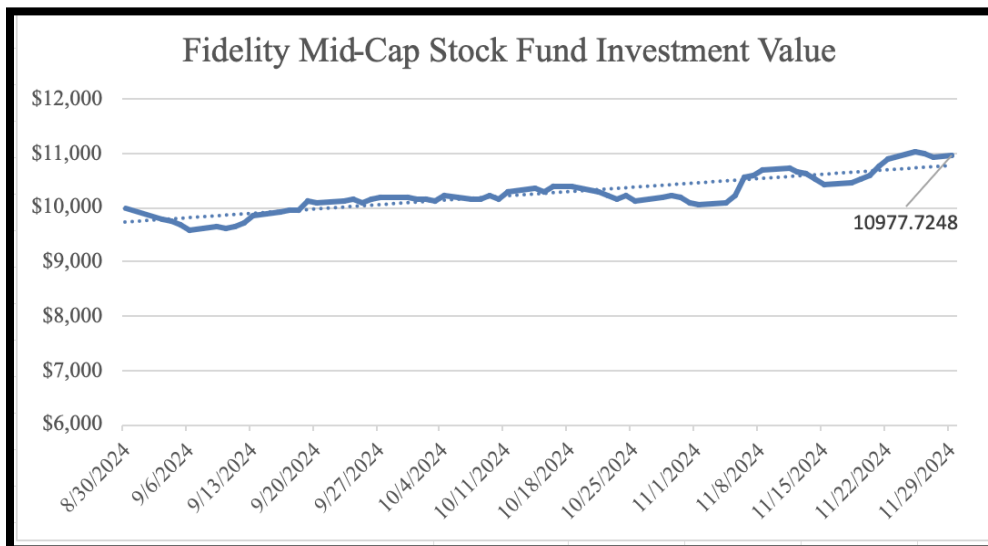


Figure 72 & 73: Performance Graph and Table for FMCSX

The performance graph and table for Fidelity Mid-Cap Stock Fund (FMCSX) over the three-month holding period are shown above. The fund's price per share increased from \$42.85 to \$47.04, raising the initial investment value of \$10,000 for the 233.37 shares owned to \$10,977.72. This resulted in a total dollar return of \$977.72, translating to a holding period return of 9.78% and an annualized return of 45.23%. No dividends were paid during this period, meaning the positive return was entirely driven by price appreciation.

The graph illustrates a steady upward trend in the investment's value, with the fund showing consistent growth over the three months. While there were minor dips, particularly in late October, the value quickly rebounded, reflecting the fund's overall resilience and strong performance in the mid-cap equity market.

Overall, Fidelity Mid-Cap Stock Fund delivered solid returns over the holding period, significantly outperforming many benchmarks. The growth was primarily fueled by positive market conditions for mid-cap stocks, demonstrating the fund's ability to capitalize on opportunities in this segment. This strong performance highlights FMCSX as a potentially rewarding option for investors seeking growth within the mid-cap space.

Investment Thesis

My investment thesis for selecting the Fidelity Mid-Cap Stock Fund (FMCSX) remains strong due to several key factors. FMCSX has maintained a relatively low beta of 0.88, aligning with my objective of managing systematic risk while still achieving growth potential. Its 5-Year return of 11.75% continues to exceed my required return threshold of 11.14%, demonstrating consistent performance. The fund's diversified sector allocation, with a focus on cyclical and sensitive sectors, allows it to capture growth in economic upswings, while its underweighting in defensive sectors is manageable given my broader portfolio composition.

Additionally, FMCSX has a lower-than-average expense ratio of 0.820%, making it a cost-effective choice compared to peers. The presence of seasoned portfolio managers, Nicola Stafford and Daniel Sherwood, further strengthens my confidence in the fund's strategic direction. FMCSX's blend of value and growth stocks in the mid-cap space complements my portfolio's focus on large-cap equities, providing balanced exposure across market capitalizations. This fund's consistent track record, disciplined expense structure, and targeted investment strategy make it a valuable component

Portfolio Analysis

Beta Analysis

Security	Initial Beta	Current Beta	Initial Investment	Initial Weights	Current Value	Current Weights	Portfolio Beta
OKTA	1.02	1.01	\$10,000	33.33%	\$9,851.67	31.75%	0.32
NTAP	1.22	1.23	\$10,000	33.33%	\$10,202.57	32.88%	0.40
FMCSX	0.88	0.91	\$10,000	33.33%	\$10,977.72	35.38%	0.32
Portfolio	1.04	1.05	\$30,000	100.00%	\$31,031.97	100.00%	1.05

The table above shows the portfolio beta analysis for a three-security portfolio consisting of Okta (OKTA), NetApp (NTAP), and Fidelity Mid-Cap Stock Fund (FMCSX). The initial portfolio beta was 1.04, indicating that the portfolio was slightly more volatile than the market. Over the holding period, the portfolio beta increased slightly to 1.05 due to the rise in NTAP's beta from 1.22 to 1.23, reflecting its increased sensitivity to market movements.

FMCSX, with the lowest beta of 0.91, provided a stabilizing effect, while NTAP contributed the most to the portfolio's overall beta due to its higher weight and volatility. OKTA's beta declined slightly from 1.02 to 1.01, which slightly mitigated the overall increase in portfolio risk.

The portfolio's current beta of 1.05 suggests that it remains moderately exposed to market volatility, with a slight tilt toward higher risk compared to the market benchmark. This balanced mix of higher-beta and lower-beta securities allows for growth potential while managing overall risk levels. The shifts in weights and betas reflect changes in market dynamics and security performance during the period.

Portfolio Performance

Investment Portfolio	Values
Initial Value of Investment	\$30,000.00
Ending Value of Investment	\$31,031.97
Total Dollar Return	\$1,031.97
Holding Period Return	3.44%
Annualized Return	14.49%

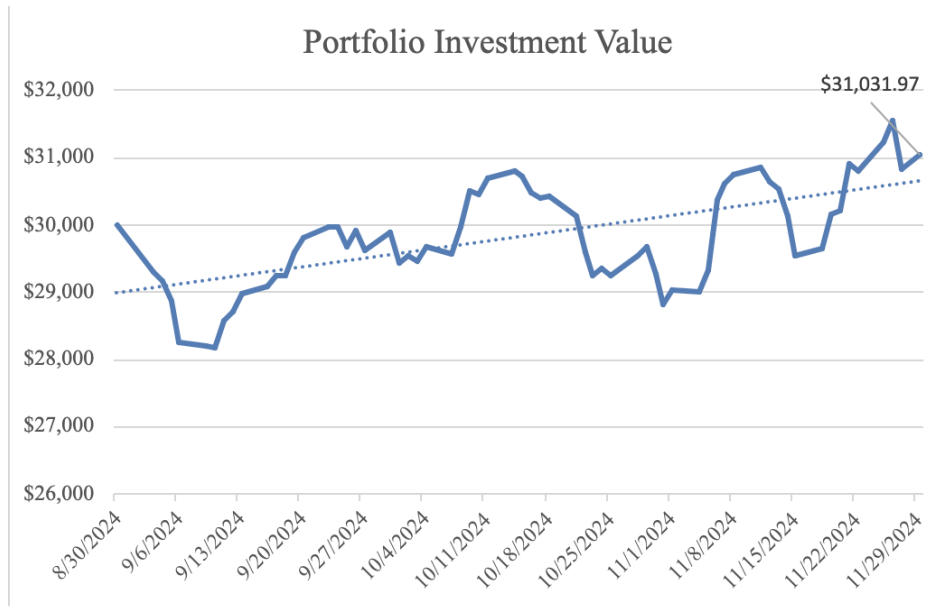


Figure 74 & 75: Performance Graph & Table for Portfolio

The portfolio started with an initial investment of \$30,000 and grew to an ending value of \$31,031.97 over the holding period, resulting in a total dollar return of \$1,031.97. This represents a holding period return of 3.44% and an annualized return of 14.49%. The growth is evident in the portfolio investment value graph, which shows an overall upward trend despite minor dips in late September and late October.

The portfolio's steady growth aligns with the individual performance of its securities, which collectively contributed to its positive return. While there were fluctuations, the overall trend remained upward, driven by diversification across OKTA, NTAP, and FMCSX. The graph also highlights consistent recovery from minor downturns, showcasing the portfolio's resilience.

In summary, the portfolio delivered a solid return over the period, with an annualized performance well above average market benchmarks, reflecting effective asset selection and balanced risk management. The consistent upward trajectory demonstrates the portfolio's ability to navigate market volatility while generating strong returns.

One Year Projection Analysis

Security	Original Price	Current Price	Original 1-Year Target	Current 1-Year Target	Original Expected Return	Current Expected Return
OKTA	\$78.73	\$77.56	\$107.12	\$103.31	36.06%	33.20%
NTAP	\$120.28	\$122.64	\$132.17	\$137.86	11.21%	12.41%

The table highlights the one-year target projections for both Okta and NetApp, comparing original and current prices to their respective targets. Okta's current price of \$77.56 suggests a potential return of 33.20% based on its current one-year target of \$103.31, slightly lower than the original expected return of 36.06%. This minor decline in the expected return could reflect adjustments to analyst estimates or market conditions, though the overall bullish outlook remains strong. For NetApp, the current price of \$122.64 positions the stock with a 12.41% expected return based on the current one-year target of \$137.86, up from the original expected return of 11.21%. The increase in NetApp's projected return demonstrates growing confidence in the stock's performance, potentially fueled by positive recent developments or stronger fundamentals.

Both securities present promising upside opportunities, with Okta showcasing higher growth potential but accompanied by potentially higher risk due to its more volatile performance. NetApp, on the other hand, offers a more modest but stable return, aligning with its position as a technology leader with consistent earnings. The divergence between the original and current targets for both stocks reflects market recalibration, indicating evolving investor sentiment and analyst outlooks. Overall, both companies remain attractive for investors seeking growth, with Okta appealing to those willing to embrace higher risk and NetApp offering a steadier path to returns. These projections underscore the importance of regularly revisiting targets as part of an active investment strategy.

Economic Assessment & 10 Year Treasury Yield

From August 30th to November 30th, the economic landscape has been defined by significant shifts in interest rate policies and the movement of the 10-year Treasury yield, which currently stands at 4.19%. During this period, the Federal Reserve paused its series of aggressive rate hikes and hinted at the potential for rate cuts in the near future. This pivot in monetary policy was driven by cooling inflation and slower-than-expected economic growth, signaling a shift from the tight monetary stance that dominated much of the year. The change in rhetoric has been a critical factor influencing financial markets, as rate cuts are often seen as supportive of economic activity and risk assets.

The 10-year Treasury yield, which is a key benchmark for borrowing costs, remained elevated but showed signs of moderation as rate hike expectations were replaced by discussions of rate stability. At 4.19%, the yield reflects both ongoing economic uncertainty and a reassessment of the Federal Reserve's future policy trajectory. Earlier in the year, yields had spiked due to concerns about persistent inflation and stronger-than-expected economic data, but the stabilization over the past three

months suggests a more balanced outlook. Lower inflation readings and signs of slowing wage growth have contributed to a more tempered view of long-term rates.

This shift has had implications across asset classes. Equity markets have rallied in response to expectations of rate cuts, with growth stocks particularly benefiting from the possibility of a lower discount rate on future earnings. Conversely, bond markets have seen a resurgence of demand as investors seek to lock in higher yields ahead of a potential decline in rates. The 10-year yield at 4.19% remains attractive for income-seeking investors, but its elevated level relative to historical norms still signals caution about the broader economic outlook.

Overall, the transition from rate hikes to discussions of rate cuts reflects a notable shift in economic policy and sentiment. While the current yield on the 10-year Treasury suggests ongoing concerns about long-term inflation risks, the prospect of easing monetary policy has injected optimism into markets. The interplay between economic data, Federal Reserve policy, and Treasury yields will continue to shape market dynamics and investor behavior as we move forward.

Final Portfolio Assessment

Based on the provided document, the portfolio demonstrated a strong performance during the holding period. The portfolio consisted of three securities—Okta, NetApp, and the Fidelity Mid-Cap Stock Fund—each selected to align with a diversified investment strategy. The total portfolio value increased from an initial \$30,000 to \$31,031.97, resulting in a total dollar return of \$1,031.97. This produced a holding period return of 3.44% and an impressive annualized return of 14.49%, comfortably exceeding the required rate of return.

The portfolio beta rose slightly from 1.04 to 1.05, reflecting a marginal increase in overall volatility relative to the market. Among the holdings, the Fidelity Mid-Cap Stock Fund delivered the highest individual return, with an annualized return of 45.23%, driven by strong mid-cap sector performance and limited exposure to market downturns. NetApp followed with a stable 8.35% annualized return, benefiting from consistent dividends and relatively high investor confidence. Okta underperformed slightly, with an annualized return of -5.80%, due to price depreciation during the period, though its current expected return still signals potential upside.

The portfolio was well-balanced, with weights shifting slightly as Fidelity Mid-Cap Stock Fund gained a higher proportion due to its stronger performance. This highlights the benefits of diversification, as losses in Okta were offset by gains in other securities. Moving forward, replacing or reassessing underperforming assets like Okta may improve returns. Overall, this portfolio met its objectives, balancing risk with solid returns while maintaining diversification across sectors and asset types.

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